ANNUAL REPORT 2021

Introduction to N2N

Innovators Making a Difference

An innovative crowd of men and women passionate about becoming the top Supply Chain Platform for Capital Markets worldwide.

A global group and a strong brand name who are committed to transform and connect capital markets through digitization. Bringing trading without borders, anytime, anywhere, to serve every broker, serving every trader.

A growing bunch with operations present in more than 7 countries across Asia Pacific with over 220 employees. A unique organization that stands out in its sector.

Empowering the Capital Market with Technology

Committed to innovation, our spectrum of solutions, that cover different aspects of the capital market and a variety of end-to-end network and infrastructure, are split into the following business segments:

Capital Market Solutions

- **Trading Solution**
  The Trading Solution business offers an end-to-end trading platform, which consists of an integrated front, middle and back office solution. It is equipped with all the necessary functionalities required for trading and caters for multi-asset class, multi-market and multi-currency. The segment serves brokers, traders and investors alike.

- **Information Terminal**
  The Information Terminal business brings together real-time data from multiple markets and pairs it together with the latest fundamentals, news, analytics, charting, and communication tools to help stakeholders of the capital market make informed decisions. The segment serves capital market stakeholders and any other user alike.

- **Wealth & Asset Management Solution**
  The Wealth & Asset Management Solution business provides a strong foundation that helps automate managed investment activities as well as provide a comprehensive, modern and fully integrated advisor and client experience. It is equipped with financial instruments and modules to help make investment resources more efficient, accurate and transparent. The segment serves financial institutions, advisors and fund managers alike.

- **Algorithmic Trading Solution**
  The Algorithmic Trading Solution business simplifies complexities and automates trading strategies with ease; giving users control, reliability and speed for consistent execution. Armed with automated positions, charting, and an array of indicators and strategies to deploy, our solution helps to mitigate risks that comes with trading with a human touch. What sets our solution apart is a unique Pay-Per-Use model that takes away the need for heavy fixed costs.

- **Market Maker Solution**
  The Market Maker Solution business helps generate liquidity and depth for financial markets, all while being compliant and regulated to industry standards. The multi-asset solution comes paired with necessary tools and features like automatic quoting, anti-arbitrage, and flexible algorithms to monitor, simulate and seize market opportunities, be it automatic quoting, anti-arbitrage or flexible algorithms.

Network & Infrastructure

The Network & Infrastructure business empowers enterprises of all sizes to operate more efficiently by using the latest technology to provide modernized and secure managed services solutions that transform their underlying IT infrastructure. The segment covers areas such as data centre operations, colocation, server racks, servers, network hardware, maintenance services, internet, leased lines, and cybersecurity.

Asia-Pacific's Leading Technology and Communications Provider

We use the brands below to represent the different solutions we provide:

- **100%** N2N-AFE (Hong Kong) Limited
  - **100%** The Stock Market Channel Limited
  - **100%** The Stock Market Channel (Macau) Limited
  - **100%** NBM Systems Design Limited
- **100%** N2N Advanced Learning Sdn Bhd
- **100%** N2N Global Solutions Sdn Bhd
  - **48.99%** N2N Global Solutions Limited
  - **70%** Hermes Bos Sdn Bhd
  - **70%** X8NET Sdn Bhd
- **100%** N2N Connect Pte Ltd
  - **70%** PT NGS Services Indonesia
- **100%** NGN Connection Sdn Bhd
  - **100%** Global Fin Net Sdn Bhd
- **100%** Asianext Sdn Bhd
- **26.21%** OurMoneyMarket Holdings Pty Ltd

Corporate Structure

Capital Market Solutions

- Asianext Sdn. Bhd.
- Hermes Bos Sdn. Bhd.
- N2N Global Solutions Sdn. Bhd.
- N2N Connect Pte Ltd
- N2N Global Solutions Ltd
- N2N-AFE (Hong Kong) Limted and its subsidiaries: The Stock Market Channel Limited, The Stock Market Channel (Macau) Limited, and NBM Systems Design Limited

Wealth & Asset Management Solution

- PT NGS Services Indonesia

Network & Infrastructure

- NGN Connections Sdn. Bhd.
- Global Fin Net Sdn. Bhd.

Digital Creative Solutions

- X8NET Sdn. Bhd.

Peer-to-Peer Lending

- OurMoneyMarket Holdings Pty Ltd

Contents

Corporate Section

9	Performance Highlights
13	Managing Director's Statement
17	Management Discussion & Analysis
33	Sustainability Statement
47	Board of Directors
53	Key Senior Management
59	Corporate Governance Overview Statement
73	Statement on Risk Management and Internal Control
77	Audit Committee Report
81	Nomination and Remuneration Committee Statement
85	Statement of Directors' Responsibilities in Relation to the Financial Statements
87	Additional Compliance Information Disclosures

Financial Section

Directors' Report	91
Statement by Directors	97
Statutory Declaration	98
Independent Auditors' Report	99
Statements of Financial Position	105
Statements of Profit or Loss and Other Comprehensive Income	107
Statements of Changes in Equity	108
Consolidated Statement of Cash Flows	112
Company Statement of Cash Flows	114
Notes to the Financial Statements	116
List of Property	188
Analysis of Shareholdings	189
Analysis of Warrantholdings	193
Notice of AGM	197
Proxy Form	203

Performance Highlights

Despite unprecedented economic, social and environmental disruption due to COVID-19, we continue to deliver solid performance, reflecting solid growth, strong profitability, and heightened shareholder value.

Revenue

(RM thousand)

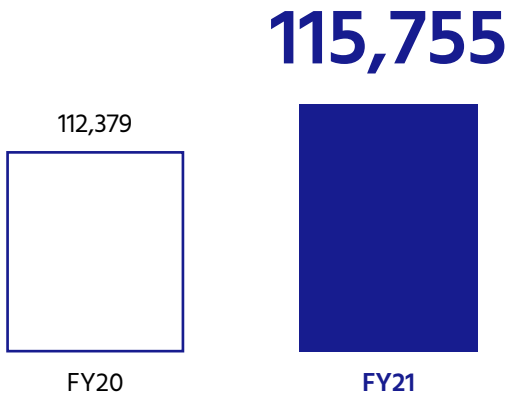


Figure 1

Profit Before Tax

(RM thousand)

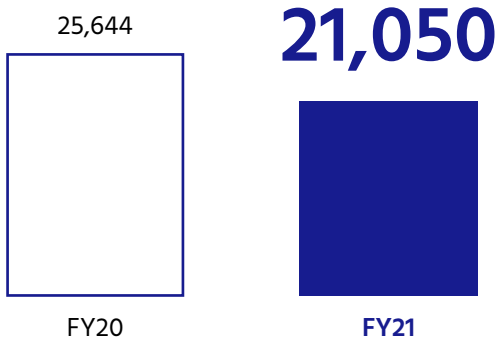


Figure 2

Earnings Before Interest, Tax, Depreciation and Amortization

(RM thousand)

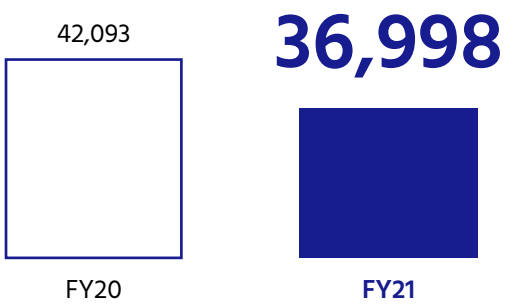


Figure 3

Profit Attributable to Owners of the Company

(RM thousand)

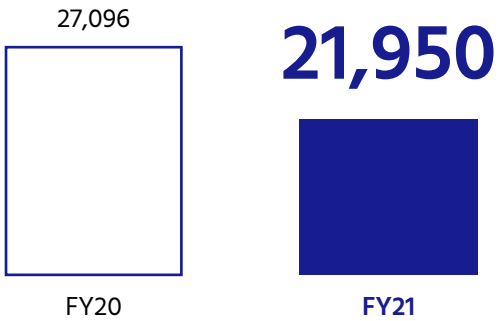


Figure 4

Total Assets

(RM thousand)

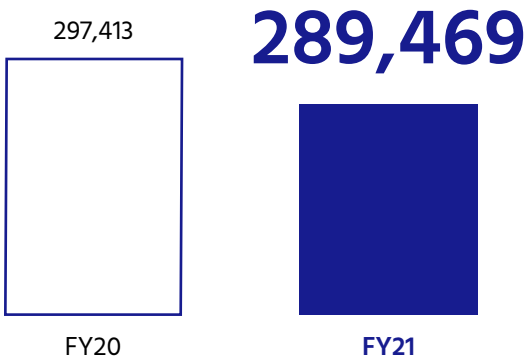


Figure 5

Key Metrics

We have identified and use key metrics in assessing the performance of our business and to make informed decisions regarding the allocation of resources. The metrics are fundamentally connected based on how our products and services are being used by our clients.

We achieved:

21.60 million

Ringgit in Core Profit
(up 20.2% compared to the previous year)

648.61 billion

Ringgit in Trading Value Done Through N2N
(down 35.7% compared to the previous year)

1,241.20 billion

Shares Went Through N2N
(down 41.7% compared to the previous year)

13.44 million

Ringgit in Research & Development Investment
(up 31.0% compared to the previous year)

Managing Director's Statement

"N2N's focus in the capital market is to raise the quality and capability of Asia-based investment bankers, brokers, traders, and investors, to help them compete globally with cost-effective tools that level the playing field."

Dear fellow shareholders, colleagues, partners, and customers

The past two years has been nothing short of extraordinary events, and I want to first and foremost thank our incredible teams for their continued dedication towards N2N. Their passion and perseverance towards delivering the best possible service to our partners and customers, given the circumstances, is something to look up to, and without them, we would not have been able to do what we do today. Our number one priority continues to be, and will always be, looking after our people above anything else. I would also like to thank our shareholders and communities for their continued support and investment in N2N. We are proud to inform everyone that we have closed the year with a strong performance.

Looking back at 2021, we continued to see governments worldwide exploring and implementing different policies and strategies to help better cope with the profound effects of the pandemic on our lives, society, and economies. At N2N, we followed a similar fashion when it came to the safety measures we took at the office against COVID-19. For our people, we introduced remote working, altered office arrangements, engaged in hourly and monthly building sanitization services and encouraged more online communication. We also implemented policies that promote vaccinations and practice safe workplace etiquette which helped to reduce the number of COVID-19 cases at our offices. We put the health and wellbeing of our people first not only because we have a duty to our customers to provide quality service in an industry many economics depend on, but also because they are our most valuable asset.

With respect to business activity, the first half of 2021 saw remnants of 2020 trickle over, such as the momentum, market interest, as well as the strong push for businesses to digitize their operations. The second half, on the other hand, told a different tale as trading activity, around Asia-Pacific, began to experience a significant slowdown attributed to vaccine confidence and a reduction in demand of some healthcare products. A key market for us where this effect was observed was in Malaysia. Keeping track of market activity around the regions we operate is important because we want to be able to position our technology and clients to seize opportunities presented during periods of shifting trends. We often call ourselves the technology extension arm of our clients, and our ongoing partnership, and purpose to empower people with technology serve as our commitment to continuously invest in the research and development of our next-generation innovative product range.

In 2021, we…

- Continued our strong performance despite slowing market activity in Malaysia due to uncertain political climate and a decline in demand for healthcare-related products.

- Upgraded our infrastructure to cater for five times more concurrent mobile users as mobile trading soared during the pandemic.

- Upgraded our mobile trading solution with functions and features that promote a flexible, modern trading lifestyle.

- Launched the Asia E-Broker mobile platform, a unified broker platform equipped with multi-broker login, trading tools, and global market data that promotes multi-asset, cross-border trading on a single mobile application, available on iOS, Android and HarmonyOS.

- Ramped up the regional expansion efforts of our network and infrastructure business, making Hong Kong SAR, China our second fastest-growing region for managed services, with continued interest growing in the market.

- Became among the first in the capital market to introduce Backroom Process Outsourcing where we take over the backroom end-of-day trade settlement duties of our clients, enabling them to streamline their focus, and dedicate their efforts towards facilitating trades.

- Launched a Shared Algorithmic Trading solution which enables clients to offer automated trading facilities without the need to commit to fixed costs, such as infrastructure, application, and personnel.

- Connected our trading solution to wealth and asset managers, introducing bond and fund trading functions as part of our effort to bring together capital market stakeholders onto a single unified platform.

No business is free when it comes to the risk of disruption caused by technological, environmental or socio-economic factors. Apart from acknowledging the things that went right in the year, we also pay close attention to the things that did not so that we continue to develop long-term mitigation and prevention strategies for our future. Some of the challenges we faced last year include a reduction in trading activity caused by a slowdown in the Malaysian market and staff retention due to a recovering job market and rising demand for IT human resources. To help combat this, we continue to invest in diversifying our revenue streams on a regional and solutions basis and employ employee incentive programs, such as our Long-Term Incentive Plan, to promote the future commitment of our people.

Another challenge we experienced was additional costs associated with an ongoing lawsuit against ex-staffs for the breach of our intellectual property rights, including but not limited to the copyright and trade secrets in the source codes and marketing materials, breach of fiduciary duties, and breach of confidence. In response to this, we obtained an Anton Piller Order from the High Court to enter their premises to inspect and take possession of documents, records or other items

that may serve as evidence in our action against them. Currently, their application to set aside the Anton Piller Order was dismissed on 24 September 2021, and they have proceeded to file to the Court of Civil Appeal. Since the incident, we enhanced our security framework, establishing additional controls and introducing new policy measures to help strengthen the security and integrity of our platform, intellectual property, and networks.

Financial Performance

For the fiscal year 2021, we continue to deliver strong results. More than RM 115 million in revenue, more than RM 2 million in other income, more than RM 39 million in operating cash flow and returned more than RM 22 million to shareholders. We recorded a profit after tax of approximately RM 22 million for the financial year ended 31 December 2021.

What it takes to stay ahead

We are committed to seeing a world where capital markets are borderless and connected, where trades happen anytime, anywhere. Our future continues to be guided by four principles that are embedded in each and every person at N2N. First, leveraging on our core capabilities in technological innovation to bring together and empower capital markets with technology. Second, a shared belief in the importance of digitization and how it will transform the world we live in. Third, having an advanced suite of evolving products that provide what the industry wants and what it needs. And lastly, to constantly explore collaboration and partnerships opportunities to better serve our industry, community and society.

As we move into 2022, notwithstanding opportunities presented by a rapidly changing business landscape owing to the advent of emerging technologies, we see a number of opportunities presented by modern-day politics where N2N could be primary beneficiaries of. The first is the recent move by central banks worldwide to raise interest rates by as much as 3% over the next 12 months, and the second is the potential transfer listing of Chinese publicly-listed companies from the United States to markets in Asia-Pacific. As demonstrated during the pandemic, our business model has the ability to thrive during periods of market volatility as trades move alongside shifts in market sentiment. The choices we are making and the actions we are taking right now are preparing N2N to seize opportunities as they arise, converting them into long-term value of our people, our clients, our shareholders and our community.

Tiang Boon Hwa,
Managing Director

Management Discussion & Analysis

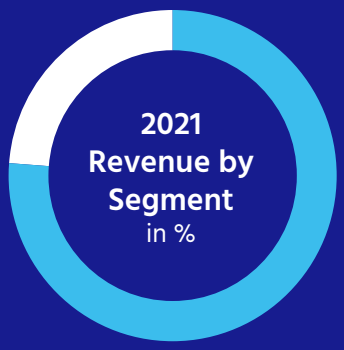
Overview

N2N is a leading global capital market managed services provider offering a range of Capital Market Solutions including trading, wealth and asset management, information, alongside the underlying Network & Infrastructure required. Our over 200 people servicing more than 300 clients in 7 countries help our clients expand their digital capabilities, transform their operations, and promote revenue growth—creating value across businesses with efficiency and scale.

The reach of N2N stretches across seven countries within the Asia Pacific region, namely Malaysia, Hong Kong SAR, China, Indonesia, Philippines, Singapore, Thailand, and Vietnam. Fundamentally, our business is comprised of two segments: Capital Market Solutions and Network & Infrastructure.

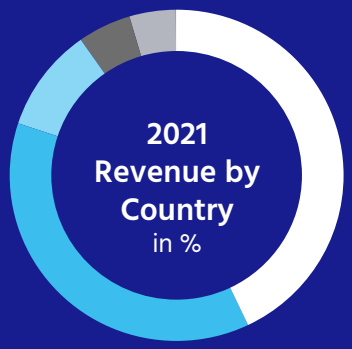
The Capital Market Solutions segment is the core business of N2N. We evolved this segment over the years, and today, we offer solutions in trading, information, wealth and asset management, algorithmic trading and market making. What puts us at the forefront of capital markets as the most widely used solutions provider are technologically advanced systems over a managed services model that caters for multiple assets, across multiple markets, and in multiple currencies.

The Network & Infrastructure segment began as a one-stop network and communications solution for N2N broking clients. Today, it is a rising significant player in the market who services businesses across different industries, providing managed services in areas such as data centre, server hosting, storage management, connectivity, and network security, alongside established partners such as TIME, MAXIS, Telekom Malaysia and PCCW.



Capital Market Solutions	77%
Network & Infrastructure	23%

Figure 6



Malaysia	45%
HKSAR, China	39%
Singapore	8%
Vietnam	4%
Others	4%
Indonesia	1.02%
Philippines	1.79%
Thailand	1.22%

Figure 7

Performance Measure

2021 showed most major stock markets deviate from their usual behaviour, ending the year with a higher performance despite being filled with negative sentiment such as new COVID-19 variants, increased political tension, supply chain disruptions, and higher business operating costs. In Malaysia, the stock market made an overall net loss, having ranked as the worst performer in Asean and second worst in Asia in 2021 as share prices of glove, energy and palm oil companies decline. In the Malaysia ACE Market, reduced retail participation, government-imposed lockdowns, political uncertainty, higher taxes, and new COVID-19 variants led to a 41.5% loss in market value.

The performance graph shows the FBMKLCI Index finishing 2021 up 4%, and N2N's closing share price ending the year down 17% at RM 0.60. N2N's market capitalization was last recorded at RM 355.7 million as of 31 December 2021.

N2N Stock Market Data in RM million, sen & %	**2020**	**2021**
High	0.995	0.892
Low	0.350	0.560
Year-end share price	0.720	0.595
Change during year	1%	-17%
Change in the FBMKLCI	2%	4%
Market Capitalization (MYR million)	430.47	355.74

Figure 8

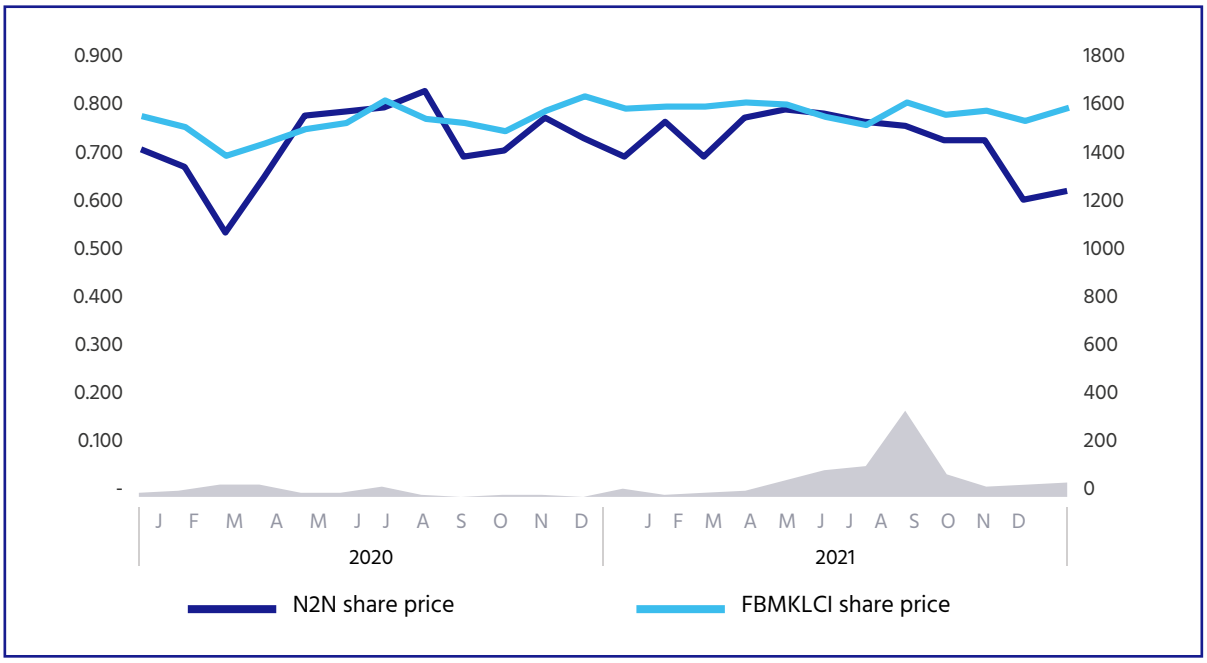


Figure 9: N2N vs. the FTSE Bursa Malaysia KLCI Index since 1 January, 2020 – 31 December, 2021. The performance shown in the graph represents past performance and should not be considered an indication of future performance.

Financial Performance Measures (5 Years)

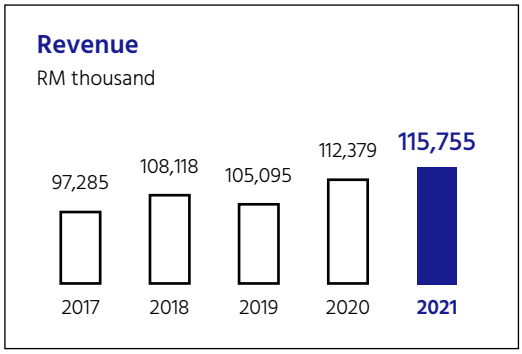


Figure 10

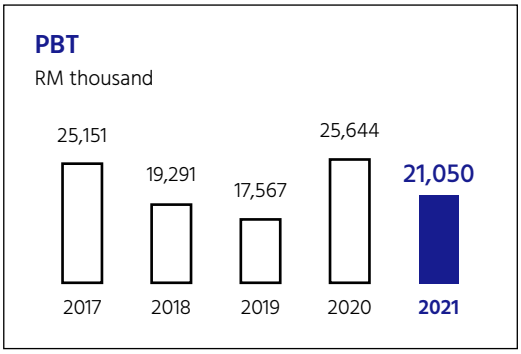


Figure 11

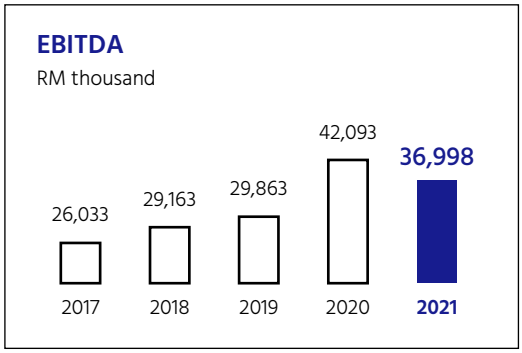


Figure 12

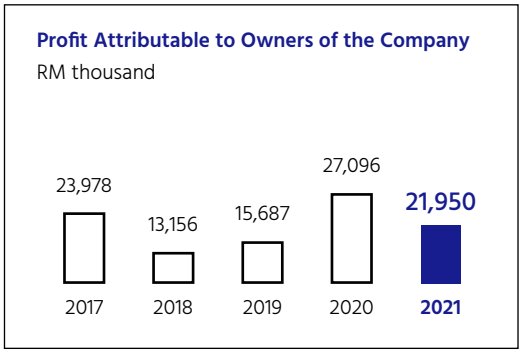


Figure 13

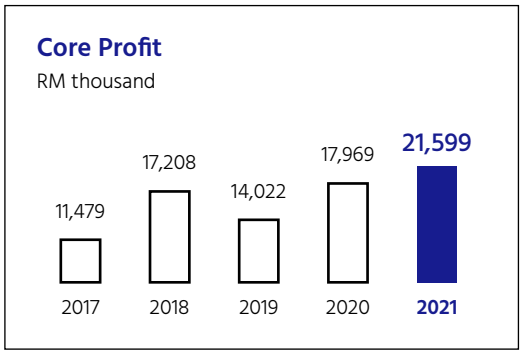


Figure 14

* - **Core profit** represents the profits of N2N excluding unrealised gains/losses on foreign exchange and one-off taxes and penalties (which are not expected to recur). Core profit helps to provide a guide for assessment of N2N's actual performance arising from its normal business activities by excluding non-recurring gains or losses including unrealised gains and losses.

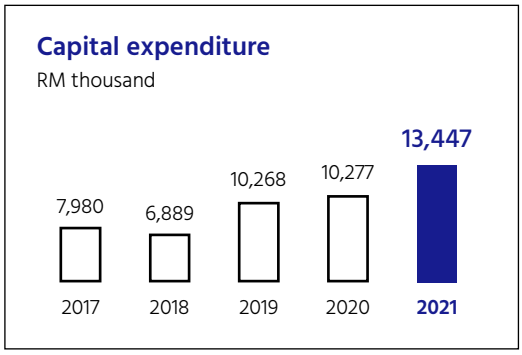


Figure 15

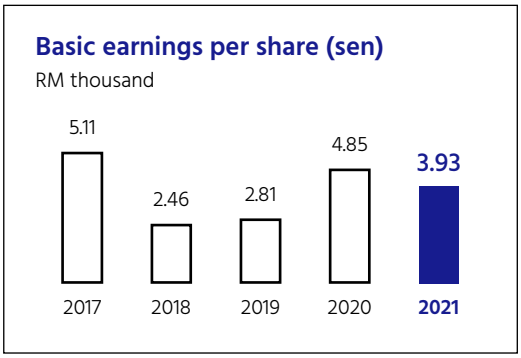


Figure 16

Review of Financial Performance

Revenue of N2N for the financial year ended 31 December 2021 amounted to RM 116 million, representing an increase of 3.0% from the previous year (2020: approximately RM 112 million). The increase in revenue was primarily due to the higher one-time implementation revenue from the onboarding new clients.

Profit before tax of N2N for the financial year ended 31 December 2021 amounted to RM 21 million, representing a 17.9% decrease from the previous year (2020: RM 26 million). This decrease was mainly attributable to a combination of higher expenses from cost provisions for our Long-Term Incentive Plan and legal expenses, higher share of results of associate losses, higher taxation, and lower other operating income due to COVID-19 rental subsidies given to our tenants.

Earnings before interest, tax, depreciation and amortization of N2N for the financial year ended 31 December 2021 amounted to RM 37 million, representing a year-on-year decrease of 12.1% (2020: RM 42 million). This was mainly attributable to a combination of higher expenses from cost provisions for our Long-Term Incentive Plan and legal expenses, and a higher share of results of associate losses.

Core profit of N2N for the financial year ended 31 December 2021 amounted to RM 22 million, representing an increase of 20.2% from the previous year (2020: RM 18 million). This was primarily due to an increase in one-time implementation fees.

Capital expenditure of N2N in respect of property, plant and equipment, and computer software development cost in 2021 amounted to RM 13 million, representing a 31.0% increase from the previous year (2020: RM 10 million). We are fully engaged in research & development to stay ahead of the curve, building a future based on innovative and new technology such as AI and cloud computing.

MYR 116 million
Revenue
(year-on-year increase of 3.0%)

MYR 21 million
Profit before tax
(year-on-year decrease of 17.9%)

MYR 37 million
Earnings before interest, tax, depreciation and amortization
(year-on-year decrease of 12.1%)

MYR 22 million
Core profit
(year-on-year increase of 20.2%)

MYR 13 million
Capital expenditure
(year-on-year increase of 31.0%)

Segment Review

We report the financial performance of our business using three segments: Application Solutions, Financial Network Services, and Equipment Rental. All reported amounts are consistent with our internal management reporting.

**The Financial Network Services and Equipment Rental contribute to the Network & Infrastructure segment*

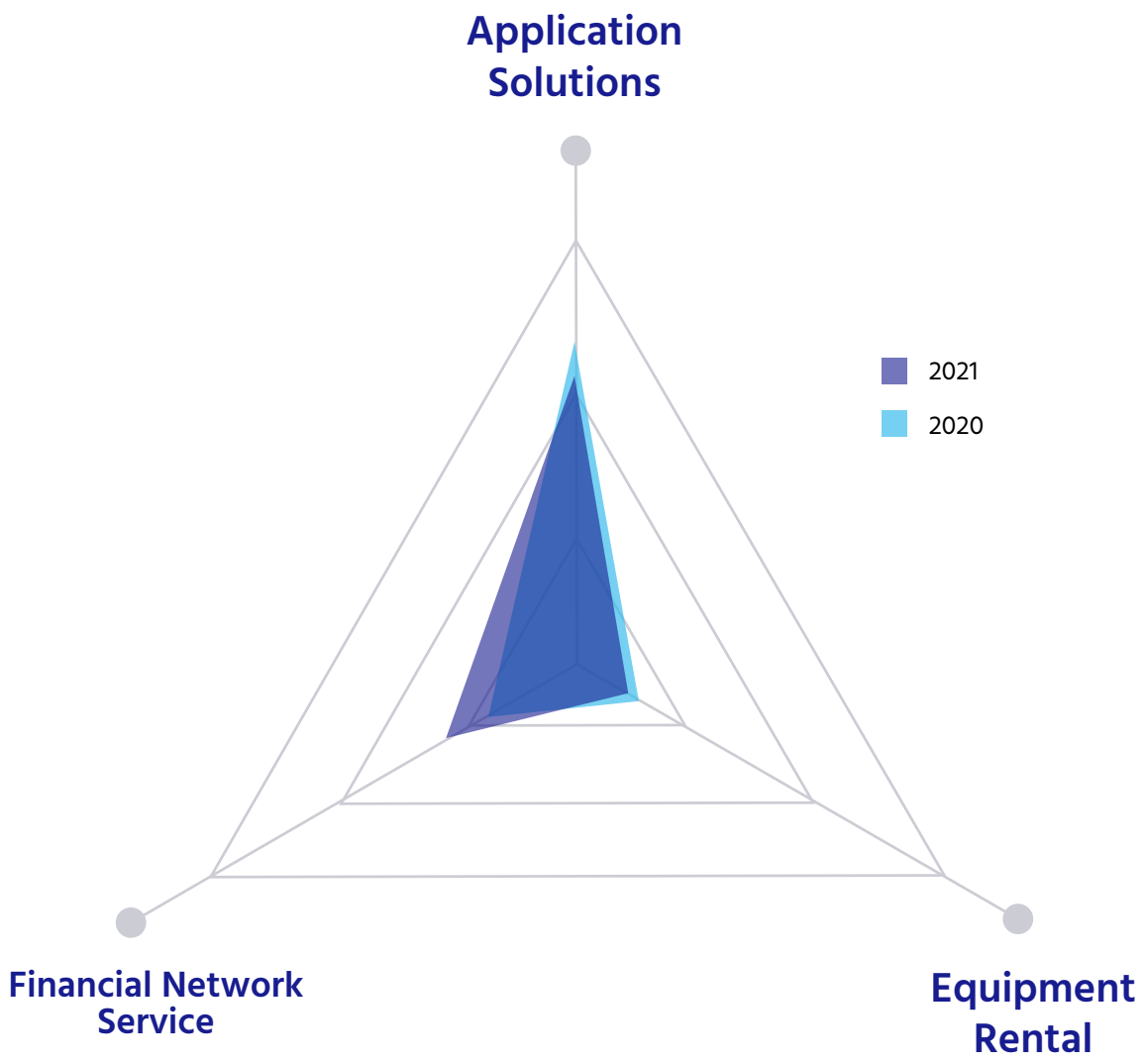


Figure 17: Revenue contribution of the reporting segments

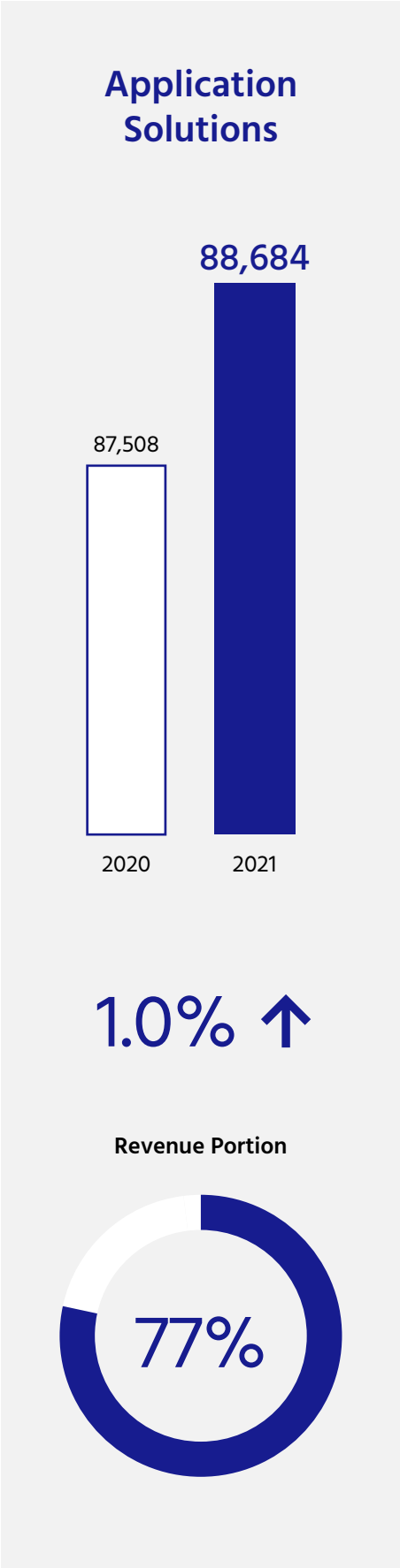


Figure 18

Application Solutions

Our Application Solutions segment comprises of products and services that bring all stakeholders of the capital market under one platform. This segment primarily consists:

- Trading Solution, including front and back-office systems (desktop, webpage and mobile), Asia E-Broker, Asia Trading Hub, and Asianext.
- Information Terminal.
- Wealth & Asset Management.
- Algorithmic Trading.
- Market Maker.

For the financial year ended 31 December 2021, the segment continued to experience a strong performance led by high volumes of retail trading; albeit toned down due to a slowdown in the Malaysia stock market, growth in our Trading Solutions in Hong Kong SAR, China, and new subscriptions for our new products and services. However, the performance was softened by reduced demand for our information terminal in Hong Kong SAR, China as clients continue to rationalize costs in a competitive new landscape altered by the pandemic.

In FY2021, we launched a number of products and services to follow through on our commitment to empower capital markets and people, with technology. First, the launch of our TCPro Mobile V3, N2N-AFE Mobile 2, and Asia E-Broker to help promote a universal and flexible new-generation modern trading lifestyle. Second, a shared algorithmic trading facility under a Pay-Per-Use model to help provide clients with automated trading capabilities without needing to commit to fixed costs, such as infrastructure, application, and personnel. Third, more trading facilities for grey market trading in Hong Kong SAR, China. Fourth, fund and bond trading for wealth and asset managers via our trading platform. And lastly, Backroom Process Outsourcing where we help our clients take over and manage their backroom operations.

Moving forward, we want to carry on providing capital markets with technology they want and need. To this end, we will continue to focus our efforts on enhancing our existing products and services, investing in research and development of new innovative technology, and forming partnership with businesses to connect markets together.

Financial Network Services

Our Financial Network Services segment comprises of network and infrastructure over a managed services model. This segment primarily consists connection, security, data centre, database & storage, and enterprise application & hardware.

For the financial year ended 31 December 2021, the segment experienced an improvement in its performance primarily due to a round of technology refresh where we update key IT infrastructure of our existing clients, as well as an increase in demand for our services to help businesses move operations online amidst government-imposed lockdowns and travel restrictions, and a prominent remote work culture.

In FY2021, we continue to see pandemic-induced demand from businesses for our services to help them digitize their operations. Common items businesses came to N2N for were internet services for remote work, MPLS to connect branches to their headquarters, and VPN for secure remote access to servers. Apart from this, we also extended our managed network and infrastructure services model to the Hong Kong SAR, China market. Within the first year of the launch, we have brought 10 clients onboard onto this new model, with growing interest from other brokers.

Moving forward, we see a post-pandemic scenario where businesses continue to look for different ways to digitize their business while simplifying workflow and management. This creates an opportunity to reach new clients and increases usage with existing clients. We will carry on extending our partnership program with established telecommunication providers and introduce new solutions such as cloud services as an alternative for clients to host our capital market solutions.

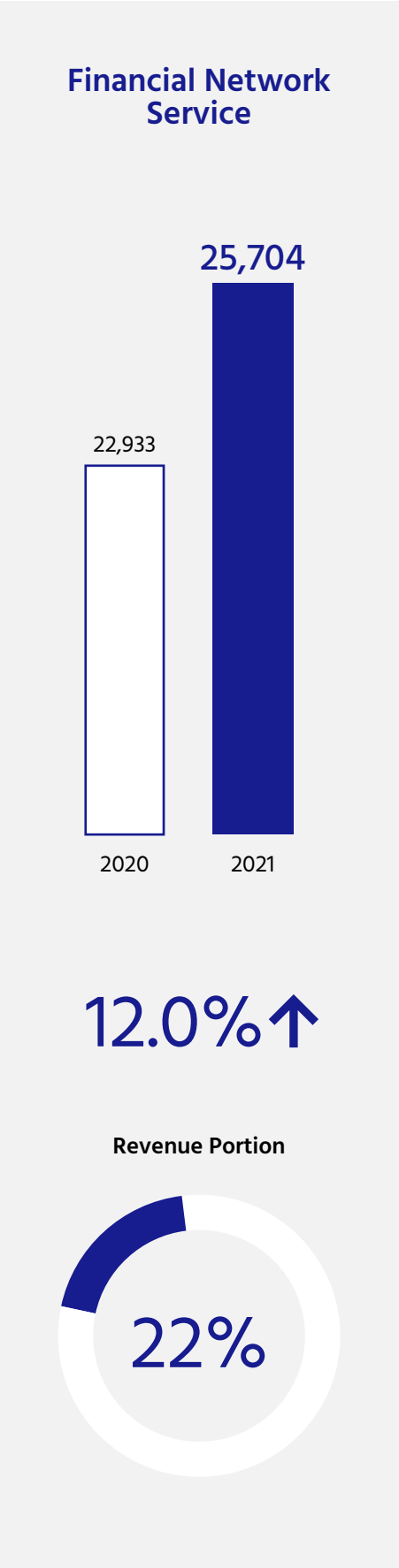


Figure 19

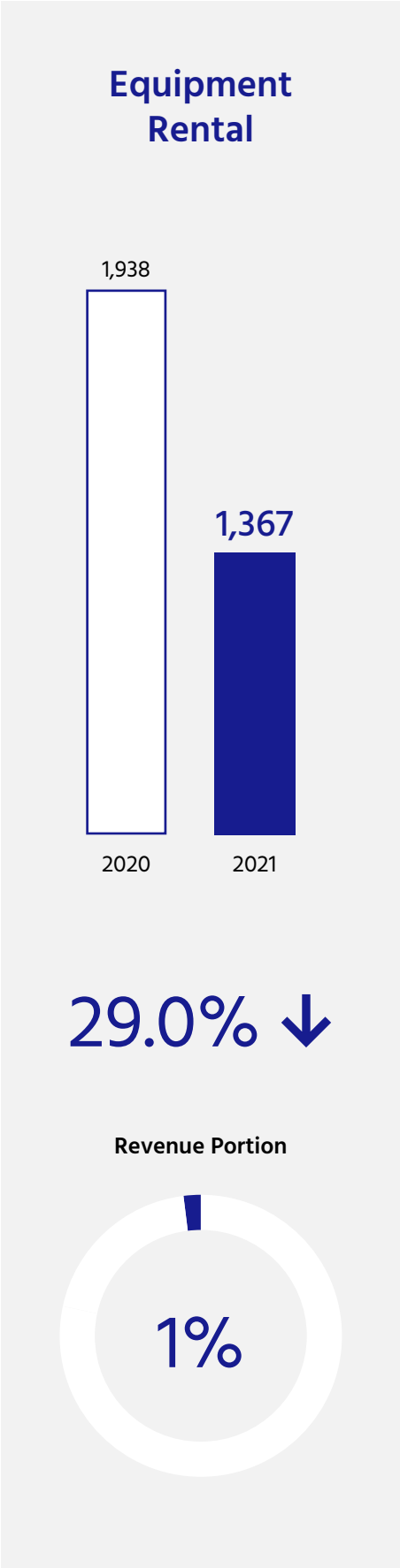


Figure 20

Equipment Rental

Our Equipment Rental segment comprises of the rental of network and hardware equipment to clients. This segment primarily consists of the rental of monitors, routers, servers, desktop PCs, and network switches.

In FY2021, demand for the rental of hardware equipment from our clients remained consistent with performances in the previous year. The segment is a value-added service provided in Hong Kong SAR, China, and demand from clients arises on an as-needed basis. Performance of the Equipment Rental segment is unaffected by the pandemic.

Moving forward, we plan to keep our service and quality of equipment consistent so that we remain a reliable and trustworthy source for our clients when needed. The introduction of new hardware equipment available for rent are subject to demand from our clients for the equipment.

Dividends & Dividend Policy

In line with N2N's continued focus on shareholders' returns, on 25 May 2021 and 25 November 2021, the Board of Directors declared interim dividends of 1 sen each per ordinary share issued for the financial year ended 31 December 2021.

On 25 May 2021, N2N also declared a special dividend of 2 sen per ordinary share issued for the financial year ended 31 December 2020.

N2N currently does not have a set dividend policy and continues to pay dividends based on the level of available funds, the amount of retained earnings, capital expenditure commitments, and other investment planning requirements.

Dividends per share

in sen

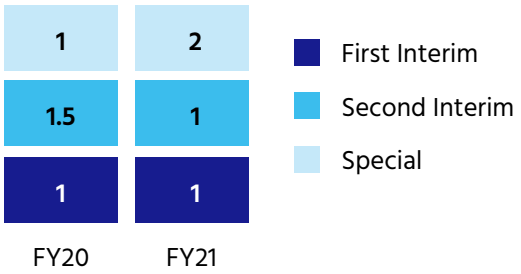


Figure 21

MYR 22.3 million
returned to shareholders

102%
payout ratio

Risk Management

We are involved in providing a variety of managed services to an industry that revolves around the trading of debt and equity. Just like any other industry, the nature of our business carries with it a variety of common and unique risks that we face on a day-to-day basis. Risk is inherent in any business enterprise, and good risk management is an essential aspect of running a successful business. To help better understand and mitigate our risk exposures, our risks are categorized into three major quadrants- Financial Risk, Operational Risk and Strategic Risk.

Financial Risks

Financial risks generally refer to the possibility that a company's cash flow will prove inadequate to meet its obligations. A company's ability to meet its financial obligations can be affected by macroeconomic forces, changes to the market interest rates and availability of accessible credit.

The financial risks that we are exposed to are *Market Risks* and *Credit Risks*.

Market Risks	Description	Impact	Mitigation
Interest rate risk	Risk of volatility accompanying interest rate fluctuations due to fundamental factors such as central bank announcements related to changes in monetary policy	Rising interest expense leading to increased costs can deplete profits	Interest rates on USD loan is softened by the interest income from placement of monies in the money market
Currency risk	Risk of a decline in the value in returns owing to the depreciation of the value of the domestic currency.	Weakening of RM increases cost and depletes profits	Proceeds from USD billings are banked into a USD currency account to support the USD loan repayment

Credit Risks	Description	Impact	Mitigation
Credit default risk	Risk of customers not being able to meet their payment obligations	Costly trade receivable write-offs depleting profits	Close monitoring of trade receivables. Suspending services (if required) of defaulters to minimise risk exposure
Concentration risk	Risk of receivables being susceptible to a specific sector of the economy or business group that has slowed down	Costly trade receivable write-offs depleting profits	Close monitoring of trade receivables. Suspending services (if required) of defaulters to minimise risk exposure

Operational Risks

Operational risks refer to the risk of loss from internal or external factors that could disrupt the flow of a business's operations. Some of these factors include ineffective or failed internal processes, people, systems, or unforeseen external events.

The operational risks that we are exposed to are IT *disruption risks, data comprise risks, resilience risks, third party risks, conduct risks, regulatory risks,* and *organizational change risks.*

Operational Risks	Description	Impact	Mitigation
IT disruption risks	Risk of IT systems failure	System disruptions increases cost owing to service credit claims, and potential loss of business	*Risk Mitigation Strategies:* 1. Network Operations Procedure 2. Server Patch Management 3. Client Backup Restore Procedure 4. Known Vulnerable Network Ports Assessment 5. Cyber Security Incident Event Management 6. Access Control Policy 7. Firewall Policy 8. Acceptable Use of IT Asset Policy 9. Data Centre Access Policy 10. Password Policy 11. Anti-Malware Policy 12. Server Security Policy 13. Client DR Failover Procedure 14. DDOS Mitigation Procedure
Data compromise risks	Risk of destruction or corruption of databases and/or leak of confidential information	Causes potential breach of contractual obligations, and loss of business	*Risk Mitigation Strategies:* 0. Item 1 – 12 15. Acceptable Encryption Policy
Resilience risks	Risk of the organization not being able to maintain acceptable service levels	Causes increased cost owing to service credit claims, loss of customer confidence, weakens company reputation, and potential loss of business	*Risk Mitigation Strategies:* 0. Item 1 – 5 16. Client DR Failover Procedure 17. Business Continuity Plan 18 Change Management Procedure

Third party risks	Risk of the organization experiencing adverse events (e.g., data breach, operational disruption, reputational damage) owing to outsource of services or use software(s) built by third-parties	Causes increased cost owing to service credit claims, loss of customer confidence, weakens company reputation, and potential loss of business	*Risk Mitigation Strategies:* 0. Item 4 & 6 19. Vendor Management Procedure 20. Change Management Procedure 21. Risk Management Procedure 22. Release Management
Conduct risks	Risk of any actions of employee(s) that lead to customer detriment	Causes potential costly indemnities	*Risk Mitigation Strategies:* 0. Item 5, 6 & 8 23. Network SOP-New & Resigned staff 24. Termination and Resignation Policy 25 Employee Code of Conduct / Handbook 26. Change Management Procedure 27. Source Codes Management Procedure 28. IT Deviation Request Procedure
Regulatory risks	Risk of not complying to regulations or having conditions applied (retrospectively or prospectively) that adversely impact the organization	Causes potential costly penalties, loss of business, and blacklisting that disrupts the continuity of the business	*Risk Mitigation Strategies:* 29. License management procedures
Organizational change risks	Risk of another pandemic forcing shift from on-site work to work from home and/or employees falling ill	Shortage of manpower or reduced operational efficiency due to absenteeism.	*Risk Mitigation Strategies:* 0. Item 4, 6 & 7 30. Business Continuity Plan 31. Risk Management Procedure

Strategic Risks

Strategic risks refer to the probability that an event or decision will interfere with a company's business model. They are often long-term, high-level, and undermine the value proposition which attracts customers and generates profits.

The strategic risks that we are exposed to are *business performance & competition risks,* and *new technologies risks.*

Strategic Risks	Description	Impact	Mitigation
Business performance and competition risks	External factors that could either threaten or present opportunities to the organization's competitive position	Potential loss of business, and/or opportunity loss	1. Continuous R&D of products 2. Seek new partnerships with other players to strengthen product positioning
New technologies risks	Advancements in new technology affecting the Organization's ability to remain competitive	Potential loss of business, and/or opportunity loss	1. Continuous R&D on emerging technologies and trends (e.g. blockchain) 2. Seek new partnerships with other technology players in the industry

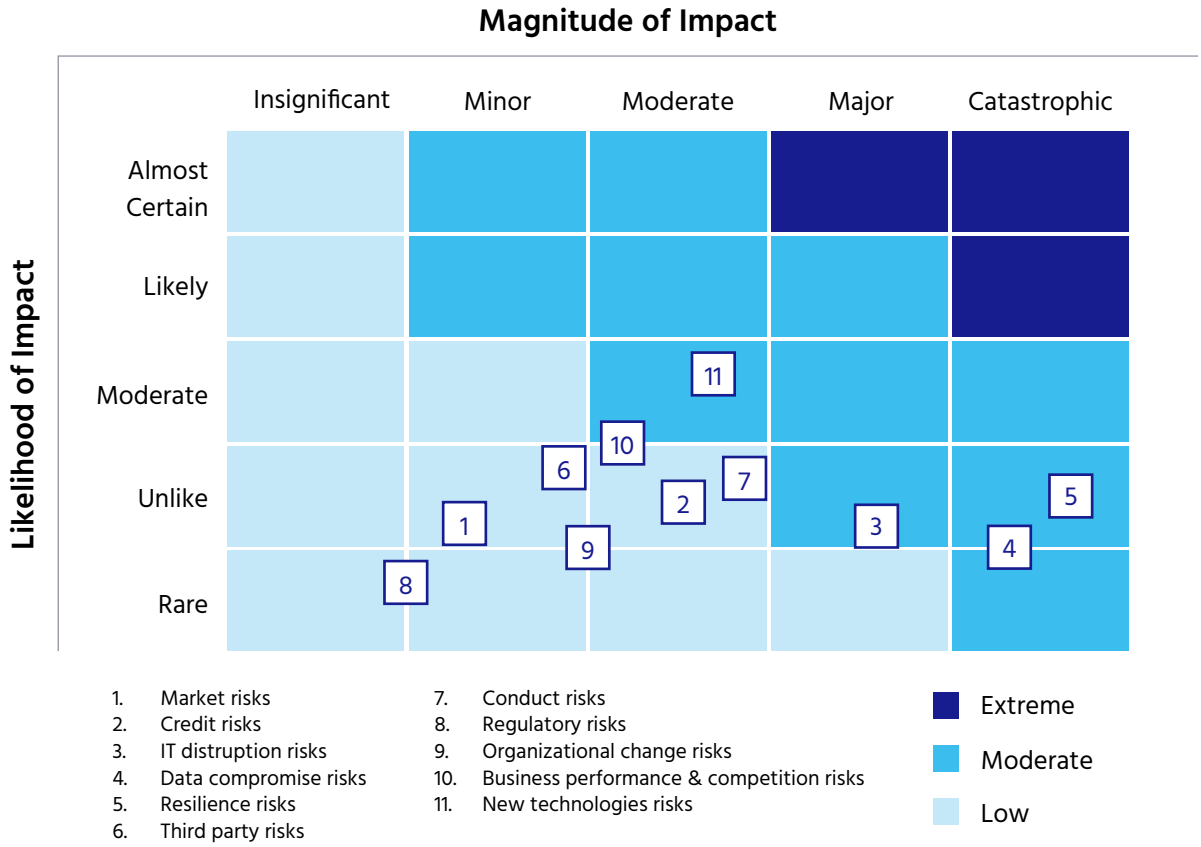


Figure 22: N2N Risk Profile

Outlook and Plans Moving Forward

Despite a global market rebound in growth of about 5.5% in 2021, according to the World Bank, many hold a pessimistic view on the coming financial year 2022 as global growth is forecasted to decelerate to 4.1%[1], reflecting continued COVID-19 uncertainty, diminished fiscal support and lingering supply bottlenecks. While wary of the risks posed by the current socio-economic conditions, there are also potential areas of opportunity.

Forecasted global events we pay close attention to are those that influence stock market activity, especially in regions we operate. In FY2022, we foresee two possible scenarios where stock market activity could change: central banks worldwide taking a hawkish stance, raising interest rates by as much as 3% over the next 12 months, and Chinese public companies transferring their listing from the United States back to the Asian region.

Above all else, between the continued disruption, emerging technology shifts, political uncertainty and growing digital economy, we see that the financial year 2022 is filled with ample opportunities for N2N. We will continue to focus on growing our business segments, and implement moving forward plans to strengthen our position as a leading global capital market managed services provider, creating and delivering long-term value for our people, shareholders and communities.

(1) Worldbank (2022). Global Growth to Slow through 2023, Adding to Risk of 'Hard Landing' in Developing Economies

Moving Ahead with Shared Algo-Trading

In line with our Asia Trading Hub initiative, one of N2N's major innovations in 2021 was the release of a new capital market solution, N2N Shared Algorithmic Trading Solution. Managed entirely by N2N, the new solution offers algorithmic trading functions on a Pay-Per-Use basis, removes commitment on fixed costs such as infrastructure, application, and personnel, and lowers the barrier to entry to offer algorithmic trading capabilities. With the solution already in use in Hong Kong SAR, China, we recognize the potential presented to us to move this into our other regions, and we plan to capitalize on this in FY2022.

Asia Trading Hub

The Asia Trading Hub is a key initiative by N2N to help connect global markets through our network of capital market players, creating a borderless capital market community. A core part of our commitment focuses on building and integrating with solutions to develop a platform that brings capital market stakeholders together.

300+
brokers serving

to build a consortium network of brokers from across the region, inter-connected through a unified trading platform.

7
countries serving

(such as Malaysia, Hong Kong SAR, China and Singapore) with clients who incorporate N2N solutions into their daily operations.

648+ Billion
total trading value (RM)

done through the N2N system by traders and investors in financial year 2021.

Focus on an Ultra-Low Latency Trading Platform

With the pandemic as the catalyst for the unusually large number of new traders experienced over the last two years, moving forward, a key initiative for N2N is the development of an ultra-low latency capital market trading platform that is able to process high volumes of data messages with minimal delay. N2N has obligations to over 300 brokers across seven countries with our solutions playing vital roles in core functions such as, trading, settlement, and information. During the early days of the pandemic, we had to make a series of unanticipated enhancement to our systems and infrastructure in order to cope with the unexpected high number of concurrent users on our platforms. As part of our moving forward strategy, we have in place a series of upgrades and enhancements so that our trading solutions not only copes with high volumes of users but also comes equipped with functions and features that cater for modern trading lifestyles of the new generation.

Exploring Collaborations with Synergistic Companies

N2N believes in the positive impact collaborations have on communities when great companies come together to create shared value under a win-win scenario. We remain committed with our forward-looking approach when exploring collaborative opportunities with synergistic companies. We are guided by a set of principles when looking for collaborators, prioritising technology-oriented companies, early-stage companies, data aggregators and market aggregators. Other forms of collaboration we practice are partnerships through a licensed Application Programming Interface where we encouraging people to build amazing applications that bring people together on top of the N2N capital market platform.

Based on the above economic outlook and moving forward strategies, N2N is cautiously optimistic for the coming financial year.

Sustainability Statement

Our Sustainability Initiative

We believe that a good business is more than just financial growth; it's also about doing good for communities and having a positive impact on the world. We achieve this not only with innovative technology that empowers people but also by incorporating sustainability every step of the way from our business, our people, down to our environment. Our vision for a sustainable planet is materialized through our three-part end-to-end initiative; Love, Play and Care.

Love

The environment around us affects everything from human health to the well-being of wildlife. And in return, humans can also affect it. Acknowledging the dynamic, we created this sustainability initiative to love the environment.

We recognise the direct impact our business operations have on the environment, and the importance of minimizing it for the future of our planet.

We are committed to make and promote environmentally sustainable practices across our supply chains that help reduce our carbon footprint, combat climate change, and protect our environment.

Play

The success of a business is not just a matter of achieving financial goals; it is also about how it is done. Recognising our responsibilities as a business, we created this sustainability initiative to play the role of the company well.

We know that part of being a good company is also about how we foster an inclusive and productive environment for our people, do business the right way, and maintain shareholder confidence.

We are committed, as a key market player, to set the tone when it comes to sustainable corporate governance, transparency, advocacy, engagement and inclusivity.

Care

The positive contributions we make to the communities we are a part of help to address global challenges like inequity and sustainable innovation. Acknowledging our ability to shape communities, we created this sustainability initiative to care for the community.

We each have a role we can play, and no effort that goes towards supporting our shared future is too small to notice. We use the great technology we have and our market position to help build a society where everyone wins.

We are committed to promote a healthy community that brings the world closer together; creating sustainable solutions that care for our people, direct community, and broader society.

As a Group and a member of society, we built a corporate sustainability approach founded on a long-term commitment to love the environment, play the role of the company well and care for the community. Despite all that we have done, we always believe there is more we can do.

COVID-19 Update

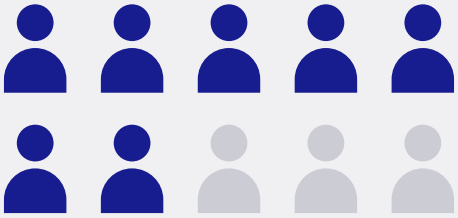
It has been over two years since the World Health Organization declared the outbreak of COVID-19 to be a pandemic, and from the introduction of new variants, travel regulations, and numerous types of vaccines, we see that the widespread and unpredictable impacts of COVID-19 continue to affect global society, economics, and businesses.

In 2020, we demonstrated resilience as our operations remained open despite unprecedented challenges caused by the pandemic, record breaking trading volumes, and historically high trading volatility. As the world works towards adapting to a new COVID-19 normal, we continued our commitments to safeguard the health and well-being of our employees, and to empower people with our technology.

Here is what we did.

In 2021, we took measures to change the way we interacted with the office and our surroundings for our people:

- we implemented a flexible working schedule that alternated between in-office and working from home depending on the COVID-19 situation;
- altered office arrangements to cater for social distancing;
- arranged for hourly office sanitizing and monthly building sanitizing;
- made sanitizers, face masks and COVID-19 self-test kits available at all times;
- displayed frequent media reminders regarding COVID-19 precautions and updates; and
- moved all forms of discussion online, where possible.



70%

of our people worked remotely during the peak of COVID-19.

Apart from the softened demand for our Information Terminal in Hong Kong SAR, China, we benefited from the digital transformation led by the COVID-19 pandemic, and empowered people with N2N technology:

- With the influx of new traders, our capital market solutions helped to facilitate swift account openings for our clients.
- With a surge in the use of digital technology due to stay-at-home measures (1), our web-based and mobile-based platforms helped to facilitate flexible trading anytime, anywhere.
- Amidst a volatile global market, our multi-asset, multi-currency cross border trading platform helped to capture worldwide trading opportunities.
- With a big push for remote work, our leased lines services helped to provide businesses with speedy, reliable and secure internet connection.
- With travel restrictions, our MPLS services helped to centralize connections of multiple branches to their headquarters.
- As businesses focused on digital transformation, we helped accelerate, host, and provide managed services, moving their operations online.
- Amid office closures, our VPN solution helped to provide secure remote access for people transitioning to working from home.

(1) Pandey, N., & Pal, A. (2020). Impact of digital surge during Covid-19 pandemic: A viewpoint on research and practice. International journal of information management, 55, 102171.

With COVID-19 restrictions gradually relaxing as society moves towards living with COVID-19, we will continue to uphold our commitments regarding the health and well-being of our employees, to do good and empower the communities in which we operate with technology.

LOVE

the environment

Sustainability begins from the ground up. That means incorporating a sustainability-first approach across our value chains and making efficient resource allocation decisions to reduce our carbon footprint, combat climate change, and protect our environment.

We acknowledge the importance of minimizing the environmental impacts caused by our day-to-day operations as well as the opportunity for us to use our position and technology do something about it. We incorporate environmental sustainability practices into our operations and around our communities, putting actions towards our commitments.

One tree at a time

Trees are an important aspect of the environment not only because they are responsible for 28% of all oxygen in the air, but also because they help clean the air we breathe, filter the water we drink, and are habitat to the world's terrestrial biodiversity. Alongside staff members and the local community, we planted neem trees around neighbourhoods to help improve soil conditions, rehabilitate degraded land and reduce the effects of climate change.

Reducing energy consumption

The impact of energy production and consumption by humans on the environment are generally well documented, directly affecting air, water and climate through greenhouse gas emissions. At N2N, we are committed to reducing our energy consumption across our offices- regularly monitoring our energy consumption and opting for alternative technology or restructuring our workflow to be as energy-efficient as possible. Some of the measures we have taken to help reduce our environmental footprint include:

- **Daily monitoring of air-conditioning usage**
- **Switching to energy-efficient light-emitting diode lighting**
- **Sleep mode for office equipment**
- **Educating employees to be energy-conscious**

Giving back to the environment

Donations help in so many ways, and every little bit counts. We frequently make donations to charitable organizations that provide high-impact help to the environment so that they can run the activities they need to achieve their goals. Every organization we donate to improves the planet we live in in a myriad of different ways.

Managing & reducing waste

The nature of our business generally does not carry a high waste footprint as we do not produce any goods or materials. Despite this, we recognize the importance of proper waste management for a more environmentally-friendly society and have adopted practices and initiatives in our offices to help reduce general office waste output. In our offices, we practice and perform the 3Rs, educate employees on waste disposal practices, and also take part in a program for recycling office waste.

Recycle for Good

N2N has been working with LovelyDisabledHome since 2016 for the disposal & recycling of office waste and protection and job opportunity for the differently-abled. We work with LovelyDisabledHome to recover and collect items such as paper, aluminium, electric appliances, iron, plastic and clothing.

Digitizing the workplace

The introduction of new technology in modern day society is dramatically changing the way we interact, connect and collaborate in the office. Embracing the digital era, we transformed our workplace and modified internal processes to focus on the adoption of technology that help make the office more eco-friendly. We employed AI to help manage and store internal documents, favour electronic means of communication where possible, and introduced a hybrid working model that helps to reduce greenhouse gas emissions at the office and from traveling.

PLAY

the role of the company well

It is apparent in the way we engage with our employees, enforce ethical business practice, maintain shareholder confidence, and promote growth and development. As a key market player, we set the tone when it comes to sustainable corporate governance, transparency, advocacy, engagement and inclusivity.

We know that part of being a good company is also about how we foster an inclusive and productive environment for our people, do business the right way, and maintain shareholder confidence. Our inherent role as a company includes an employee-first approach, sustainable corporate governance, and shareholder value enhancement.

A workplace focused on people

We strongly believe that the environment people are in can influence behaviour and motivation to act. Understanding this, we designed a workplace with facilities and open spaces that inspire collaboration, spark dialogue, and promote work-life balance. We accomplish this by providing entertainment and amenities that bring people together in a playful and casual manner while also leaving room for collision of ideas and effective huddle groups.

Diversity & inclusion

Diversity and inclusion are fundamental to the workplace for high-performing and healthy teams. We see value in the contributions that people with different backgrounds, experiences and perspectives bring to the table, harnessing the power of differences to create a business that operates sustainably.

We are committed to providing equal opportunity for all people regardless of their background and perspective. We embrace the strengths that people of different gender, ethnicity, age, education, or ability bring to build a stronger community.

Healthcare for our people

We prioritize the health and wellbeing of our company's greatest asset, our people. We provide a suite of health and wellbeing benefits to our employees under our LOVEPLAYCARE initiative which cover COVID-19-related matters, fortnightly fruits*, medical, hospitalization, dental and optical coverage.

**Given the COVID-19 restrictions, we had to occasionally pause our fortnightly fruit giving.*

34%
of N2N staff are females

25%
of female N2N staff hold manager or technical positions

11
We hire people from 11 different countries with 40% of our staff located outside of Malaysia.

Training & development

300+

employees took part in our training and development programs

Our people carry with them a growth mindset that values improvement, learning from failure, challenges and new ideas. We are committed to investing in the ongoing learning and development of our people and their career paths. We regularly organize a combination of internal knowledge sharing sessions, formal training courses and personal development programs to help inspire leadership, confidence, and capability in our people, assisting their current role and/or future career development.

Doing business the right way

We recognise that sustainable ethical business conduct is key to the reputation of a business which helps to protect and enhance shareholder value. N2N's Board and management are committed to high standards of corporate governance, and have in place materials, key principles, policies, committee charters and code of conducts to help enforce our commitments.

Available on our corporate website are the following corporate governance materials, which set out further the standards we adhere ourselves to:

90%

of our top 10 clients have been with us for 10+ years

- **Board Charter**
- **Code of Business Conduct for Contractors & Suppliers**
- **Corporate Governance Reports**
- **Whistleblowing Policy**
- **Nomination and Remuneration Committee Charter**
- **Terms of Reference of Audit Committee**
- **Employee's Code of Conduct & Ethics Policy**
- **Anti-Bribery & Anti-Corruption**

Further information regarding our various corporate governance materials can be found at: **n2nconnect.com/corporate-governance.html**

Protecting our clients' data

Our clients' trust is key to our success. Which is why we commit ourselves to use stringent cybersecurity measures, and to use data responsibly, transparently and with consent. Our robust cybersecurity framework is regularly reviewed to test our data processing methodology, stay compliant with our legal obligations, prevent unauthorized data use, and enhance data protection.

We continuously invest in our security capabilities, including maintaining, enhancing existing technology, and deploying new ones so that we stay ahead of security threats. While it is not possible to mitigate all cyber risks, it is critical that we take action to help maintain our customers trust in us.

In relation to data protection, our practices are developed in compliance industry-recognized standards such as the Personal Data Protection Act 2010 and ISO27001:2013 standard.

Robust earnings

As a Group, we are responsible to the people who own and support the company. We are committed to pursue sustainable growth, and deliver attractive returns to shareholders which help increase our reputation and value. We achieve our economic goals by setting, reviewing and ensuring our commitments alongside constant innovation and effective capital management.

For the past five years, N2N has consistently achieved profits and enhance value for shareholders.

Profits over the past five years In RM thousand and sen	2017	2018	2019	2020	2021
Profit before tax	25,151	19,291	17,567	25,644	21,050
Profit after tax	23,737	12,790	15,261	26,661	20,368
Core profit	11,479	17,208	14,022	17,969	21,599
Net dividend per share (sen)	1.0	4.0	1.0	3.5	4.0

Figure 23

Supporting local suppliers

In line with current market shifts for more circular value chains, greater transparency, and increased sustainability from businesses, we established and integrated a Code of Business Conduct for Contractors & Suppliers into our supplier due diligence process to help guide us source from contractors and suppliers who align with our values and policies, promoting and advocating for more responsible supply chain conduct.

Engaging with suppliers is an important way in which we can have a positive impact on communities We aim to improve the lives of people who use our products and those who help make them.

Information regarding our Code of Business Conduct for Contractors & Suppliers can be found at: **n2nconnect.com/corporate-governance.html**

Internship & student opportunities

There is value in experience. Internships and student opportunities means investing into the future of potential new talents and leaders as well as ours. We offer internship programs and work with universities to help provide students meaningful work, professional development as well as early experience into our industry and the working world.

75+

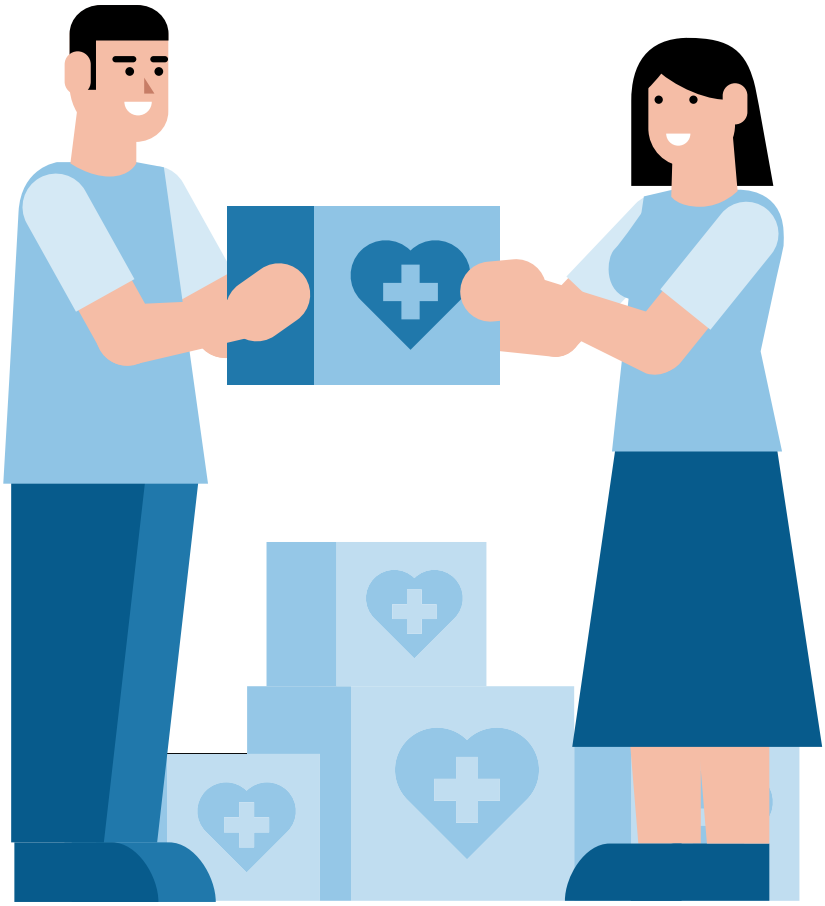
internships provided since 2007

CARE

for the community

The positive contributions we make to the communities we are a part of goes towards supporting our shared future. We recognize that we have a social responsibility to the communities around us, and so we use the great technology we have and our market position to help build a society where everyone wins.

We are committed to promote a healthy community that brings the world closer together. We proudly collaborate with industry leaders and non-governmental organizations (NGOs) as well as reinvest revenue back into the community to create sustainable solutions that care for our people, direct community, and broader society.



Promoting trading literacy

Everyone should be given equal opportunity to equip themselves with all the necessary skills to help them live a better life, including learning about trading/investing as an option to help them manage and grow their finances.

Together with industry leaders and our clients, we organize educational events such as our Inter-Varsity Stock Challenge to help close the knowledge gap that is often associated with our industry. What we do is take the technicalities of our industry and simplify them in a fun, pressure-free manner, to help kickstart everyone's investment journey.

Technology for people

We have been developing products and solutions that empower people with technology since 2000. From the first desktop platforms to modern day web and mobile-based platforms, an apparent theme throughout all our designs is the necessity to connect people, enabling trading without borders, anytime, anywhere.

As a leading innovator within our field, we recognize the innate responsibility we have to use good technology to serve and improve the community around us. Following-through on our commitments, we consistently invest in research & development to help innovate and explore next-generation technology that will help us better connect people and markets.

Supporting the differently-abled

The differently-abled are more affected by their social environment than their bodies. We believe that every single human being comes with something special within and some weaknesses too. At N2N, we want to help the differently-abled to be treated and accepted as regular members of society- to be seen and interacted with as equals, to focus on their strengths instead of weaknesses, and to provide them with opportunities that help contribute to broader society like the rest of us.

Since 2016, we have been actively working with LovelyDisabledHome to help provide job opportunities for people with physical and mental disabilities, including selling their homemade products and using their recycling centres.

Blood donation events

Safe blood saves lives. There is a constant global need for a regular supply of blood to help those who need it, such as women with complications during pregnancy and childbirth, children with severe anaemia, accident victims and surgical and cancer patients.

Recognizing the importance of giving blood and how it can save lives, we partner with Pusat Darah Malaysia to regularly organize and host blood donations 3 times a year at our headquarters. The blood donations are open to the public, and we also partner with organizations to help provide incentives that encourage people to donate blood.

Charity for good

We help one another because it's the right thing to do. We believe that charity is an essential part of being a member of society, providing relief and assistance to those who need it, such as victims of war, natural disaster, catastrophe, hunger, disease, poverty, and orphans, wherever they are.

We commit ourselves annually to unconditionally give a portion of our revenue to a bunch of different charities that help out communities in a myriad of special ways.

45%
R&D staff to total staff count

11.6%
of Total Revenue re-invested in R&D

10x
N2N has donated to charities and NGOs

Our Stakeholder Engagement

N2N incorporates and promotes sustainable goals economically, environmentally, and socially across business operations; maintaining high standards of conduct and maximising long-term value creation for the benefit of stakeholders.

We are committed to our sustainability goals, and maintain effective communication and understanding with all employees and stakeholders involved to make sure that we meet them.

Our ongoing stakeholder engagements:

	Ongoing engagements	Objective
Government and regulatory authorities	Meetings and engagements through trade associations and chambers of commerce	To ensure our business operations comply with local authorities' rules and regulations.
Customers	Regular client visits, dedicated account teams, and customer experience centre	To ensure customer satisfaction with our products and services To provide prompt and efficient assistance to customers
Employees	Staff training, frequent employee communications, health and safety communication programs, community conversations, and employee well-being programs	To ensure the workplace is a safe and inclusive space for all employees. To provide continuous training and up-skilling for better performance and career development
Suppliers	Regular review of major suppliers to provide service delivery feedback and areas of improvement for the mutual benefit of both parties	To ensure two-way value creation with suppliers To achieve a sustainable supply chain
Non-governmental organisations (NGOs),Investors and analyst	On-going dialogue with NGOs and charitable organisations Announcement to Bursa Securities, general meetings, corporate website and on-going dialogues with investors and analysts	To develop initiatives to benefit the people and the community To generate shareholder return on a sustainable basis To report financial results on quarterly and annual basis To make announcements to Bursa Securities about the Group's major activities
Media	Regular engagement with the media about N2N and the industry's development	To provide an update on N2N's activities, initiatives and moving forward plans

Sustainability Governance

N2N is in the midst of establishing a sustainability governance structure that oversees and manages the overall planning and implementation of sustainability practices and policies for social and environmental risks in a continuous and systematic manner. The structure will review the effectiveness of standards and procedures relating to the wellbeing of employees, relationships with communities, environment, the level of accountability and transparency, and sustainable development. Currently, all operating divisions have been charged with the fiduciary duty to consider sustainability in their business strategy planning, operations, and processes. We are committed to continuously refine and improve our processes over time.

LOVE
PLAY
CARE

Board of Directors

Tiang Boon Hwa

Managing Director, Founder

Mr. Tiang, 59, male, Singaporean, joined N2N on 24 August 2000.

He holds a diploma in Computer Studies from the City & Guilds of London Institute and served as Senior Management Consultant at Deloitte Haskins & Sells, Head of Regional IT Audit for the South Asian Region at Citibank N.A., Product Consultant at Computer Associates Singapore, Managing Director at Computer Associates Malaysia and Brunei, Regional Director at i2 Technologies Pte Ltd, and General Manager at Exact Software Asia Development Centre Sdn Bhd. He is also an adjunct professor at the Management and Science University, Malaysia. He is currently a member of the Risk Management Committee of N2N.

He is the spouse of Mdm. Lai Su Ping.

He does not hold any directorships on the board of other public companies in Malaysia. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Lai Su Ping

Non-Independent Executive Director, Founder

Mdm. Lai, 51, female, Malaysian, joined N2N on 10 August 2000.

She holds a diploma from the Chartered Institute of Marketing and served as a Marketing Executive at Yonex Sdn Bhd, Project Executive at Kumpulan Jetson Bhd, and Channel Manager at Computer Associates Sdn Bhd. She is currently the Chairman of the Option Committee of N2N.

She is the spouse of Mr. Tiang Boon Hwa.

She does not hold any directorships on the board of other public companies in Malaysia. There is no conflict of interest with N2N. Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any.

Chua Hock Seng

Independent Non-Executive Director

Mr. Chua, 74, male, Malaysian, joined N2N on 25 November 2020.

He holds a diploma in Business Studies from the City of London College and served as Co-Founder at Noone & Co, Co-Founder at Halim Securities Sdn Bhd, Director at The Malaysia Capital Fund Ltd, a member of the Consultant Advisory Board of Bridge Group International Ltd, Business Developments and Advisory at K&N Kenanga Bhd / Investment Bank, and a member of the Main Committee, the SCAN Board, and the various subcommittees of Bursa Malaysia.

He does not hold any directorships on the board of other public companies in Malaysia. He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Elaine Foong Sooi Jade

Independent Non-Executive Director

Mdm. Foong, 46, female, Malaysian, joined N2N on 15 March 2016.

She is a fellow member of The Association of Chartered Certified Accountants (FCCA) and a member of the Malaysian Institute of Accountants (MIA). She served as Head of Finance at N2N Connect Bhd, a member of the Audit and Assurance division at Messrs. KPMG Malaysia, Audit Team Lead at Messrs. Chio Lim & Associates Singapore, and Chief Trainer at Pinoki Brain Training Network. She is currently the Chairman of the Audit Committee and a member of the Nomination and Remuneration Committee, the Option Committee, and the Risk Management Committee of N2N.

She does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any.

Fathi Ridzuan bin Ahmad Fauzi

Independent Non-Executive Director

En. Fathi, 57, male, Malaysian, joined N2N on 30 May 2018.

He holds a bachelor's degree in Accounting and Financial Analysis from the School of Industrial and Business Studies, University of Warwick, and served as Head of Exchanges and various positions at Bursa Malaysia Bhd, Chief Financial Officer at VADS Bhd, Chief Operating Officer and Chief Financial Officer at Maybank Investment Bank Bhd, Managing Director at IX.com Sdn Bhd, and Deputy Chairperson and Managing Director at FNW Capital Partners Sdn Bhd. He is currently a member of the Audit Committee of N2N. He also sits on the board of Advancecon Holdings Bhd, a public-listed company in Malaysia.

He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Goh Ching Chee

Independent Non-Executive Director

Mr. Goh, 62, male, Malaysian, joined N2N on 5 January 2018.

He holds qualifications in Computer Programming and Information Processing from both the City & Guilds of London Institute and Mensa Institute of Computer Studies, qualifications from the Institute of Data Processing Management and Institut Bank Bank Malaysia, and served as both the Executive Vice President and Managing Director of Mortgage Business at Citibank for Malaysia and Thailand, and the Business Development Head at Zenith Properties. He is currently the Chairman of the Risk Management Committee, a member of the Nomination and Remuneration Committee, and the Audit Committee of N2N. He also sits on the board of India International Bank (Malaysia) Bhd, a public company in Malaysia.

He has no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Dato' Sim Kia Ju

Independent Non-Executive Director

Dato' Sim, 59, male, Malaysian, joined N2N on 26 Jan 2022.

He holds a bachelor's degree in Mathematics from Queen Mary College, University of London, and is a fellow member of the Institute of Chartered Accountants in England and Wales (ICAEW). He served as Audit Senior at Leigh Carr Chartered Accountants, Audit Manager at both Whiteleys Chartered Certified Accountants and Coopers & Lybrand, Assistant Vice President of Finance at Empress Cruise Lines (Gaming), Vice President of Finance at Naga Resorts (Gaming), Vice President of Finance, Vice President of Slots, Senior Vice President of Casino Operations, and Executive Vice President of the Genting Malaysia Group, and Chief Operating Officer of City of Dreams Manila of the Melco Group. He is currently the Chairman of the Nomination and Remuneration Committee and a member of the Audit Committee of N2N.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Jiang, Jianfeng

Non-Independent and Non-Executive Director

Mr. Jiang, 49, male, Chinese, joined N2N on 26 July 2021.

He holds a bachelor's degree in Computer Science from Zhejiang University, a master's degree in Investment Economics from the Shanghai University of Finance and Economics, and served as a Software Engineer in the Zhejiang branch of the Bank of China and General Manager of the Strategic Development Department of the Holley group. He is currently General Manager of the Investment Department of Hundsun Technologies Inc.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. Mr. Jiang is currently working for Hundsun Technologies Inc, the parent company of Hundsun Holdings Ltd. Hundsun Holdings Limited and Hundsun Technologies Inc are the direct and indirect substantial shareholders of N2N, and Hundsun Holdings is considered a potential competitor in some business in Hong Kong SAR, China by N2N-AFE (Hong Kong) Limited. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Key Senior Management

Tiang Boon Hwa

Managing Director, Founder

Please refer to Mr. Tiang's profile in the Board of Directors' section.

Lai Su Ping

Non-Independent Executive Director, Founder

Please refer to Mdm. Lai's the profile in the Board of Directors' section.

Kok Wan Chun

Chief Operating Officer

Mr. Kok, 54, male, Malaysian, joined N2N on 2 May 2018.

He holds a Diploma in Financial Accounting from Tunku Abdul Rahman College and a professional accounting qualification from the Association of Chartered Certified Accountants (ACCA). He served as a Senior Finance Manager at N2N Connect Bhd, Chief Operating Officer, Accounts Assistant, and Financial Controller at Patimas (MD) Sdn Bhd, General Manager of Sales & Operations at Corcoda Corporation, and a sessional lecturer at Sunway University and Monash University.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Chua Kok Chuan

Solutions Architect

Mr. Chua, 48, male, Malaysian, joined N2N on 18 October 2021.

He holds a higher diploma in Software Engineering from the Asia Pacific Institute of Information Technology and served as Group Technical Consultant at Excel Force MSC Bhd, Application Specialist at Silverlake Mobility Ecosystem Sdn Bhd, Regional Head of Trading Applications at RHB Investment Bank Bhd, and Chief Technical Officer at Silverlake Digital INX Sdn Bhd.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Chan See Wai

Technical Director, Founder

Mr. Chan, 49, male, Malaysian, joined N2N on 2 January 2004.

He holds a bachelor's degree in Computer Science from the Western Michigan University and served as a Software Engineer at both the Federal Computer System Sdn Bhd and BASS Consulting Sdn Bhd.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Loh Tai Hai

Head of Sales

Mr Loh, 49, male, Malaysian, joined N2N on 1 December 2014.

He holds a Bachelor's Degree in Computer Science from the University of Manchester and served as Head Sales & Marketing at Excel Force MSC Bhd, Vice President Operations at Matrix Co. Ltd, Business Solutions Director at TrinityCrux Sdn Bhd, and Head of Sales & Pre-sales, Head of Consultant, Head of Development, Head of Application, Application Specialists, and Application Engineer at Patimas Computers Bhd.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Li Ka Fuk

Country Manager

Mr. Li, 48, male, Chinese, joined N2N on 16 April 2015.

He holds a Bachelor's Degree in Engineering from the Chinese University of Hong Kong and served as a Project Manager, and Senior Manager at AFE Ltd, System Consultant at Sulcus Hospitality Ltd, Computing Officer at The Hong Kong Institution of Engineers, Project Manager at Systek Information Technology Ltd, and a Trader at Masterlink Securities Ltd.

He does not hold any directorships on the board of other public companies in Malaysia. There is no family relationship with any other directors or major shareholders of N2N. There is no conflict of interest with N2N. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

Corporate Governance Overview Statement

The Board recognises the importance of upholding high standards of corporate governance as envisioned by the Malaysian Code on Corporate Governance 2021 ("MCCG 2021" or "MCCG"), throughout its organisation. The Board further believes in adhering to such good practices in a responsible, accountable and transparent manner.

In its application of corporate governance practices, the Board is pleased to report hereunder, the Group has applied its corporate governance framework, in particular, the principles and practices as advocated by the MCCG 2021 throughout the financial year ended 31 December 2021.

This statement is to be read together with the Corporate Governance Report 2021 ("CG Report") of N2N, which is available on our website at www.n2nconnect.com, as well as in the Annual Report & CG Report 2021 announcement on the website of Bursa Malaysia.

Principle A: Board Leadership and Effectiveness

Board's Responsibilities And Duties

The Board's principal role is to effectively promote the best interests of the Group with a view towards enhancing shareholders' and stakeholders' values. In this regard, the Board oversees and evaluates the Group's strategies, policies and performance to ensure the delivery of such values.

The Board assumes, inter alia the following principal responsibilities:

- reviewing and adopting a strategic plan for the Group, including its goals and ensuring that the strategic plan of the Group supports long-term value creation and includes strategies on economic, environmental, and social considerations underpinning sustainability;

- establishing policies for strengthening the performance of the Group, including ensuring that Management is proactively seeking to build the business through innovation, initiative, technology, new products, and the development of its business capital;

- identifying principal risks, setting the risk appetite which the Board expects the Management to operate within, ensuring the implementation of appropriate systems to manage the significant financial and non-financial risks, and implementing a sound framework for internal controls and risk management;

- reviewing the adequacy and integrity of the Group's internal control systems and management information systems, including for compliance with applicable laws, regulations, rules, directives, and guidelines;

- outlining and taking the necessary measures to protect the Group's financial position and its ability to meet its debts and other obligations when they fall due;

- confirming that the Group's financial statements are true and fair and conform with any applicable laws and/or regulations; and

- ensuring that the Group adheres to high standards of ethics and corporate behaviour.

The Board is responsible for, amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Group's business, acquisitions and disposals of undertakings and properties of substantial value, major investments and financial decisions, and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies, and delegated authority limits.

Board Composition

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of calibre with diverse backgrounds, expertise, and experience in various fields relevant to the Group's business activities and strategic development.

The Board currently consists of eight members, two Executive Directors, five Independent Non-Executive Directors, and one Non-Independent Non-Executive Director.

The Board is in compliance with the ACE Market Listing Requirements.

Board Tenure

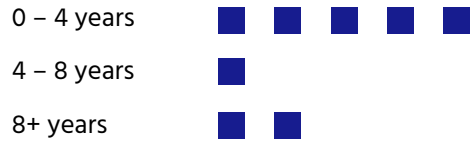
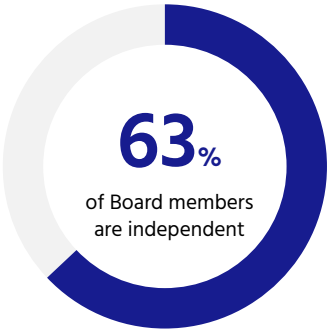


Figure 24 : Duration of directors on the board



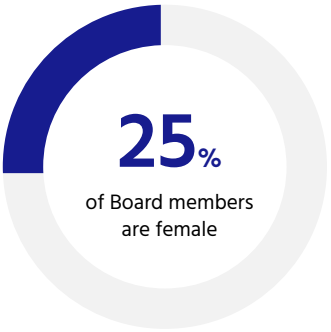


Figure 25

The Chairman and Managing Director

The roles of the Chairman and Managing Director are separate and clearly defined, with the division of responsibilities set out in writing and agreed by the Board.

The Chairman of the Board focuses on the achievement of the Group's strategic vision and also leads the Board in ensuring its effectiveness.

The Chairman is primarily responsible for the following:

- to ensure the effective conduct of the Board's function and meetings;
- to ensure effective contribution of all Directors at board meetings; and
- to ensure effective and respectful communication between Directors and between the Board and its shareholders.

The Managing Director focuses on managing the Group's business activities and day-to-day operations and is responsible for the following:

- to ensure effective implementation of the Board's strategic decisions;
- to ensure efficient and effective operation of the Group;
- to ensure that business opportunities are of potential benefit to the Group; and
- to bring material and other relevant matters to the attention of the Board in an accurate and timely manner.

Supply and Access to Information

Prior to each board meeting, the agenda and a set of board papers encompassing qualitative and quantitative information relevant to the business of the meeting are usually circulated to

the Directors one (1) week in advance and not less than three (3) days prior to the meeting dates. This enables the Directors to have sufficient time to peruse the board papers and seek clarification or further details from the Management or the Company Secretary before each meeting to ensure readiness for meetings. Any director may request to have matters included in the agenda.

In the event of presentations or briefings by the Management or relevant external advisors during board meetings, relevant information and clarification are provided to the Board to assist in decision-making.

The Directors have direct access to the Management and have unrestricted access to any information relating to the Group to enable them to discharge their duties. The Directors also have direct access to the advice and services of the Company Secretary and are regularly updated on new statutory and regulatory requirements relating to the duties and responsibilities of the Directors. In addition, the Board may seek independent professional advice when necessary in furtherance of their duties.

The Company Secretaries

The Company Secretaries play an advisory role to the Board in relation to the N2N's Constitution, Board's policies and procedures, and compliance with the relevant regulatory requirements, codes or guidance, and legislations.

N2N is supported by two qualified and competent company secretaries. Both company secretaries are qualified Chartered Secretaries under the Companies Act 2016 and are members of the Malaysian Association of the Institute of Chartered Secretaries and Administrators ("MAICSA"). The Company Secretaries are external company secretaries from Esprit Management Services Sdn. Bhd. with vast knowledge and experience in public practice and are supported by a dedicated team of company secretarial personnel.

Each acts as an advisor to the Board, particularly with regards to the Constitution of N2N, board policies and procedures and its compliance with regulatory requirements, codes, guidance and legislations. The Company Secretaries ensure that discussions and deliberations at the Board and Board Committee meetings are well documented and subsequently communicated to the relevant Management for appropriate action.

Board Meetings and Attendance

The Board meetings, together with the Board Committee meetings for the financial year ended 31 December 2021, were pre-scheduled in November 2020 to facilitate the Directors in planning ahead and incorporating the meetings into their respective schedules. This also serves to provide the members with ample notice about the meetings.

A total of ten meetings were held during the year to discuss and decide among others, quarterly financial results, performance reports and various other matters. In addition to the above meetings, a board strategic meeting with the Senior Management of the Group was also conducted to provide the Board with updates on the market outlook, external environment analysis, and the Group's strategic and growth plans. Besides the Board meetings, urgent decisions were approved via written circular resolutions.

The reports of the Audit Committee and Nomination and Remuneration Committees are also presented and deliberated at board meetings. The minutes of each board meeting are circulated in a timely manner. All proceedings of the Board meetings are duly recorded in the minutes of each meeting and signed minutes of each meeting are kept by the Company Secretary. Minutes of the board meeting are tabled for confirmation in the next board meeting.

Board attendance record

The following table details the attendance record of the Directors at board meetings during the financial year ended 31 December 2021:

Name of Director	Designation	BOD
Abdul Kadir Bin Md Kassim[1]	Independent Non-Executive Chairman	7/10
Tiang Boon Hwa	Managing Director	10/10
Lai Su Ping	Executive Director	10/10
Chua Hock Seng	Independent Non-Executive Director	10/10
Elaine Foong Sooi Jade	Independent Non-Executive Director	10/10
Fathi Ridzuan Bin Ahmad Fauzi	Independent Non-Executive Director	8/10
Goh Ching Chee	Independent Non-Executive Director	10/10
Dato' Tan Boon Leng[2]	Independent Non-Executive Director	10/10
Jiang, Jianfeng[3]	Non-Independent Non-Executive Director	3/3
Dato' Sim Kia Ju[4]	Independent Non-Executive Director	N/A

[1] Abdul Kadir Bin Md Kassim resigned on 31 December 2021.
[2] Dato' Tan Boon Leng resigned on 11 March 2022.
[3] Jiang, Jianfeng was appointed on 26 July 2021.
[4] Dato' Sim Kia Ju was appointed on 26 January 2022.

Figure 26: Board attendance record

Directors' Re-Election and Re-Appointment

The Nomination and Remuneration Committee is responsible for recommending to the Board, directors who are standing for re-election at the annual general meeting pursuant to Clause 103 and 110 of N2N's Constitution. In accordance with the Clause 103 of N2N's Constitution, one-third of the Board, including the Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every three (3) years. Clause 110 of N2N's Constitution provides that any Director appointed to fill a casual vacancy or as an addition to the existing Directors, shall hold office only until the next annual general meeting and shall then be eligible for re-election.

Directors' rotation list was presented to the Nomination and Remuneration Committee for endorsement prior to recommendation to the Board and thereafter to the shareholders for approval. In assessing the candidates, the Nomination and Remuneration Committee takes into consideration on their attributes, competencies, commitment, personality, and qualities, as well as their contribution and performance based on the Board Effectiveness Assessment.

Board Effectiveness Assessment

An assessment of the effectiveness of the Independent Directors, Executive Directors, Board Committees and the Board as a whole, is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximise strengths and address weaknesses. The Chairman of Nomination and Remuneration Committee oversees the overall evaluation process, and the responses are analysed by the NRC before being tabled and discussed at the Board level.

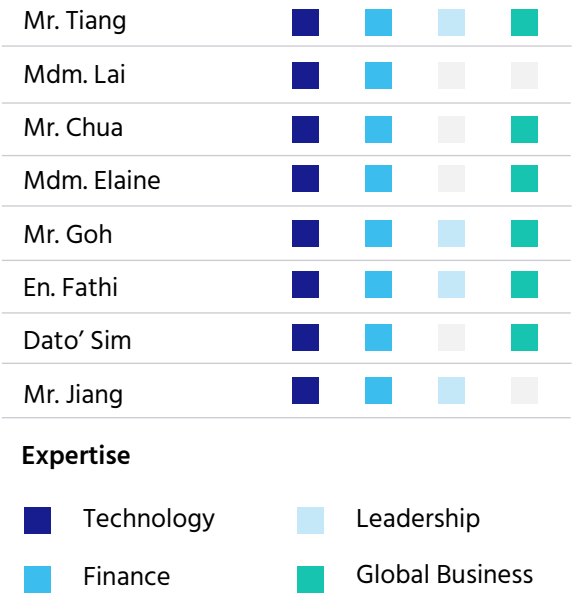


Figure 27

Directors' Development Programme

The Directors are encouraged to attend programmes and seminars to keep themselves abreast with the latest developments in the industry and market place to enable them to carry out their roles effectively as directors in discharging their responsibilities.

All Directors, except for Dato' Sim Kia Ju who was appointed on 26 January 2022, have attended the Mandatory Accreditation Programme as prescribed by Bursa Securities. Apart from attending various conferences and seminars organised by external organisers, the Board also benefited from technical briefings which were conducted by in-house professionals. The Directors are regularly updated on the Group's businesses and the competitive and regulatory environment in which the Group operates.

Directors' trainings attended

The following table details the seminars and training programmes attended by the Directors during the financial year ended 31 December 2021:

Name of Director	Training(s) Attended in 2021
Tiang Boon Hwa	• N2N Bootcamp 2021 • Understanding Asian Transformations: Language and Cultural Binds • Global Social Science Forum "Redefining the Role of Social Scientist Beyond the Pandemic" • Nikkei Forum: Innovative Asia • Gain Connex Webinar: Future of Work – Automated Task (Indonesia & Philippines Chapter) • 《赢战未来》 金融线上峰会 – Golden Summit • Safeguard Yourself and Your Loved Ones – Health & Fitness Talk by the AmBank Group • Advocacy Session for ACE Market Listed Corporation by Bursa Malaysia • Cyber Security Awareness Talk

Lai Su Ping	• N2N Bootcamp 2021 • Understanding Asian Transformations: Language and Cultural Binds • Global Social Science Forum "Redefining the Role of Social Scientist Beyond the Pandemic" • Nikkei Forum: Innovative Asia • Employment Act with latest changes in new norm HR management by Apple Academy • Gain Connex Webinar: Future of Work – Automated Task (Indonesia & Philippines Chapter) • 《赢战未来》 金融线上峰会 – Golden Summit • Safeguard Yourself and Your Loved Ones – Health & Fitness Talk by the AmBank Group • MEF Tax Webinar 2021 • Advocacy Session for ACE Market Listed Corporation by Bursa Malaysia • Cyber Security Awareness Talk
Chua Hock Seng	• Budget 2022 & latest tax development
Elaine Foong Sooi Jade	• Advocacy Sessions for Directors and Senior Management of ACE Market Listed Corporation and various webinars organized by the Association of Chartered Certified Accountants ("ACCA") & the Malaysia Institute of Accountants ("MIA")
Fathi Ridzuan Bin Ahmad Fauzi	• Understanding the Board Decision Making Process • Implementing Amendments to Malaysian Code on Corporate Governance
Goh Ching Chee	• Risk Management in Technology & Digital Transformation by Asia School of Business • Risk Management Committee – Banking Sector by Asia School of Business
Jiang, Jianfeng (appointed on 26/07/2021)	• Mandatory Accreditation Program

Nomination and Remuneration Committee Effectiveness Review and Performance

The Nomination and Remuneration Committee periodically reviews policies and procedures to determine the remuneration of Directors and Senior Management, which takes into account the demands, complexities and performance of the Group as well as skills and experience required of Directors and Senior Management. The Nomination and Remuneration Committee is objective, fair and transparent in its review process.

The Board is satisfied with the performance and effectiveness of the Nomination and Remuneration Committee in providing sound advice and recommendations to the Board.

- Directors' Remuneration

Our approach to remuneration is based on reward principles which aims to provide remuneration packages that fairly rewards the Executive Directors for the contribution they make to the Group, having regard to the size and complexity of the Group's business operations and the need to attract, retain and motivate executives of the highest quality.

The Board has established a formal and transparent Directors' Remuneration Framework which comprise retainer fees, meeting allowances and benefits in-kind.

The Group also reimburses all expenses incurred by the Directors, where relevant, in the course of carrying out their duties as Directors.

The remuneration package for the Executive Directors of the Group is balanced between fixed and performance-linked elements. The current remuneration policy of the Executive Directors consists of basic salary, performance linked bonus, benefits in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Nomination and Remuneration Committee.

The Directors' remuneration for the financial year ended 31 December 2021 are broadly categorised into the following bands:

Group	Fees (RM)	Salaries and Bonus (RM)	Defined Contribution Plan (RM)	Allowance (RM)	Total (RM)
Non-Executive Directors					
Abdul Kadir Bin Md Kassim	128,500	-	-	-	128,500
Chua Hock Seng	110,000	-	-	-	110,000
Elaine Foong Sooi Jade	128,500	-	-	1,000	129,500
Fathi Ridzuan Bin Ahmad Fauzi	110,000	-	-	1,000	111,000
Goh Ching Chee	110,000	-	-	1,000	111,000
Dato' Tan Boon Leng	110,000			2,000	112,000
Jiang, Jianfeng	-	-	-	-	-
Executive Directors					
Tiang Boon Hwa	128,500	6,393,418	41,347	-	6,563,265
Lai Su Ping	128,500	1,270,766	28,763	-	1,428,030
Total	**954,000**	**7,664,185**	**70,110**	**5,000**	**8,693,295**
Company					
Non-Executive Directors					
Abdul Kadir Bin Md Kassim	128,500	-	-	-	128,500
Chua Hock Seng	110,000	-	-	-	110,000
Elaine Foong Sooi Jade	128,500	-	-	1,000	129,500
Fathi Ridzuan Bin Ahmad Fauzi	110,000	-	-	1,000	111,000
Goh Ching Chee	110,000	-	-	1,000	111,000
Dato' Tan Boon Leng	110,000	-	-	2,000	112,000
Jiang, Jianfeng	-	-	-	-	-
Executive Directors					
Tiang Boon Hwa	128,500	342,804	593	-	471,897
Lai Su Ping	128,500	232,000	28,763	-	389,263
Total	**954,000**	**574,804**	**29,356**	**5,000**	**1,563,160**

Figure 28: Director's Remuneration for the financial year ended 31 Dec 2021

- Senior Management Team's Remuneration

The Senior Management Team's remuneration and rewards are linked to corporate and individuals performance. The performance is measured against the key performance indices set in accordance with the Group's annual budget and business plan.

For the financial year ended 31 December 2021, the remuneration for the top five senior management (other than the Executive Directors) was as follows:

Remuneration Range (RM)	Number of Senior Management
50,001 - 100,000	1
300,001 - 350,000	1
350,001 - 400,000	1
550,001 - 600,000	1
800,001 - 850,000	1

Figure 29

Board Committees

The Board has four committees: the Nomination and Remuneration Committee, the Audit Committee, Option Committee and Risk Management Committee.

- Nomination and Remuneration Committee

The Nomination and Remuneration Committee comprises exclusively of the following Independent Non-Executive Directors:

Dato' Sim Kia Ju (Chairman), joined on 11 March 2022
Dato' Tan Boon Leng (Chairman), resigned on 11 March 2022
Elaine Foong Sooi Jade
Goh Ching Chee

The Nomination and Remuneration Committee reviews the structure, size and composition of the Board and its Committees, endorses suitable candidates for appointment to the Board, and reviews the succession planning. Additionally, the Nomination and Remuneration Committee endorses the Group's directors' remuneration policy and framework. For more information, please refer to Nomination and Remuneration Committee Statement on page 82.

- Audit Committee

The Audit Committee comprises exclusively of the following Independent Non-Executive Directors:

Elaine Foong Sooi Jade (Chairman)
Goh Ching Chee
Fathi Ridzuan Bin Ahmad Fauzi
Dato' Sim Kia Ju, appointed on 11 March 2022
Dato' Tan Boon Leng, resigned on 11 March 2022

The Audit Committee monitors the integrity of the Group's financial statements and announcements, the effectiveness of internal controls and risk management, as well as ensuring the quality and independence of the external auditors and internal auditors. For more information, please refer to Audit Committee Report on page 78.

- Option Committee

The Option Committee comprises the following Directors and Chief Operating Officer:

Lai Su Ping (Chairman)
Elaine Foong Sooi Jade
Chris Kok Wan Chun

The Option Committee administers the Long-Term Incentive Plan/Employee Share Option Scheme and grant Options in accordance with the By-Law,

recommends to the Board to establish, amend, and revoke By-Laws, make rules and regulations to facilitate the implementation of the Long-Term Incentive Plan/Employee Share Option Scheme, determines all questions of policy and expediency and to construe and interpret the provisions contained in the By-Laws in the best interest of the Group and the Eligible Employees, and exercises such powers and perform such acts as are deemed necessary or expedient to promote the best interests of the Group and the Eligible Employees.

- Risk Management Committee

The Risk Management Committee comprises the following Directors:

Goh Ching Chee (Chairman)
Tiang Boon Hwa
Elaine Foong Sooi Jade

The Risk Management Committee looks at the effectiveness of the Group's risk management framework (for financial and non-financial risks) and supporting systems. This includes reviewing the Group's risk appetite, management's performance, changes that should be made to the risk management framework, key policies that support the risk management framework, material risks identified in the Group's risk profile, reports from management on new/emerging risks, monitors the management of the Group's data governance and information security risks, and reports in relation to material risk incidents or issues, reviewing the lessons learned, and monitor resolution and implementation of remedial actions as appropriate.

Board Charter

The Board Charter sets out the roles and responsibilities of the Board, functions, composition, operations and processes of the Board.

The Board Charter is to ensure that all Board members acting on behalf of the Group are aware of their duties and responsibilities as Board members and the various legislations and regulations affecting their conduct and that the principles and practices of good corporate governance are applied in all their dealings in respect of and on behalf of the Group.

The Board Charter shall be reviewed on a periodic basis and may be amended by the Board from time to time to ensure that the practices of the Board are consistent with the prevailing code of corporate governance, laws and/or regulations and reflects the Board's commitment to best practice in corporate governance.

The Board Charter was last reviewed on 24 March 2022 and is made available at **n2nconnect.com/corporate-governance.html**

Code of Conduct

The Group, the Directors, the Management and employees firmly believe in creating a corporate culture to operate the businesses of the Group in an ethical manner and to uphold the highest standards of professionalism and exemplary corporate conduct. The Group has established a Code of Conduct for Directors and Employees. The Code of Conduct serves to outline the standards of business conduct and ethical behaviour which the Directors and employees should possess in discharging their duties and responsibilities.

A copy of the Code of Conduct is available at **n2nconnect.com/corporate-governance.html**

Additionally, the Group is committed towards preserving and protecting its interest and reputation at all times. The Group expects high standards of integrity and accountability from all employees. It is also intended to encourage and enable employees and others to raise concerns within the Group prior to seeking resolution outside the Group.

Whistleblowing Policy

The Group acknowledges the importance of lawful and ethical behaviours in all its business activities and is committed to adhere to the

values of transparency, integrity, impartiality and accountability in the conduct of its business and affairs in its workplace.

In line with this, N2N Group has adopted a Whistleblowing Policy to protect the values of transparency, integrity, impartiality and accountability wherever N2N conducts its business and affairs. This policy sets out the mechanism and framework by which all its stakeholders who have dealing with the Group can confidently voice concerns or complaints in a responsible manner without fear of discriminatory treatment.
The Whistleblowing Policy also provides contact details of the Audit Committee Chairman and Managing Director to whom the whistleblowing report can be addressed.

The Policy is available at **n2nconnect.com/corporate-governance.html**

Accountability and Audit

The Board is committed to provide a fair and objective assessment of the financial position and prospects of the Group in the quarterly financial results, annual financial statements, Annual Reports and all other reports or statements to shareholders, investors and relevant regulatory authorities. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting.

The Statement of Directors' Responsibility, in respect of preparation of the annual audited financial statements, is set out on page 86 of this Annual Report.

The Directors are also responsible for safeguarding the assets of the Group and taking reasonable steps to ensure that appropriate systems are in place to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Principle B: Effective Audit and Risk Management

Audit Committee

The Audit Committee of the Group comprises of four Independent Non-Executive Directors. The Audit Committee is chaired by Elaine Foong Sooi Jade. She is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

The composition of the Audit Committee is reviewed by the Nomination and Remuneration Committee and recommended to the Board for its approval annually. With the view to maintain an independent and effective Audit Committee, the Nomination and Remuneration Committee ensures that only an Independent Non-Executive Director who is financially literate and has strong understanding of the Group's business would be considered for membership on Audit Committee.

The Audit Committee is relied upon by the Board to, amongst others, provide advice in the areas of financial reporting, external audit, internal control environment and internal audit process, review of related party transactions as well as conflict of interest situation. The Audit Committee also undertakes to provide oversight on the risk management framework of the Group.

Risk Management and Internal Control Framework

The Board is responsible for establishing and maintaining a sound risk management and internal control system to ensure that the shareholders' investments and assets of the Group are safeguarded. The Board through its Audit Committee evaluates the adequacy and effectiveness of the internal control system by reviewing audit findings, recommendations of internal auditor, management responses and actions taken on lapses.

The details of the Group's internal control systems and risk management framework are detailed in the Statement on Risk Management and Internal

Control of this Annual Report.

The Group continues to maintain and review its internal control procedures to ensure, as far as possible, its assets and its shareholders' investments are protected.

Principal C: Integrity in Corporate Reporting and Meaningful Relationship with Stakeholders

Communication with Stakeholders

The Group recognises the importance of being accountable to its stakeholders and investors through maintenance of an open communication policy. In ensuring effective communication, the Group communicates with its stakeholders and investors through various means and forums such as the annual report, company visits, site visits, shareholders' meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media.

Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Group's website at **n2nconnect.com**

Conduct of General Meetings

The annual general meeting is the principal forum for dialogue and interaction with its shareholders. To ensure effective participation of and engagement with shareholders at the annual general meeting, all members of the Board are present at the meeting to respond to the questions raised by the shareholders. The Management, Company Secretaries, and external auditors of the Group are also present to respond to queries raised from the shareholders. The notice of the Twentieth AGM was issued to shareholders more than 28 days before the annual general meeting date.

The Group had conducted its voting on all resolutions at the Twentieth (20th) Annual General Meeting held on 27 May 2021 by polling in line with the ACE Listing Requirements. An independent scrutineer was appointed to oversee the proceedings of the polling.

The minutes of the said annual general meeting are accessible to the public at **n2nconnect.com/general-meeting.html**

This Corporate Governance Overview Statement was approved by the Board on 24 March 2022.

Statement on Risk Management and Internal Control

Introduction

The Board is pleased to set out below the Board's Statement on Risk Management and Internal Control ("Statement") which is prepared in accordance with Rule 15.26(b) of the ACE Market Listing Requirements, Malaysian Code on Corporate Governance 2021 and as guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers ("Guidelines"). This Statement outlines the nature and scope of risk management and internal control of the Group.

Board Responsibility

The Board is responsible for overseeing the Group's risk management and internal control systems. The risk management and internal control systems cover the financial, operational, strategic and compliance controls.

Presently, the Board uses the following review mechanism led by the Audit Committee and Risk Management Committee to oversee the effectiveness of the systems of risk management and internal control in the Group:

- reviews of financial information and reports based on the interim financial results, audited financial statements and annual report presented by management. At the same time, the Audit Committee seeks feedback from External Auditors on risk and control related to the financial statements before and after the completion of the annual statutory financial audit;

- reviews of the audit findings, recommended corrective and improvement actions based on the internal audit findings presented by Internal Auditors; and the deadline for management implementation with the presence of management during the Audit Committee meetings. Subsequently, follow-up reviews are conducted by the Internal Auditors and the status of implementation are reported to the Audit Committee;

- management briefing to the Board during the board meetings on business and operational matters. This briefing enables the Board to obtain clarification from management on their action plans in mitigating and managing the ongoing business and operational challenges; and

- provision of annual management assurance to the Board that the Group's risk management and internal control systems are operating adequately and effectively in all material respects.

Risk Management

The following are our present key risks of the Group. To manage these risks, the Group has developed and implemented the appropriate frameworks to keep these risks under control.

Information Security Risk

Information security risk is the inherent and principal risk of the Group. In order to manage this risk, N2N and the subsidiaries, N2N Global Solutions Sdn. Bhd. and NGN Connection Sdn. Bhd., have implemented ISO 27001:2013 on Information Security Management System (ISMS), setting the foundation of information security controls for the data centre, software development, operation support and helpdesk and the quality assurance processes.

The ISMS also outlines risk identification processes, determining mitigation controls, risk treatment plans, periodic review, and revision of risk management practices. These processes are in line with the international risk management framework principles. Annually, surveillance audit by external certification body is carried out to ascertain the integrity of this management system.

Retention of Talents

Retaining and attracting talents is always a challenge for the IT industry. The Group continues to manage this risk by offering fair and competitive remuneration scheme to employees and providing executives with share option schemes to incentivise and retain competent employees.

COVID-19

Operationally, the main impact of COVID-19 on the Group is the effect on its workforce and workplace. To manage this risk, the Management has implements, continues to enforce and adheres to the preventive and detective procedures in the workplace under the authorities' requirements, providing work-from-home arrangements, frequent office sanitizations, self-test kits,

sanitizers, face masks, and encouraging all employees to get vaccinated.

Economic Risk

Although Malaysia's economy is recovering, the stock market's performance in the year ahead is expected to be affected by the interest rate policy and high inflation, which will impact the sales performance of the Group.

On the other hand, the Hong Kong SAR, China's entity has experienced softer trading activity amidst the rise in COVID-19 cases and the uncertainties surrounding the US-China economic ties. Management continues to emphasise cost management and expands its market share in Hong Kong SAR, China through its Asia e-Broker and Asia Trading Hub.

Intellectual Property Risk

The Group's Intellectual Property consist of work product source codes, trademarks, and copyrights.

Besides protecting these Intellectual Property with legal measures, operationally Management has also safeguarded the controls on IP by segregating and restricting the source code development and access, and tightening the employment terms.

Key Internal Controls

In addition to the above processes, the Group derives its assurance on the state of internal control and risk management from the following procedures, information and review mechanisms:

- defined organisational structure with lines of authority, accountability and responsibilities of the Management team;
- preparation of annual sales plan, financial plan, and product and development plan during the annual management bootcamp by senior management of the respective subsidiaries;
- monitoring the Group's performance and monthly management accounts with division and business unit heads. The Managing Director and Executive Directors review and deliberate the Group's financial performance, business initiatives and other management and corporate issues;
- board oversight on the integrity of audit matters and financial reporting, and review and approval of material capital and investment opportunities proposed by the Managing Director and Key Senior Management;
- employee performance management system, and development;
- potential exposure resulting from IT Security Operation and data centre activities, fire, Director & Officer liability and public liability are insured;
- on-going clients' surveillance audit and reviews;
- adoption and implementation of Anti-Bribery and Anti-Corruption and Whistleblowing policies; and
- implementation of Conflicts of Interest Policy for Directors in July 2021. The purpose of this policy is to assist the members of the Board in identifying, disclosing and managing any actual or potential conflicts of interest.

Internal Audit Function

N2N has outsourced its internal audit function to an internal audit consulting firm. The Internal Auditors have carried out its internal audit work with reference to the principles of the International Professional Practice Framework of the Institute of Internal Auditors covering the conduct of the audit planning, execution, documentations, communication of findings and consultation with key stakeholders.

Functionally, the Internal Auditors carry out their work based on the approved internal audit plan and report to the Audit Committee independently and directly. Further details of the internal audit activities are reported in the Audit Committee Report on page 78.

The total cost incurred on internal audit for the financial year ended 31 December 2021 was RM62,000.

Management Responsibilities And Assurance

In accordance with the Bursa Securities Guidelines, management is responsible to identify risks; implementing and maintaining sound systems of risk management and internal control; and monitoring and reporting to the Board of significant control deficiencies and changes in risks that could significantly affect the Group achievement of its objectives and performance.

The Board has established its Risk Management Committee. The principal responsibilities of the Risk Management Committee are to oversee the establishment and implementation of risk management frameworks in the Group; reviewing and ensuring the adequacy of risk management policies and processes to facilitate the implementation of risk mitigation action plans.

The Board has received assurance from the Managing Director and Chief Operating Officer, who are responsible for the financial management of N2N, that the Group's risk management and internal control system are operating adequately and effectively in all material respect.

Board Assurance And Limitation

The Board has overseen the risk management and internal control systems and was not aware of any significant weakness in the systems that have resulted in a material loss to the Group during the financial year under review and up to the date of approval of this Statement.

The Board recognises that the Group's systems of risk management and internal control must continuously evolve to support the growth and dynamics of the Group as well as to meet the changing and challenging business environment. As such, in striving for continuous improvement, the Board will put appropriate action plans to enhance further the system of risk management and internal controls in the Group.

Despite the above, it should be noted that all risk management and internal control systems could only manage rather than eliminate risks of failure to achieve business objectives. Therefore, the systems of risk management and internal control in the Group can only provide reasonable but not absolute assurance against material misstatements, frauds and losses.

In disclosing this Statement, the Group has not dealt with the systems of risk management and internal control of the OurMoneyMarket Holdings Pty Ltd, an associated company incorporated in Australia, in accordance with the review provisions in the Guidelines. This associated company is a fintech company offering a platform for Peer-to-Peer lending arrangements. Presently, the Group's control on this associated company is by way of board representation and joint decision-making process.

Review By External Auditors

Pursuant to Rule 15.23 of the ACE Market Listing Requirements, the External Auditors have reviewed the Statement on Risk Management and Internal Control for inclusion in the Annual Report for the financial year ended 31 December 2021. Their review was performed in accordance with the Audit and Assurance Practice Guide 3: Guidance for Auditors on Engagements to Report on the Statements on Risk Management and Internal Control included in the Annual Report.

The External Auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is inconsistent with their understanding of the process the Board has adopted reviewing the adequacy and integrity of risk management and internal control of the Group.

This Statement is made under the resolution and approval of the Board dated 24 March 2022.

Audit Committee Report

Members

The Audit Committee of N2N is comprised of the following four members, all of whom are Independent Non-Executive Directors:

Elaine Foong Sooi Jade (Chairman)
Fathi Ridzuan Bin Ahmad Fauzi
Goh Ching Chee
Dato' Tan Boon Leng, resigned on 11 March 2022
Dato' Sim Kia Ju, Appointed on 11 March 2022

In accordance with Paragraph 15.09 (1) of the ACE Market Listing Requirements, the Chairman of the Audit Committee, Elaine Foong Sooi Jade, is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

The Audit Committee is not comprised of any Alternate Director.

Meeting attendance

The following table details the total number of meetings attended out of six meetings held by the members during the financial year ended 31 December 2021:

Name of Director	Attendance
Elaine Foong Sooi Jade	6/6
Fathi Ridzuan Bin Ahmad Fauzi	6/6
Goh Ching Chee	6/6
Dato' Tan Boon Leng	6/6
Dato' Sim Kia Ju	N/A

Figure 30

All meetings were convened with proper notices and agenda, and were distributed to the members with sufficient notification. During the meetings, all deliberations were recorded, and minutes were tabled for confirmation at every succeeding meeting and subsequently presented to the Board for notation.

The Committee also invited the Executive Directors and the Management to attend the meetings in order to keep abreast of matters and issues pertaining to the Group. The Chairman also conveyed to the Board matters of significant concern as and when raised by the Internal Auditors or External Auditors.

Summary of Activities and Work of the Audit Committee

During the financial year ended 31 December 2021, the Audit Committee had discharged its duties and responsibilities as set out in its Terms of Reference as follows:

Financial Reporting

- Reviewed the quarterly financial statements including the draft announcements pertaining thereto and made recommendations to the Board for approval.
- Discussed with the Management and External Auditors on the financial reporting standards that were applied, including the judgements exercised in the application of those standards that may affect the financial statements as well as issues arising from the statutory audit.
- Reviewed the audited financial statements of the Group for the financial year ended 31 December 2020 together with the Management and the External Auditors to ensure that it presented a true and fair view of the Group's financial position and performance for the year, and is in compliance with all disclosure and regulatory requirements before recommending the audited financial statements to the Board for approval.

External Audit

- Evaluated the performance, suitability and

independence of the External Auditors. The External Auditors had provided a declaration of independence and their compliance with the relevant ethical requirements regarding professional independence. Being satisfied with the performance, suitability and the audit independence of the External Auditors, the Audit Committee had recommended to the Board to appoint HLB Ler Lum Chew PLT as External Auditors of the Group in place of the retiring Auditors, HLB AAC PLT.

- Reviewed with the External Auditors, the audit status reports, results of the annual audited financial statements, management letter and Management's response to the findings of the External Auditors, and also the Auditors' report to the shareholders.

- Reviewed with the External Auditor, the Statement on Risk Management and Internal Control for inclusion in the Annual Report.

- Reviewed with the External Auditors, the statutory audit plan for the financial year ended 31 December 2021 and the proposed audit fees by the External Auditors.

Internal Audit

- Reviewed the adequacy of the scope, functions, competency and resources of the internal audit functions, and whether it has the necessary authority to carry out its work.

- Reviewed the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken, and whether or not appropriate action is taken on the recommendations of the internal audit function.

- Reviewed the internal Audit Plan for 2021 to 2023.

Other Activity

- Reviewed and recommended to the Board for approval, the Audit Committee Report, Statement on Risk Management and Internal Control for the Annual Report.

In order to discharge the above duties and responsibilities of the Audit Committee effectively, various seminars, training programs and conferences were attended during the financial year. The Audit Committee was also briefed by the External Auditors on the latest accounting standards applicable to the Group. The list of training attended is disclosed in the Corporate Governance Overview Statement as set out in this Annual Report.

Internal Audit Function

The Group does not have its own in-house Internal Audit function. All internal audit functions are outsourced to IA Essential Sdn Bhd, an independent professional service firm, to assist in discharging its duties and responsibilities.

All Internal audit work is carried out with reference to the principles of the International Professional Practice Framework of the Institute of Internal Auditors ("IIA"). These principles include the conduct of the audit planning, execution, documentations, communication of findings and consultation with key stakeholders.

The Internal Audit function is led by a director, Chong Kian Soon, a member of Chartered Accountants Australia and New Zealand, Certified Public Accountant of the Malaysian Institute of Certified Public Accountants, a Chartered Member of the Institute of Internal Auditors Malaysia and Certified QAR Assessor of IIA, an Associate Member of IIA team manager, and accounting graduate Executives.

The engaged team members are independent of the activities of the Group and are free from conditions that may threaten their ability to carry out responsibilities in an unbiased manner or which may impair objectivity.

The principal responsibility of the Internal Auditors is to review the key controls and its adequacy in responding to risks within the organisation's

governance, operations and information system, assess principal risks and plans of action to address these risks, and to recommend improvements to the existing systems and controls. In addition, the Internal Auditors perform follow-ups on outstanding issues arising from prior audits. The audit scope has been determined based on the risk assessment conducted by the management of the Group and prioritised according to the risk magnitude.

A summary of work of the internal audit function for the financial year ended 31 December 2021 covered the following areas:

- Performed internal audit work on the following areas:

  a. Human Resource function
  b. Credit Control for N2N-AFE (Hong Kong) Limited

  The Internal Audit Report presented to the Audit Committee contains the conclusion of control status, overview of management performance, audit findings, recommendation for improvement, management response and target completion date.

- Reviewed the Statement of Risk Management and Internal Control.

  The internal audit reviews performed during the financial year ended 31 December 2021 did not reveal deficiency that have resulted in any material losses, contingencies or uncertainties that would require separate disclosure in this Annual Report.

  The cost incurred for the internal audit function in respect of the financial year ended 31 December 2021 was approximately RM 62,000.

Terms of Reference of The Audit Committee

The terms of reference of the Audit Committee is available at **n2nconnect.com/corporate-governance.html**

Nomination & Remuneration Committee Statement

Members

The Nomination and Remuneration Committee Statement is comprised of the following three members, all of whom are Independent Non-Executive Directors.

Dato' Sim Kia Ju (Chairman), appointed on 11 March 2022
Dato' Tan Boon Leng (Chairman), resigned on 11 March 2022
Elaine Foong Sooi Jade
Goh Ching Chee

During the financial year ended 31 December 2021, one Nomination and Remuneration Committee Meeting was held. All members of the Nomination and Remuneration Committee attended the meeting.

Meeting attendance

The following table details the total number of meetings attended out of one meeting held by the members during the financial year ended 31 December 2021:

	Attendance
Dato' Sim Kia Ju	N/A
Dato' Tan Boon Leng	1/1
Elaine Foong Sooi Jade	1/1
Goh Ching Chee	1/1

Figure 31

Membership

- The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent; and
- The Chairman shall be an Independent Director or the Senior Independent Director, where such person has been appointed / identified by the Board.

Meetings

- Meetings shall be held at least once (1) a year with a minimum quorum of two (2) members. Additional meetings may be called at any time at the discretion of the Chairman of the Committee;
- Directors, whether Executive or Non-Executive, should not participate in decisions on their own remuneration packages;
- Directors should not participate in the deliberation and decision on their own re-election/reappointment;
- The Company Secretary shall be the Secretary of the Committee;
- The proceedings and deliberations of each Committee meeting shall be reported to the Board by the Chairperson of the Committee; and
- The minutes of each Committee meeting shall be circulated to the Board.

Authority

The Committee is authorized by the Board to obtain independent professional or other advice at the Group's expense and to invite outsiders with relevant experience and expertise to attend meetings if it considers this necessary.

Duties and Responsibilities

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

- review the required mix of skills, experience, independence, diversity and other qualities, including core competencies which Directors (both Executive and Non-Executive) should

bring to the Board;

- recommend to the Board, candidates for all directorship to be filled;
- recommend to the Board, the candidates to fill the seats on Board Committees;
- examine the size of the Board with a view to determine the impact of the number upon its effectiveness;
- assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director;
- review the term of office and performance of Audit Committee and each of its members to determine whether the Committee and its members have carried out their duties in accordance with their terms of reference; and
- review and recommend to the Board, the annual remuneration package of each individual Director (both Executive and Non-Executive) of the Group, such that the levels of remuneration are sufficient to attract and retain the Directors needed to run the Group successfully.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board. The Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

Policy on Board Composition

The policy on the Board's composition is disclosed in the Board Charter.

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

Policy on Remunerating the Board

The Committee will take into consideration the following criteria when reviewing and recommending remuneration packages for the Executive Directors and Non-Executive Directors:

- Director's fiduciary duties
- Time commitments
- Group's performances

The director fees shall be recommended to be approved by an Ordinary Resolution of N2N in a general meeting.

The review of the Directors' remuneration will be carried out by the Nomination and Remuneration Committee on an annual basis for the approval of the Board. For the financial year ended 31 December 2021, the Committee reviewed the following:

- the Directors' fees for the financial year ended 31 December 2021;
- the benefits payable to the Directors from 1 January 2021 to the next Annual General Meeting in 2022; and
- performance related bonus for the year 2020 and remuneration package for the Managing Director for the year 2021.

Board Election Process

The key steps in the process are as follows:

- the Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses as well as the criteria set by the Board;
- the Committee evaluates the potential candidates based on the identified requirements; and
- the Committee recommends the shortlisted candidate for the Board's approval.

For the financial year ended 31 December 2021, the Committee recommended the appointment of one additional Director to the Board.

Assessment

For the financial year ended 31 December 2021, the Committee had reviewed the results of the assessment of the Board as a whole and of each individual Director. The result of the assessment was used as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members. The assessment of the Board and Directors were based on the following criteria:

Individual Director:

- Understanding of role and responsibility
- Time commitment and dedication
- Understanding of the Group's business
- Independence
- Courtesy
- Self-development
- Contribution and participation in board discussion and decision making

Board as a Whole:

- Board structure
- Conduct of meetings
- Corporate strategy and planning
- Risk management and internal control
- Performance measurement and monitoring
- Recruitment and evaluation
- Compensation
- Financial reporting
- Shareholder communication

Assessment of Training Needs

The Committee has reviewed and assessed the trainings attended by the Directors for the financial year ended 31 December 2021, and have determined that the trainings attended were adequate.

Statement of Directors' Responsibilities

The Directors are required by the Companies Act 2016 to prepare financial statements which give a true and fair view of the state of affairs of the Group at the end of each financial year and of their results and cash flows for the financial year then ended.

In order to ensure that the financial statements are properly drawn up, the Board has taken the following measures:

- ensure the adoption of appropriate, adequate and applicable accounting standards and policies and applied them consistently;
- ensure that applicable approved accounting standards have been followed;
- where applicable, judgments and estimates are made on a reasonable and prudent basis; and
- upon due inquiry into the state of affairs of N2N, there are no material matters that may affect the ability of N2N to continue in business on a going concern basis.

The Board has ensured that the quarterly reports and annual audited financial statements of the Group are released to Bursa Malaysia in a timely manner in order to keep our investing public informed of the Group's latest performance and developments.

The Board has also ensured that the Group maintains accounting records that disclose with reasonable accuracy the financial position of the Group, and which enable the Board to ensure the financial statements comply with the Company Act 2016.

The Board has taken the necessary steps that are reasonably available to the Board to safeguard the assets of the Group, and to prevent and detect fraud and other irregularities.

Additional Compliance Information Disclosures

Share Buy-Back and Resale

During the financial year ended 31 December 2021, there were no share buy-back or resale or cancellation of treasury shares.

Options, Warrants and Convertible Securities

On 9 January 2019, 140,089,954 warrants were issued for free to entitled shareholders of the Company on the basis of 1 warrant for every 4 existing ordinary shares at an exercise price of RM0.83. No warrants were exercised during the financial year ended 31 December 2021. The number of warrants issued but not exercised as at 31 December 2021 was 140,089,694.

Other than the above, there are no other options, warrants or convertible securities issued by N2N during the financial year in review.

Long-Term Incentive Plan / Employee Share Option Scheme

On 12 December 2018, the shareholders approved of a Long-Term Incentive Plan of up to 15% of the total number of issued shares of N2N (excluding treasury shares, if any) for eligible employees of the Group.

The following table details the total number of Long-Term Incentive Plan units granted, vested and outstanding since its commencement until the financial year ended 31 December 2021:

Granted to the Group

	Long-Term Incentive Plan (units)
Total number granted	50,000,000
Total number lapsed/ cancelled/opted out	35,870,000
Total number outstanding	14,130,000

Figure 32

Granted to Senior Management

	Long-Term Incentive Plan (units)
Total number granted	2,475,000
Total number outstanding	2,475,000

Figure 33

In accordance with the By-Laws for the Long-Term Incentive Plan, the total number of shares which may be issued to eligible participants, including the Directors and Senior Management of N2N, shall not exceed the aggregate of 15% of N2N's total number of issued shares. As of FY21, the number of Long-Term Incentive Plan units granted to Senior Management represented 4.95% of the total number of Long-Term Incentive Plan units granted.

There were no Long-Term Incentive Plan units granted to the Directors. There was no exercise of the options granted during the financial year.

Non-Audit Fees

During the financial year ended 31 December 2021, the External Auditors have rendered non-audit services to the Group. The fees paid or payable to the External Auditors are as follows:

No.	Non-Audit Services	Amount(RM)
1	Review on Statement on Risk Management and Internal Control	5,000
2	Review on Return of Net Revenue Form	12,000

Figure 34

Material Contract

There were no material contracts involving directors and substantial shareholders during the financial year in review.

Financial Section

DIRECTORS' REPORT

The Directors have pleasure in submitting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2021.

Principal Activities

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities.

The principal activities of its subsidiary companies are disclosed in Note 6 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

Financial Results

	Group (RM)	Company (RM)
Profit/(Loss) for the financial year attributable to:		
- Owners of the Company	21,949,558	16,431,382
- Non-controlling interests	(1,581,738)	-
	20,367,820	16,431,382

Dividends

Since the end of the previous financial year, the Company paid:

a. a first interim single-tier dividend of 1 sen per share amounting to RM5,582,042 in respect of the financial year ended 31 December 2021 on 30 June 2021.
b. a special single-tier dividend of 2 sen per ordinary share amounting to RM11,164,084 in respect of the financial year ended 31 December 2020 on 30 June 2021.
c. a second interim single-tier dividend of 1 sen per share amounting to RM5,582,042 in respect of the financial year ended 31 December 2021 on 28 December 2021.

The Directors do not recommend any final dividend for the current financial year ended 31 December 2021.

Reserves and Provisions

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

Issue of Shares and Debentures

There were no issuances of shares or debentures by the Company during the financial year under review.

Warrants 2019/2024

On 15 January 2019, the Company issued 140,089,954 Warrants 2019/2024 ("Warrants") at an exercise price of RM0.83 each pursuant to a bonus issue of one warrant for every four existing ordinary shares held in the Company. During the financial year, no Warrants has exercised. As at 31 December 2021, there was a total of 140,089,694 (2020: 140,089,694) unexercised Warrants.

Warrants 2019/2024 (Continued)

The salient features of the Warrants are disclosed in Note 20 to the financial statements.

Long Term Incentive Plan

On 12 December 2018, the shareholders of the Company approved the Long-Term Incentive Plan ("LTIP") comprise of Employee Share Grant Plan and Employee Share Option Plan to the Executive Directors, senior management and eligible employees of the N2N Connect Berhad and its subsidiary companies (excluding subsidiary companies which are dormant) and the LTIP was implemented on 27 April 2021. During the financial year, the Company has offered 50,000,000 share options at an exercise price of RM0.705 with 5-year vesting period while no share grant have been offered.

The salient features and terms of the LTIP are disclosed in Note 23 to the financial statements.

Repurchase of Shares

The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 27 May 2021 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

There were no repurchase of shares by the Company during the financial year under review.

As at 31 December 2021, the Company held 39,673,900 (2020: 39,673,900) treasury shares for a total consideration of RM37,237,309 (2020: RM37,237,309). The average price of the shares repurchased was approximately RM0.94 (2020: RM0.94) per share.

Directors

The Directors in office during the financial year and during the period from the end of the financial year to the date of this report are:

Tiang Boon Hwa	
Lai Su Ping	
Elaine Foong Sooi Jade	
Goh Ching Chee	
Fathi Ridzuan bin Ahmad Fauzi	
Chua Hock Seng	
Jiang, Jianfeng	(Appointed on 26 July 2021)
Dato' Sim Kia Ju	(Appointed on 26 January 2022)
Abdul Kadir bin Md Kassim	(Resigned on 31 December 2021)
Dato' Tan Boon Leng	(Resigned on 11 March 2022)

The names of Directors of subsidiaries are set out in the respective subsidiaries' financial statements and the said information is deemed incorporated herein by such reference and made a part thereof.

Directors' Interests in Shares or Debentures

According to the register of Directors' shareholdings required to be kept under Section 59 of the Companies Act, 2016, none of the Directors who held office at the end of the financial year held any shares in the Company or its subsidiaries during the financial year except as follows:

	Number of ordinary shares			
	At 1.1.2021	Acquired	Disposed	At 31.12.2021
Interest in the Company: N2N Connect Berhad				
Direct interest				
Tiang Boon Hwa	17,421,033	-	-	17,421,033
Lai Su Ping	18,040,857	-	-	18,040,857
Goh Ching Chee	6,560,800	70,000	-	6,630,800
Fathi Ridzuan bin Ahmad Fauzi	4,000	-	-	4,000
Dato' Tan Boon Leng	1,936,866	100,000	-	2,036,866
Indirect interest				
Tiang Boon Hwa [1]	109,662,952	-	-	109,662,952
Lai Su Ping [2]	109,043,128	-	-	109,043,128
Chua Hock Seng [3]	70,000	-	(20,000)	50,000
Dato' Tan Boon Leng [3]	791,366	-	-	791,366

	Number of warrants 2019/2024			
	At 1.1.2021	Acquired	Disposed	At 31.12.2021
Interest in the Company: N2N Connect Berhad				
Direct interest				
Tiang Boon Hwa	4,355,257	-	-	4,355,257
Lai Su Ping	4,510,214	-	-	4,510,214
Goh Ching Chee	3,315,200	-	-	3,315,200
Fathi Ridzuan bin Ahmad Fauzi	1,000	-	-	1,000
Dato' Tan Boon Leng	803,466	100,000	-	903,466
Indirect interest				
Tiang Boon Hwa [1]	27,415,737	-	-	27,415,737
Lai Su Ping [2]	27,260,780	-	-	27,260,780
Chua Hock Seng [3]	20,000	-	-	20,000
Dato' Tan Boon Leng [3]	197,841	-	-	197,841

Directors' Interests in Shares or Debentures (Continued)

Notes:

1 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and her direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

2 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and his direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016.*

By virtue of their interests in the shares of the Company, Tiang Boon Hwa, Lai Su Ping, Goh Ching Chee, Fathi Ridzuan bin Ahmad Fauzi, Chua Hock Seng and Dato' Tan Boon Leng are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Elaine Foong Sooi Jade, Jiang, Jianfeng and Abdul Kadir bin Md Kassim who held office at the end of the financial year do not have any interest in shares or debentures in the Company or its subsidiaries during the financial year under review.

Directors' Benefits

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

Directors' Remuneration

Details of Directors' remuneration are disclosed in Note 27 to the financial statements.

Subsidiary Companies

Details of subsidiary companies are disclosed in Note 6 to the financial statements.

Auditors' Remuneration

Details of auditors' remuneration are disclosed in Note 27 to the financial statements.

Indemnity and Insurance Costs

During the financial year, the total amount of insurance premium paid for the Directors and officers was RM10,000.

Other Statutory Information

(a) Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:

(i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for doubtful debts; and

(ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Company have been written down to an amount which the current assets might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

(i) the amount written off for bad debts or the amount of the provision for doubtful debts in the financial statements of the Group and of the Company inadequate to any substantial extent; or

(ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading; or

(iii) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate; or

(iv) any amount stated in the financial statements of the Group and of the Company misleading.

(c) No contingent or other liability of any company in the Group has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations when they fall due.

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; or

(ii) any contingent liability of the Group or of the Company which has arisen since the end of the financial year.

(e) In the opinion of the Directors:

(i) the results of the operations of the Group and of the Company for the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the financial year in which this report is made.

Auditors

HLB Ler Lum Chew PLT (201906002362 & AF0276) have indicated their willingness to accept appointment as auditors of the Company in place of the retiring auditors, HLB AAC PLT (202006000008 & AF001977).

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

TIANG BOON HWA	LAI SU PING

KUALA LUMPUR

STATEMENT BY DIRECTORS

Pursuant to Section 251(2) of the Companies Act, 2016

We, LAI SU PING and TIANG BOON HWA, being two of the Directors of N2N CONNECT BERHAD, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 91 to 187 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2021 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

TIANG BOON HWA	LAI SU PING

KUALA LUMPUR

STATUTORY DECLARATION

Pursuant to Section 251(1) of the Companies Act, 2016

I, KOK WAN CHUN, being the Officer primarily responsible for the financial management of N2N CONNECT BERHAD, do solemnly and sincerely declare that the financial statements set out on pages 91 to 187 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named KOK WAN CHUN)
at KUALA LUMPUR)
on this date of)

KOK WAN CHUN

Before me,

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF N2N CONNECT BERHAD

Registration No.: 200001020530 (523137-K)
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2021 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 91 to 187.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as at 31 December 2021, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (Including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Company for the current year. We have determined that there are no key audit matters to communicate in our report in the financial statements of the Company. These matters were addressed in the context of our audit of the financial statements of the Group as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters (Continued)

Key Audit Matter	How our audit addressed the key audit matter
Revenue recognition (Refer to Note 2.4(m) and Note 26 to the financial statements We focused on this area because there is an inherent risk over the accuracy of application solutions revenue recorded, given the complexity of the pricing models for different customers and the varying tier-based charges arising from the volume of matched trades processed by the system.	Our audit procedures included controls testing and substantive procedures covering, in particular, the following: • We engaged an external independent IT audit expert to test the IT control environment, including application controls over the systems that processed matched trade information; • We assessed the appropriateness of the external independent IT audit experts' scope of work and evaluated whether they had sufficient expertise, capabilities and objectivity to perform the work; • We discussed with the management and the external independent IT audit experts on the IT environment and application controls over the processing of matched trade transactions; • We reviewed the working papers of the external independent IT audit experts and the reports they issued; • We traced a sample of matched trade information log back to the system's database used for raising bills; • We performed tests on accuracy of customer bill generation on a sample basis based on the pricing model and charges based on the signed contract terms; and • Traced and matched cash receipts on a sample of customers back to the sales invoice.

Key Audit Matters (Continued)

Key Audit Matter	How our audit addressed the key audit matter
Goodwill impairment review (Refer to Note 2.3(i) and Note 8 to the financial statements) As at 31 December 2021, the Group recognised goodwill amounting to RM55,111,293 arising from the acquisition of N2N-AFE (Hong Kong) Limited ("N2N-AFE"). Pursuant to MFRS 136 "Impairment of Assets", the Group is required to perform annual impairment assessment on its goodwill. The Group estimated the recoverable amount of the cash -generating unit ("CGU") to which goodwill is allocated based on its value-in-use ("VIU"). In view of the significant carrying amount of the CGU (including goodwill), coupled with the complexity and subjectivity of the assumption involved in the annual impairment test, we consider this to be an audit focus.	We evaluated management's impairment assessment and the process by which they were developed and its oversight of the impairment assessment by the Board of Directors. We challenged assumptions used in the impairment assessment model which, amongst others, include: • forecast revenue • forecast cost of sales and operating costs; • forecast capital expenditure; and • discount rates. Sensitivity analysis was performed on key assumptions used by management and we assessed the impact on the recoverable amount of the goodwill within a reasonable range.

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements of the Group and of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act, 2016 in Malaysia, we report that the subsidiaries of which we have not acted as auditors, are disclosed in Note 6 to the financial statements.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume any responsibility to any other person for the content of this report.

HLB AAC PLT
(202006000008 & AF 001977)
Chartered Accountants

CHEW LOONG JIN
Approved Number: 03279/03/2023 J
Chartered Accountant

KUALA LUMPUR

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2021

	Note	Group 2021 (RM)	Group 2020 (RM)	Company 2021 (RM)	Company 2020 (RM)
Non-Current Assets					
Property, plant and equipment	3	31,994,411	29,734,376	22,293,263	22,957,401
Investment properties	4	9,494,200	9,728,516	9,494,200	9,728,516
Right-of-use assets	5	1,770,029	2,902,287	-	-
Investment in subsidiary companies	6	-	-	96,819,241	101,963,635
Investment in associates	7	6,658,815	9,429,365	8,330,840	8,330,840
Intangible assets	8	79,593,088	77,628,153	-	-
		129,510,543	129,422,697	136,937,544	142,980,392
Current Assets					
Trade receivables	9	18,300,758	22,304,670	213,784	279,638
Other receivables	10	4,568,931	4,171,261	313,904	520,425
Amount owing by subsidiary companies	11	-	-	25,868,291	39,602,524
Amount owing by related companies	12	214,855	342,996	203,437	331,720
Tax recoverable		8,202,514	7,399,040	2,094,344	2,074,274
Marketable securities	13	64,623,673	58,426,277	64,623,673	58,426,277
Financial assets at fair value through profit or loss	14	168,013	127,313	168,013	127,313
Deposits with a licensed bank	15	-	357,736	-	357,736
Cash and bank balances		63,879,421	74,861,463	11,358,226	14,916,394
		159,958,165	167,990,756	104,843,672	116,636,301
Current Liabilities					
Trade payables	16	3,927,283	4,275,047	139,356	211,155
Other payables	17	12,200,287	12,294,365	983,195	934,921
Amount owing to a subsidiary company	11	-	-	377,099	4,977,795
Amount owing to related companies	12	327,612	130,956	424	424
Bank borrowings	18	2,313,889	8,926,667	2,313,889	8,926,667
Lease liabilities	19	1,291,276	1,248,757	-	-
Provision for taxation		491,136	743,383	-	-
		20,551,483	27,619,175	3,813,963	15,050,962
Net current assets		139,406,682	140,371,581	101,029,709	101,585,339
		268,917,225	269,794,278	237,967,253	244,565,731

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2021 (CONTINUED)

		Group		Company	
	Note	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Financed By					
Share capital	20	260,987,119	260,987,119	260,987,119	260,987,119
Treasury shares	21	(37,237,309)	(37,237,309)	(37,237,309)	(37,237,309)
Exchange reserves	22	(6,377,216)	(9,049,683)	-	-
Long term incentive plan reserve	23	1,529,974	-	1,529,974	-
Retained profits		48,648,053	48,623,739	12,687,469	18,584,255
Equity attributable to owners of the Company		267,550,621	263,323,866	237,967,253	242,334,065
Non-controlling interests		(2,192,354)	(638,811)	-	-
Total Equity		265,358,267	262,685,055	237,967,253	242,334,065
Non-Current Liabilities					
Bank borrowings	18	-	2,231,666	-	2,231,666
Lease liabilities	19	659,616	1,892,564	-	-
Provision for retirement benefits	24	2,245,681	2,312,022	-	-
Deferred tax liabilities	25	653,661	672,971	-	-
		3,558,958	7,109,223	-	2,231,666
		268,917,225	269,794,278	237,967,253	244,565,731

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021

		Group		Company	
	Note	2021 (RM)	2020 (RM) Restated	2021 (RM)	2020 (RM)
Revenue	26	115,755,422	112,379,303	-	-
Cost of sales		(45,358,495)	(45,122,914)	-	(1,116)
Gross profit/(loss)		70,396,927	67,256,389	-	(1,116)
Other operating income		2,535,675	6,355,891	31,184,047	5,355,572
Administration expenses		(48,887,908)	(48,558,401)	(14,482,759)	(6,514,012)
Finance costs		(322,387)	(697,239)	(253,861)	(602,422)
Share of associates' results		(2,672,850)	1,287,352	-	-
Profit/(loss) before taxation	27	21,049,457	25,643,992	16,447,427	(1,761,978)
Taxation	28	(681,637)	1,016,622	(16,045)	(101,972)
Profit/(Loss) for the financial year		20,367,820	26,660,614	16,431,382	(1,863,950)
Other comprehensive income/ (expense):					
Item that may be reclassified subsequently to profit or loss:					
• Exchange differences arising from translation of foreign operations		2,672,467	(1,024,531)	-	-
Item that may not be reclassified subsequently to profit or loss:					
• Remeasurement for long service payments, net of tax		402,924	419,884	-	-
Total comprehensive income/ (expense) for the financial year		23,443,211	26,055,967	16,431,382	(1,863,950)
Profit/(loss) for the financial year attributable to:					
• Owners of the Company		21,949,558	27,095,768	16,431,382	(1,863,950)
• Non-controlling interests		(1,581,738)	(435,154)	-	-
		20,367,820	26,660,614	16,431,382	(1,863,950)
Total comprehensive income/ (expense) attributable to:					
• Owners of the Company		25,024,949	26,491,121	16,431,382	(1,863,950)
• Non-controlling interests		(1,581,738)	(435,154)	-	-
		23,443,211	26,055,967	16,431,382	(1,863,950)
Earnings per share attributable to owners of the Company:					
• Basic (sen)	29(a)	3.93	4.85		
• Diluted (sen)	29(b)	3.93	4.85		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021

		Attributable to Owners of the Company							
			Non-distributable			Distributable			
Group	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Exchange Reserve (RM)**	**Long Term Incentive Plan Reserve (RM)**	**Retained Profits (RM)**	**Sub-Total (RM)**	**Non-Controlling Interest (RM)**	**Total Equity (RM)**
At 1 January 2021		260,987,119	(37,237,309)	(9,049,683)	-	48,623,739	263,323,866	(638,811)	262,685,055
Investment in a subsidiary	6(c)	-	-	-	-	-	-	28,195	28,195
Long term incentive plan granted	23	-	-	-	1,529,974	-	1,529,974	-	1,529,974
Dividends	30	-	-	-	-	(22,328,168)	(22,328,168)	-	(22,328,168)
Profit/(Loss) for the financial year		-	-	-	-	21,949,558	21,949,558	(1,581,738)	20,367,820
Other comprehensive income/ (expense)									
• Exchange differences arising from translation of foreign operations		-	-	2,672,467	-	-	2,672,467	-	2,672,467
• Remeasurement for long service payments, net of tax		-	-	-	-	402,924	402,924	-	402,924
Total comprehensive income/ (expense) for the financial year		-	-	2,672,467	-	22,352,482	25,024,949	(1,581,738)	23,443,211
At 31 December 2021		260,987,119	(37,237,309)	(6,377,216)	1,529,974	48,648,053	267,550,621	(2,192,354)	265,358,267

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

		Attributable to Owners of the Company						
			Non-distributable		Distributable			
Group	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Exchange Reserve (RM)**	**Retained Profits (RM)**	**Sub-Total (RM)**	**Non-Controlling Interest (RM)**	**Total Equity (RM)**
At 1 January 2020		260,987,119	(37,197,959)	(8,025,152)	40,645,234	256,409,242	(508,483)	255,900,759
Shares repurchased during the year held as treasury shares	21	-	(39,350)	-	-	(39,350)	-	(39,350)
Additional contribution by non-controlling interest		-	-	-	-	-	885,000	885,000
Investment in a subsidiary		-	-	-	-	-	(580,174)	(580,174)
Dividends	30	-	-	-	(19,537,147)	(19,537,147)	-	(19,537,147)
Profit/(Loss) for the financial year		-	-	-	27,095,768	27,095,768	(435,154)	26,660,614
Other comprehensive income/(expense):								
• Exchange differences arising from translation of foreign operations		-	-	(1,024,531)	-	(1,024,531)	-	(1,024,531)
• Remeasurement for long service payments, net of tax		-	-	-	419,884	419,884	-	419,884
Total comprehensive (expense)/income for the financial year		-	-	(1,024,531)	27,515,652	26,491,121	(435,154)	26,055,967
At 31 December 2020		260,987,119	(37,237,309)	(9,049,683)	48,623,739	263,323,866	(638,811)	262,685,055

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

			Non-distributable		Distributable	
Company	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Long Term Incentive Plan Reserve (RM)**	**Retained Profits (RM)**	**Total (RM)**
At 1 January 2021		260,987,119	(37,237,309)	-	18,584,255	242,334,065
Long term incentive plan	23	-	-	1,529,974	-	1,529,974
Dividends	30	-	-	-	(22,328,168)	(22,328,168)
Profit/Total comprehensive income for the financial year		-	-	-	16,431,382	16,431,382
At 31 December 2021		260,987,119	(37,237,309)	1,529,974	12,687,469	237,967,253

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

			Non-distributable	Distributable	
Company	**Note**	**Share Capital (RM)**	**Treasury Shares (RM)**	**Retained Profits (RM)**	**Total (RM)**
At 1 January 2020		260,987,119	(37,197,959)	39,985,352	263,774,512
Shares repurchased during the year held as treasury shares	21	-	(39,350)	-	(39,350)
Dividends	30	-	-	(19,537,147)	(19,537,147)
Loss/Total comprehensive expense for the financial year		-	-	(1,863,950)	(1,863,950)
At 31 December 2020		260,987,119	(37,237,309)	18,584,255	242,334,065

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021

Cash Flows From Operating Activities	2021 (RM)	2020 (RM)
Profit before taxation	21,049,457	25,643,992
Adjustments for:		
Amortisation of intangible assets	6,844,164	6,093,779
Bad debts written off	161,064	8,930
Depreciation of property, plant and equipment	4,230,219	4,405,043
Depreciation of investment properties	234,316	234,316
Depreciation of right-of-use assets	1,208,040	1,549,467
Fair value change on financial assets at fair value through profit and loss	(40,700)	(11,396)
Gain on lease reassessment	-	(349,392)
Long term incentive plan expenses	1,529,974	-
Loss on disposal of property, plant and equipment	2,816	973
Impairment loss on:		
- trade receivables	9,513	2,753,586
- other receivables	-	3,320,977
- goodwill	-	557,199
Provision for long service payments	341,306	391,578
Reversal of impairment loss on trade receivables and contact assets	(206,870)	(20,672)
Share of associate's results	2,672,850	(1,287,352)
Unrealised foreign exchange loss	34,855	307,423
Finance costs	322,387	697,239
Finance income	(208,934)	(268,834)
Dividend income	(1,187,059)	(1,933,643)
Operating profit before working capital changes	36,997,398	42,093,213
Trade receivables	4,108,364	(1,917,095)
Other receivables	(396,070)	2,498,246
Trade payables	(328,220)	(391,329)
Other payables	(96,378)	2,046,416
Amount owing by/to related companies	324,797	(540,013)
Amount owing by an associate	-	(600,795)
	3,612,493	1,095,430
Cash generated from operations	40,609,891	43,188,643
Dividend received	1,187,059	1,933,643
Interest paid	(322,387)	(697,239)
Interest received	208,934	268,834
Retirement benefits paid	-	(115,899)
Tax refund	-	23,451
Tax paid	(1,876,830)	(8,480,684)
	(803,224)	(7,067,894)
Net cash generated from operating activities	39,806,667	36,120,749

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

	2021 (RM)	2020 (RM)
Cash Flows From Investing Activities		
Computer software development cost	(7,028,528)	(8,104,317)
Purchase of property, plant and equipment	(6,418,145)	(2,172,944)
Proceeds from disposal of property, plant and equipment	1,385	280
Net cash inflow from investment in a subsidiary	(69,512)	469,889
Net changes in marketable securities	(6,197,396)	24,091,909
Net cash (used in)/ generated from investing activities	(19,712,196)	14,284,817
Cash Flows From Financing Activities		
Additional interest contributed by non-controlling interest	-	885,000
Dividends paid	(22,328,168)	(19,537,147)
Decrease/(increase) in fixed deposit pledged	357,736	(6,806)
Repayment of bank borrowings	(9,167,777)	(9,357,778)
Payment for lease liabilities	(1,341,908)	(1,354,288)
Repurchase of treasury shares	-	(39,350)
Net cash used in financing activities	(32,480,117)	(29,410,369)
Net (decrease)/increase in cash and cash equivalents	(12,385,646)	20,995,197
Effect of exchange rate changes	1,403,604	(886,814)
Cash and cash equivalents at beginning of the financial year	74,861,463	54,753,080
Cash and cash equivalents at end of the financial year	63,879,421	74,861,463
Cash and cash equivalents at end of the financial year comprises:		
Deposit with a licensed bank	-	357,736
Cash and bank balances	63,879,421	74,861,463
	63,879,421	75,219,199
Less: Fixed deposit pledged to a licensed bank	-	(357,736)
	63,879,421	74,861,463

The accompanying notes form an integral part of the financial statements.

COMPANY STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021

Cash Flows From Operating Activities	2021 (RM)	2020 (RM)
Profit/(Loss) before taxation	16,447,427	(1,761,978)
Adjustments for:		
Bad debts written off	316,713	218,823
Depreciation of property, plant and equipment	707,058	757,682
Depreciation of investment properties	234,316	234,316
Fair value change on financial assets at fair value through profit and loss	(40,700)	(11,396)
Impairment loss on:		
• trade receivables	9,513	-
• amount owing by subsidiary companies	5,000,002	-
Long term incentive plan expenses	336,746	-
Loss on disposal of property, plant and equipment	-	554
Finance costs	253,861	602,422
Finance income	(55,373)	(125,915)
Dividend income	(22,235,907)	(1,933,643)
Unrealised foreign exchange loss	121,227	80,073
Operating profit/(loss) before working capital changes	1,094,883	(1,939,062)
Changes in working capital:		
Trade receivables	50,890	(217,200)
Other receivables	(110,190)	58,209
Trade payables	(71,799)	55,146
Other payables	48,274	165,730
Amount owing by/to subsidiary companies	10,580,609	(281,406)
Amount owing by/to related companies	128,282	(115,936)
Amount owing by an associate	-	54,535
	10,626,066	(280,922)
Cash generated from/(used in) operations	11,720,949	(2,219,984)
Dividend received	22,235,907	1,933,643
Interest paid	(253,861)	(602,422)
Interest received	55,373	125,915
Tax paid	(36,115)	(101,972)
	22,001,304	1,355,164
Net cash generated from/(used in) operating activities	33,722,253	(864,820)

COMPANY STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2021 (CONTINUED)

Cash Flows From Investing Activities	2021 (RM)	2020 (RM)
Purchase of property, plant and equipment	(42,920)	(26,451)
Proceeds from disposal of property, plant and equipment	-	210
Net changes in marketable securities	(6,197,396)	24,091,909
Net cash (used in)/generated from investing activities	(6,240,316)	24,065,668
Cash Flows From Financing Activities		
Dividends paid	(22,328,168)	(19,537,147)
Decrease/(Increase) in fixed deposit pledged	357,736	(6,806)
Repayment of bank borrowings	(9,167,777)	(9,357,778)
Repurchase of treasury shares	-	(39,350)
Net cash used in financing activities	(31,138,209)	(28,941,081)
Net decrease in cash and cash equivalents	(3,656,272)	(5,740,233)
Effect of exchange rate changes	98,104	(49,111)
Cash and cash equivalents at beginning of the financial year	14,916,394	20,705,738
Cash and cash equivalents at end of the financial year	11,358,226	14,916,394
Cash and cash equivalents at end of the financial year comprises:		
Deposit with a licensed bank	-	357,736
Cash and bank balances	11,358,226	14,916,394
	11,358,226	15,274,130
Less: Fixed deposit pledged to a licensed bank	-	(357,736)
	11,358,226	14,916,394

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities.

The principal activities of the subsidiary companies are disclosed in Note 6 to the financial statements.

The Company is a public limited company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the ACE Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgment in the process of applying the Group's and Company's accounting policies. Although these estimates and judgment are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3.

Amendments to accounting standards and amendments to IC interpretations that are effective for the Group's and the Company's financial year beginning on or after 1 January 2021 are as follows:

- A Amendments to MFRS Standards arising from Interest Rate Benchmark Reform
  - Phase 2:
  - Amendments to MFRS 4, "Insurance Contracts"
  - Amendments to MFRS 7, "Financial Instruments: Disclosures"
  - Amendments to MFRS 9, "Financial Instruments"
  - Amendments to MFRS 16, "Leases"
  - Amendments to MFRS 139, "Financial Instruments: Recognition and Measurement"

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.1 Basis of preparation (Continued)

The above amendments to accounting standards effective during the financial year do not have any significant impact to the financial results and position of the Group and of the Company.

The Group and the Company early adopted amendment to MFRS 16, "Leases" (COVID-19-Related Rent Concessions beyond 30 June 2021) which exempts lessees from having to determine whether rent concessions on individual lease contracts as a direct consequence of the COVID-19 pandemic are lease modifications and allows lessees to account for such rent concessions as if they were not lease modifications.

Accounting standard and amendments to accounting standards that are applicable for the Group and the Company in the following periods but are not yet effective:

Annual periods beginning on/after 1 January 2022

- Amendments to MFRS 3, "Business Combinations" (Reference to the Conceptual Framework)
- Amendments to MFRS 116, "Property, Plant and Equipment" (Proceeds before Intended Use)
- Amendments to MFRS 137, "Provision, Contingent Liabilities and Contingent Assets" (Onerous Contracts - Cost of Fulfilling a Contract)
- Annual Improvement to MFRS Standards 2018 – 2020:
  - Amendment to MFRS 1, "First-time Adoption of Malaysian Financial Reporting Standards"
  - Amendment to MFRS 9, "Financial Instruments"
  - Amendment to Illustrative Examples accompanying MFRS 16, "Leases"
  - Amendment to MFRS 141, "Agriculture"

Annual periods beginning on/after 1 January 2023

- MFRS 17, "Insurance Contracts"
- Amendments to MFRS 17, "Insurance Contracts"
- Amendments to MFRS 101, "Presentation of Financial Statements" (Classification of Liabilities as Current or Non-current)
- Amendments to MFRS 101, "Presentation of Financial Statements" (Disclosure of Accounting Policies)
- Amendments to MFRS 108, "Accounting Policies, Changes in Accounting Estimates and Errors" (Definition of Accounting Estimates)
- Amendments to MFRS 112, "Income Taxes" (Deferred Tax related to Assets and Liabilities arising from a Single Transaction)

Effective date yet to be determined by the Malaysian Accounting Standards Board

- Amendments to MFRS 10, "Consolidated Financial Statements" and MFRS 128, "Investments in Associates and Joint Ventures" (Sale or Contribution of Assets between an Investor and its Associate or Joint Venture)

The adoption of the above accounting standard and amendments to accounting standards are not expected to have any significant impact to the financial statements of the Group and of the Company.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.2 Basis of consolidation

(a) Subsidiary companies

Subsidiaries are entities, including structured entities, controlled by the Group. The Group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The Group considers it has de-facto power over an investee when, despite not having the majority of voting rights, it has the current ability in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders to direct the activities of the investee that significantly affect the investee's return.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Business combinations are accounted for using the acquisition method on the acquisition date. The consideration transferred includes the fair value of assets transferred, equity interest issued by the Group and liabilities assumed. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Acquisition-related costs are recognised in the profit or loss as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recognised as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between group companies are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions. Any difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Upon the loss of control of a subsidiary, the Group derecognises the assets and liabilities, any non-controlling interests and other components of equity related to the disposed subsidiary. Any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset depending on the level of influence retained.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.2 Basis of consolidation (Continued)

(b) Associates

Associates are all entities over which the Group has significant influence but not control or joint control, over the financial and operating policies. Investments in associates are accounted for using the equity method of accounting. Under the equity method, the investment is initially recognised at cost. The Group's investment in associates includes goodwill identified on acquisition.

The Group's share of post-acquisition profit or loss is recognised in profit or loss and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. Dividends received or receivable from an associate are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an associate equals or exceeds its interest in the associate, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

Profits and losses resulting from upstream and downstream transactions between the Group and its associate are recognised in the Group's financial statements only to the extent of unrelated investor's interests in the associates. Unrealised losses are eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group.

If the ownership interest in an associate is reduced but significant influence is retained, the proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss where appropriate. Dilution gains or losses arising from investments in associates are recognised in profit or loss.

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment if the carrying value exceeds the recoverable amount of the associate and recognises the difference as impairment losses in profit or loss.

2.3 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Company's accounting policies, reported amounts of assets, liabilities, income and expenses, and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation or uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.3 Significant accounting estimates and judgements (Continued)

(i) Impairment of goodwill

The Group determines whether goodwill is impaired at least on an annual basis. This requires an estimation of the value in use of the cash-generating units to which the goodwill is allocated. Estimating the value in use requires the group to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows.

(ii) Impairment of software development costs

Software development costs comprise salaries of personnel involved in the development and design of products.

The Group reviews the carrying amounts of software development costs as at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount or value-in-use is estimated. Determining the value-in-use of software development costs requires the determination of future cash flows expected to be generated from the continued use, and ultimate disposition of such assets. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

Significant judgement in the estimation of the present value of future cash flows generated by the software development costs, which involve uncertainties and are significantly affected by assumptions used and judgement made regarding estimates of future cash flows and discount rates. Changes in assumptions could significantly affect the results of the Group's assessment for impairment of software development costs.

(iii) Measurement of expected credit loss allowance for financial assets

The loss allowances for financial assets are based on assumptions about risk of default and expected loss rates. The Group use judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of reporting period.

(iv) Provision for long service payments

The Group estimates the liability in respect of the long service payments to its employees which require assumptions to be made in respect of future income levels, inflation and discount rate at the end of the reporting period to estimate the future cash outflows. The discount rate used in respect of the long service payment is 1.60% (2020: 1.20%). Where expectations differ from the original estimates, the differences will impact the carrying amount of provision for long service payments

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies

(a) Investment in subsidiaries and associates

In the Company's separate financial statements, investments in subsidiaries and associates are carried at cost less accumulated impairment losses. On disposal of investments in subsidiaries and associates, the difference between disposal proceeds and the carrying amounts of the investment are recognised in profit or loss.

(b) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as expenses in profit or loss during the financial period in which they are incurred.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposals are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised as net in the profit or loss.

(ii) Depreciation and impairment

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives are as follows:

Leasehold land	99 years
Leasehold building	50 years
Computer equipment	3 to 5 years
Office equipment	5 to 10 years
Furniture and fittings	5 to 10 years
Renovation	3 to 10 years
Motor vehicles	5 years

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(b) Property, plant and equipment (Continued)

(ii) Depreciation and impairment (Continued)

Depreciation methods, useful lives and residual values are reviewed at end of each reporting period, and adjusted as appropriate.

At the end of the reporting period, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write down is made if the carrying amount exceeds the recoverable amount.

(c) Investment properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 2.4(b) to the financial statements.

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land is amortised over the period of lease of 99 years and building is depreciated over their estimated useful life of 50 years.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the financial year in which they arise.

(d) Impairment of non-financial assets

Assets that have an indefinite useful life, such as goodwill or intangible assets not ready to use, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation and depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(d) Impairment of non-financial assets (Continued)

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

Impairment losses are recognised in profit or loss unless it reverses a previous revaluation in which it is charged to the revaluation surplus. Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(e) Intangible assets

(i) Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess of the consideration transferred over the Group's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units ("CGUs"), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. Any impairment is recognised immediately as an expense and is not subsequently reversed.

(ii) Research and development costs

Internally generated development costs incurred for computer software that are directly attributable to a plan or design for the production of new or substantially improved identifiable products and processes are recognised as intangible assets when the following criteria are met:

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(e) Intangible assets (Continued)

(ii) Research and development costs (Continued)

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Capitalised development costs recognised as assets are amortised over its estimated useful lives of 5 to 10 years.

(iii) Club membership

Club membership that has an indefinite useful life held by the Group is stated at cost less provision for impairment.

(f) Cash and cash equivalents

Cash and cash equivalents consist of cash and bank balances and deposits with banks and highly liquid investments which have an insignificant risk of changes in fair value with original maturities of three month or less, and are used by the Group and the Company in the management of their short term commitments. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(g) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss, except for differences arising from borrowings in foreign currencies and other currency instruments designated and qualifying as net investment hedges and net investment in foreign operations, are recognised in other comprehensive income and accumulated in the exchange reserve.

Non-monetary items denominated in foreign currencies measured at fair value are translated using the spot exchange rates at the date when the fair value was determined. Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss, except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised in other comprehensive income.

(iii) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of the consolidated financial statements are translated into the presentation currency as follows:

- assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- income and expenses for each statement of profit and loss and other comprehensive income presented are translated at average exchange rates for the year, which approximates the exchange rates at the dates of the transactions; and
- all resulting exchange differences are taken directly to other comprehensive income through the exchange reserve.

Goodwill and fair value adjustments arising on the acquisitions of a foreign operation are treated as assets and liabilities of the foreign operation and are translated at the closing rate. Exchange differences arising are recognised in other comprehensive income.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(g) Foreign currencies (Continued)

(iii) Foreign operations (Continued)

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity are reclassified to profit or loss.

In the case of a partial disposal that does not result in the Group losing control over a subsidiary that includes a foreign operation, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in profit or loss. For all other partial disposals (that is, reductions in the group's ownership interest in associates or joint ventures that do not result in the group losing significant influence or joint control) the proportionate share of the accumulated exchange difference is reclassified to profit or loss.

In the consolidated financial statements, when settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign exchange gains and losses arising from such a monetary item are considered to form part of a net investment in a foreign operation and are recognised in other comprehensive income through the exchange reserve.

(h) Financial assets

(i) Classification

The Group classifies its financial assets in the following measurement categories:

- Amortised cost;
- Fair value through other comprehensive income ("FVOCI"); and
- Fair value through profit or loss ("FVTPL")

The classification depends on the Group's business model for managing the financial assets as well as the contractual terms of the cash flows of the financial asset.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The Group reclassifies debt instruments when and only when its business model for managing those assets changes.

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(ii) Recognition and initial measurement (Continued)

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

(iii) Subsequent measurement

Debt instruments

Debt instruments mainly comprise of trade and other receivables, amount owing by subsidiary companies, amount owing by related companies, amount owing by an associate, marketable securities and cash and cash equivalents.

There are three subsequent measurement categories, depending on the Group's business model for managing the asset and the cash flow characteristics of the asset:

- Amortised cost

  Debt instruments that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a debt instrument that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in interest income using the effective interest rate method.

- FVOCI

  Debt instruments that are held for collection of contractual cash flows and for sale, and where the assets' cash flows represent solely payments of principal and interest, are classified as FVOCI. Movements in fair values are recognised in Other Comprehensive Income ("OCI") and accumulated in fair value reserve, except for the recognition of impairment gains of losses, interest income and foreign exchange gains and losses, which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these financial assets is recognised using the effective interest rate method in profit or loss.

- FVTPL

  Debt instruments that are held for trading as well as those that do not meet the criteria for classification as amortised cost or FVOCI are classified as FVTPL. Movement in fair values and interest income is recognised in profit or loss in the period in which it arises.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(iii) Subsequent measurement (Continued)

Equity instruments

The Group subsequently measures all its equity investments at fair value. Equity investments are classified as FVTPL with movements in their fair values recognised in profit or loss in the period in which the changes arise, except for those equity securities which are not held for trading The Group has elected to recognise changes in fair value of equity securities not held for trading in OCI as these are strategic investments and the Group considers this to be more relevant. Movements in fair values of investments classified as FVOCI are recognised in OCI. Dividends from equity investments are recognised in profit or loss when the Group's and Company's right to receive payments is established.

(iv) Impairment

The Group and the Company assess expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. Expected credit losses represent a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of cash flows the Group and the Company expect to receive, over the remaining life of the financial instrument.

For trade receivables and contract assets, the Group applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

In measuring expected credit losses, trade receivables and contract assets are grouped based on shared credit risk characteristics and days past due. The contract assets relate to unbilled work in progress, which have substantially the same risk characteristics as the trade receivables for the same type of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

In calculating the expected credit loss rates, the Group considers historical loss rates for each category of customers and adjusts to reflect current and forward-looking factors affecting the ability of the customers to settle the receivables.

The Group and the Company define a financial instrument as default, which is overdue above one year, when the debtor meets unlikeliness to pay criteria, which indicates the debtor is in significant financial difficulty. The Group and the Company consider the following instances:

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(h) Financial assets (Continued)

(iv) Impairment (Continued)

- The debtor is in breach of financial covenants
- Concessions have been made by the Group and the Company related to the debtor's financial difficulty
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- The debtor is insolvent

Financial assets that are credit-impaired are assessed for impairment on an individual basis.

The Group and the Company write off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group and the Company may write-off financial assets that are still subject to enforcement activity.

(i) Financial liabilities

Financial liabilities are initially recognised at fair value net of transaction costs for all financial liabilities not carried at fair value through profit or loss. Finance liabilities carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

Fair value though profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee or a designated and effective hedging instrument) or financial liabilities that are specifically designated into this category upon initial recognition.

All financial liabilities are subsequently measured at amortised cost using the effective interest method other than those categorised as fair value through profit or loss.

Other financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair values with the gain or loss recognised in profit or loss.

(j) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(k) Leases

(i) Accounting by lessee

Leases are recognised as right-of-use assets and a corresponding liability at the commencement date on which the leased asset is available for use by the Group and the Company.

In determining the lease term, the Group and the Company considers all facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Extension or termination options are taken into consideration in determining the lease term if it is reasonably certain that the lease will be extended or terminated.

Right-of-use assets are initially measured at cost comprising the following:

- The amount of the initial measurement of lease liability;
- Any lease payments made at or before the commencement date less any lease incentive received;
- Any initial direct costs; and
- Decommissioning or restoration costs

Right-of-use assets are subsequently measured at cost, less accumulated depreciation and impairment loss. The right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group and the Company is reasonably certain that it will exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Lease liabilities are initially measured at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, the lessee's incremental borrowing rate is used. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Short-term leases are leases with a lease term of 12 months or less. Payments associated with short-term leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss.

(ii) Accounting by lessor

The Group and the Company determines at lease inception whether each lease is a finance lease or operating lease. To classify each lease, the Group and the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to the lessee.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(k) Leases (Continued)

(ii) Accounting by lessor (Continued)

Operating leases

The Group and the Company classifies a lease as an operating lease if the lease does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset to the lessee.

The Group and the Company recognises lease payments received under operating leases as lease income on a straight-line basis over the lease term.

(l) Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is also recognised in other comprehensive income or directly in equity, respectively.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised, using the liability method, on temporary differences arising between the amounts attributed to assets and liabilities for tax purposes and their carrying amounts in the financial statements. However, deferred tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred tax is determined using tax rates that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses or unused tax credits can be utilised.

Deferred and current tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(m) Revenue and income recognition

(i) Revenue from contracts with customers

Revenue is recognised by reference to each distinct performance obligation promised in the contract with customer when or as the Group and the Company transfers the control of the goods or services promised in a contract and the customer obtains control of the goods or services. Depending on the substance of the respective contract with customer, the control of the promised goods or services may transfer over time or at a point in time.

A contract with customer exists when the contract has commercial substance, the Group and the Company and its customer has approved the contract and intend to perform their respective obligations, the Group's and the Company's and the customer's rights regarding the goods or services to be transferred and the payment terms can be identified, and it is probable that the Group and the Company will collect the consideration to which it will be entitled to in exchange of those goods or services.

The Group and the Company derives its revenue from providing business application solutions, financial network services and equipment rental. Revenue from provision of business application solutions includes income for installation of computer hardware and implementation of the Group's trading solution platform and service income for the subsequent usage of the managed service products. Revenue from provision of financial network services includes income for providing leased line and data center management services.

Implementation revenue

Revenue from implementation of trading solutions products is recognised when the Group and the Company satisfies a performance obligation by transferring a promised goods or services to a customer. An asset is transferred as and when the customer obtains control of that asset, which coincides with the delivery of goods and services and acceptance by customers.

Recurring revenue

Recurring revenue primarily consists of the service income for subsequent maintenance of the managed service products. This service is generally provided under subscription arrangements. Recurring revenue is recognised over the contract period.

Transaction revenue

Transaction revenue includes volume-based fees related to online trading transactions based on usage and recognised at a point in time. Transactions revenues may be billed in arrears and are classified as contract assets.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(m) Revenue and income recognition (Continued)

(i) Revenue from contracts with customers (Continued)

Managed network revenue

Managed network revenue includes service income for leased-line services and data center management to contract customers. A promised service is transferred as and when the service is delivered to customer and acceptance obtained from customers. Managed network revenue may be billed in advance and classified as contract liabilities.

Equipment rental

Equipment rental consists of monthly rental income for leasing of computer hardware to contract customers and recognised over the contract period. Equipment rental is billed in arrears and classified as contract assets.

(ii) Other revenue and income

(i) Dividend income

Dividend income is recognised when the right to receive payment is established.

(ii) Rental income

Rental income is recognised on a straight-line basis over the tenure of the lease.

(iii) Interest income

Interest income is recognised on an accrual basis using the effective interest method.

(n) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(n) Employee benefits (Continued)

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

(iii) Defined benefit plans

The defined benefit liability recognised in the statements of financial position is the present value of the defined benefit obligation at the end of the reporting period, less the fair value of plan assets, together with adjustments for actuarial gains/losses and unrecognised past service cost. The Group determines the present value of the defined benefit obligation and the fair value of any plan assets with sufficient regularity such that the amounts recognised in the financial statements do not differ materially from the amounts that would be determined at the end of the reporting period.

The defined benefit obligation, calculated using the projected unit credit method, is determined by independent actuaries, by discounting the estimated future cash outflows using market yields at the end of the reporting period on government bonds which have currency and terms to maturity approximating the terms of the related liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in retained earnings in other comprehensive income in the period in which they arise. The actuarial gains and losses are not subsequently reclassified to profit or loss in subsequent period.

Past service costs are recognised immediately in profit or loss, unless the changes to the plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past service costs are amortised on a straight line basis over the vesting period.

(iv) Share-based compensation

The Group operates an equity-settled, share-based compensation plan under which the entity receives services from employees as consideration for equity instruments (options) of the Group. The fair value of the employee services received in exchange for the grant of the options is recognised as an expense. The total amount to be expensed is determined by reference to the fair value of the options granted.

The total expense is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(n) Employee benefits (Continued)

(iv) Share-based compensation (Continued)

At the end of each reporting period, the Company revises its estimates of the number of options that are expected to vest based on the non-market vesting conditions. It recognises the impact of the revision to original estimates, if any, in profit or loss, with a corresponding adjustment to share option reserve in equity.

When the options are exercised, the Company issues new shares. The proceeds received net of any directly attributable transaction costs are credited to share capital when the options are exercised. When options are not exercised and lapsed, the share option reserve is transferred to retained earnings.

In its separate financial statements of the Company, the grant by the Company of options over its equity instruments to the employees of subsidiaries in the Group is treated as services provided to the subsidiaries. The fair value of options granted to employees of the subsidiaries in exchange for the services of the employees to the subsidiaries are recognised as payables from subsidiaries, with a corresponding credit to equity of the Company.

(o) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

When the Group expects a provision to be reimbursed (for example, under an insurance contract), the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

2.4 Summary of significant accounting policies (Continued)

(p) Equity instruments

(i) Share capital

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(ii) Treasury shares

Where the Company purchases the Company's equity share capital (treasury shares), the consideration paid, including any directly attributable incremental external costs, net of tax, is included in equity attributable to the Company's equity holders as treasury shares until they are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received, net of any directly attributable incremental transaction costs and the related tax effects, are included in equity attributable to the Company's equity holders.

(q) Operating segments

Operating segments are reported in a manner consistent with the internal reporting and are regularly reviewed by the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Managing Director that makes strategic decisions.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Note	Leasehold land (RM)	Leasehold building (RM)	Computer equipment (RM)	Office equipment (RM)	Furniture and fittings (RM)	Renovation (RM)	Motor vehicles (RM)	Total (RM)
2021									
Cost									
At 1.1.2021		12,366,833	13,017,854	93,104,857	1,627,040	907,195	4,111,118	160,563	125,295,460
Acquisition of a subsidiary company	6(c)	-	-	12,107	-	-	-	-	12,107
Additions		-	-	6,417,257	-	888	-	-	6,418,145
Disposal		-	-	(22,829)	(13,368)	(26,500)	(64,850)	-	(127,547)
Exchange differences		-	-	946,185	31,161	8,771	51,797	-	1,037,914
At 31.12.2021		12,366,833	13,017,854	100,457,577	1,644,833	890,354	4,098,065	160,563	132,636,079
Accumulated depreciation									
At 1.1.2021		1,157,845	2,208,153	87,003,046	1,006,270	709,556	3,382,318	93,896	95,561,084
Acquisition of a subsidiary company	6(c)	-	-	6,029	-	-	-	-	6,029
Charge for the financial year		129,852	260,357	3,233,908	295,883	73,679	216,540	20,000	4,230,219
Disposal		-	-	(22,828)	(12,967)	(22,701)	(64,850)	-	(123,346)
Exchange differences		-	-	933,590	(29,619)	5,576	58,135	-	967,682
At 31.12.2021		1,287,697	2,468,510	91,153,745	1,259,567	766,110	3,592,143	113,896	100,641,668
Carrying amount									
At 31.12.2021		11,079,136	10,549,344	9,303,832	385,266	124,244	505,922	46,667	31,994,411

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Group	Leasehold land (RM)	Leasehold building (RM)	Computer equipment (RM)	Office equipment (RM)	Furniture and fittings (RM)	Renovation (RM)	Motor vehicles (RM)	Total (RM)
2020								
Cost								
At 1.1.2020	12,366,833	13,017,854	91,377,986	893,940	909,534	4,025,999	160,563	122,752,709
Acquisition of a subsidiary company	-	-	-	753,511	-	98,839	-	852,350
Additions	-	-	2,145,437	7,882	4,625	15,000	-	2,172,944
Disposal	-	-	-	(9,580)	(3,900)	-	-	(13,480)
Exchange differences	-	-	(418,566)	(18,713)	(3,064)	(28,720)	-	(469,063)
At 31.12.2020	12,366,833	13,017,854	93,104,857	1,627,040	907,195	4,111,118	160,563	125,295,460
Accumulated depreciation								
At 1.1.2020	1,027,993	1,947,796	84,064,592	547,690	643,509	2,922,041	73,896	91,227,517
Acquisition of a subsidiary company	-	-	-	403,192	-	1,235	-	404,427
Charge for the year financial year	129,852	260,357	3,350,846	75,795	73,102	495,091	20,000	4,405,043
Disposal	-	-	-	(8,489)	(3,738)	-	-	(12,227)
Exchange differences	-	-	(412,392)	(11,918)	(3,317)	(36,049)	-	(463,676)
At 31.12.2020	1,157,845	2,208,153	87,003,046	1,006,270	709,556	3,382,318	93,896	95,561,084
Carrying amount								
At 31.12.2020	11,208,988	10,809,701	6,101,811	620,770	197,639	728,800	66,667	29,734,376

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Leasehold land (RM)	Leasehold building (RM)	Computer equipment (RM)	Office equipment (RM)	Furniture and fittings (RM)	Renovation (RM)	Total (RM)
2021							
Cost							
At 1.1.2021	12,366,833	13,017,854	34,447,439	614,580	638,019	2,000,615	63,085,340
Additions	-	-	42,920	-	-	-	42,920
At 31.12.2021	12,366,833	13,017,854	34,490,359	614,580	638,019	2,000,615	63,128,260
Accumulated depreciation							
At 1.1.2021	1,157,845	2,208,153	34,423,164	424,910	518,759	1,395,108	40,127,939
Charge for the financial year	129,852	260,357	43,521	37,017	36,248	200,063	707,058
At 31.12.2021	1,287,697	2,468,510	34,466,685	461,927	555,007	1,595,171	40,834,997
Carrying amount							
At 31.12.2021	11,079,136	10,549,344	23,674	152,653	83,012	405,444	22,293,263

3. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Company	Leasehold land (RM)	Leasehold building (RM)	Computer equipment (RM)	Office equipment (RM)	Furniture and fittings (RM)	Renovation (RM)	Total (RM)
2020							
Cost							
At 1.1.2020	12,366,833	13,017,854	34,436,810	620,398	641,919	1,985,615	63,069,429
Additions	-	-	10,629	822	-	15,000	26,451
Disposals	-	-	-	(6,640)	(3,900)	-	(10,540)
At 31.12.2020	12,366,833	13,017,854	34,447,439	614,580	638,019	2,000,615	63,085,340
Accumulated depreciation							
At 1.1.2020	1,027,993	1,947,796	34,331,821	391,044	484,535	1,196,844	39,380,033
Charge for the financial year	129,852	260,357	91,343	39,905	37,961	198,264	757,682
Disposals	-	-	-	(6,039)	(3,737)	-	(9,776)
At 31.12.2020	1,157,845	2,208,153	34,423,164	424,910	518,759	1,395,108	40,127,939
Carrying amount							
At 31.12.2020	11,208,988	10,809,701	24,275	189,670	119,260	605,507	22,957,401

(a) The long term leasehold land and building of the Group and the Company with a carrying amount of RM21,628,480 (2020: RM22,018,689) have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 18 to the financial statements.

(b) The remaining lease period of the long term leasehold land and building is 86 (2020: 87) years.

4. INVESTMENT PROPERTIES

	Group/Company	
	2021 (RM)	2020 (RM)
Leasehold land and building		
Cost		
At 1 January/31 December	11,715,814	11,715,814
Accumulated depreciation		
At 1 January	1,987,298	1,752,982
Charge for the financial year	234,316	234,316
At 31 December	2,221,614	1,987,298
Carrying amount	9,494,200	9,728,516
Fair value	18,672,000	19,485,583

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 18 to the financial statements.

The remaining lease period of the investment properties is 86 (2020: 87) years.

The income earned by the Group from rental of investment properties amounted to RM830,894 (2020: RM1,069,341). Direct operating expenses incurred on the investment properties during the financial year amounted to RM263,207 (2020: RM201,125).

The fair values of the investments as at the end of the reporting periods are arrived at by reference to market evidence of transaction prices for similar properties, adjusted for factors specific to the investment properties.

5. RIGHT-OF-USE ASSETS

	Group	
	2021 (RM)	**2020 (RM)**
Office rental		
Cost		
At 1 January	5,844,141	5,634,380
Additions	-	457,493
Lease modification	-	(163,292)
Exchange differences	160,663	(84,440)
At 31 December	6,004,804	5,844,141
Accumulated depreciation		
At 1 January	2,941,854	1,455,766
Charge for the financial year	1,208,040	1,549,467
Exchange differences	84,881	(63,379)
At 31 December	4,234,775	2,941,854
Carrying amount		
At 31 December	1,770,029	2,902,287

6. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company	
	2021 (RM)	**2020 (RM)**
Unquoted shares, at cost		
In Malaysia	6,000,004	6,000,004
Outside Malaysia	94,720,213	94,720,213
	100,720,217	100,720,217
Less: Impairment loss	(5,297,004)	(297 ,002)
	95,423,213	100,423,215
Advance to subsidiary companies treated as quasi-investment	1,396,028	1,540,420
	96,819,241	101,963,635

The advances to subsidiary companies are unsecured, non-interest bearing with no fixed terms of repayment. The Company does not anticipate repayment of the advances and they are determined to form part of the Company's net investment in the subsidiary companies.

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(a) Investment in subsidiary companies (Continued):

Movement on the provision for impairment of investment in subsidiary companies is as follows:

	Company	
	2021 (RM)	**2020 (RM)**
At 1 January	297,002	297,002
Impairment loss during the financial year	5,000,002	-
At 31 December	5,297,004	297,002

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	**Country of incorporation and principal place of business**	**Effective ownership and voting interest**		**Principal activities**
		2021 %	**2020 %**	
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
N2N Advanced Learning Sdn. Bhd.	Malaysia	100	100	Provision of professional trainings for remisiers and related fields

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows (Continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2021 %	2020 %	Principal activities
* N2N-AFE (Hong Kong) Limited	Hong Kong SAR, China	100	100	Provision of on-line stock market information, on-line securities trading systems and business solutions, and associated sales and maintenance services on microcomputers.
Asianext Sdn. Bhd.	Malaysia	100	100	Dormant
Indirect holding: Subsidiaries of N2N Global Solutions Sdn. Bhd.				
Hermes Bos Sdn. Bhd.	Malaysia	70	70	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
# N2N Global Solutions Limited ("NGSL")	Thailand	49	49	Webpage and server design service
# X8NET Sdn Bhd	Malaysia	70	-	Providing information technology system and solutions services to online internet platforms
Subsidiary of NGN Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	100	Providing infrastructure for hosting, data processing services and related activities

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(b) The subsidiary companies and shareholding therein are as follows (Continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2021 %	2020 %	Principal activities
Subsidiaries of N2N Connect Pte. Ltd.				
* Asianext Pte. Ltd.	Singapore	-	100	Dormant
# PT. NGS Services Indonesia ("PT NGS Indo")	Indonesia	70	70	Consulting services related to the analysis, design and programming of ready-to-use systems including analysis of computer user needs, creating and implementing software applications
Subsidiaries of N2N-AFE (Hong Kong) Limited				
* NBM Systems Design Limited	Hong Kong SAR, China	100	100	Inactive
* The Stock Market Channel Limited	Hong Kong SAR, China	100	100	Investment holding
* The Stock Market Channel (Macau) Limited	Macau	100	100	Sale of computer hardware and software and provision of online financial information in Macau

* Subsidiary not audited by HLB AAC PLT.

The audited financial statements for the financial year ended 31 December 2021 of these subsidiary companies are not available at the date the financial statements of the Group as it is not required by the local legislations to have their financial statements audited. However, the Directors are of the opinion that the financial results of these subsidiary companies are not material to the Group. Hence, the management accounts of the said subsidiary companies for the financial year ended 31 December 2021 have been used for the consolidation purposes.

6. INVESTMENT IN SUBSIDIARY COMPANIES (CONTINUED)

(c) Acquisition in equity interest in X8Net Sdn. Bhd. ("X8Net")

On 11 October 2021, N2N Global Solutions Sdn. Bhd., a wholly own subsidiary of the Company had acquired 70% equity interest in X8Net, which comprises of 85,400 ordinary shares for a cash consideration of RM116,000.

The following summarises the consideration paid, the fair value of assets acquired and liabilities assumed at the acquisition date.

	2021 (RM)
Property, plant and equipment	6,078
Trade receivables	42,120
Other receivables	1,600
Cash and bank balances	46,488
Other payables	(2,300)
Non-controlling interest	(28,195)
Total net assets acquired	65,791
Goodwill on acquisition	50,209
Purchase consideration	116,000
Less: Cash and cash equivalents	(46,488)
Cash inflow on acquisition, net of cash	69,512

(d) Non-controlling interests ("NCI") in subsidiaries

	Group	
	2021 (RM)	**2020 (RM)**
Non-current assets	2,307,876	2,879,346
Current assets	4,306,002	4,789,942
Current liabilities	(11,356,109)	(9,107,708)
Net liabilities	(4,742,231)	(1,438,420)
Carrying amount of NCI as at 31 December	(2,192,354)	(638,811)
Revenue	1,608,255	-
Loss/Total comprehensive expense during the financial year	3,723,564	1,434,674
Loss/Total comprehensive expense allocated to NCI during the financial year	1,581,738	435,154
Cash flows generated from operating activities	363,724	3,807,233
Cash flows used in investing activities	(64,792)	(587,901)
Net increase in cash and cash equivalents	298,932	3,219,332
Ownership interest and voting rights percentage held by NCI	30% - 51%	30% -51%

7. INVESTMENT IN AN ASSOCIATE

(a) Investment in an associates:

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
At cost				
Unquoted shares outside Malaysia	8,330,840	8,330,840	8,330,840	8,330,840
Share of post-acquisition reserves	(2,031,325)	641,525	-	-
	6,299,515	8,972,365	8,330,840	8,330,840
Exchange differences	359,300	457,000	-	-
	6,658,815	9,429,365	8,330,840	8,330,840

(b) The associate and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2021 %	2020 %	Principal activities
Direct holding:				
# OurMoneyMarket Holdings Pty. Ltd. ("OMM")	Australia	26.21	27.33	Provision of personal loans and range of "buy now, pay later" credit solutions to retail customers

The audited financial statements for the financial year ended 31 December 2021 of this associate is not available at the date the financial statements of the Group. However, the Directors are of the opinion that the financial contribution of these associates are not material to the Group. Hence, the management accounts of the said associates for the financial year ended 31 December 2021 have been used for equity accounting purposes.

(c) Changes of equity interest in OMM

During the financial year, the Group's equity interest in OMM decreased from 27.33% to 26.21% (2020: 28.99% to 27.33%) following the issuance of new shares to other shareholders. The Group recognised a gain arising from changes in equity interest in OMM without loss of significant influence amounting to RM3,250,758 (2020: RM2,387,358) as the new shares issued to other shareholders of OMM were completed at a premium.

7. INVESTMENT IN ASSOCIATES (CONTINUED)

(d) The summarised financial information of the associate are as follows:

	Group	
	2021 (RM)	**2020 (RM)**
Assets and liabilities		
Non-current assets	572,037,846	208,939,016
Current assets	41,265,179	74,509,302
Non-current liabilities	(576,108,504)	(264,382,982)
Current liabilities	(29,572,853)	(2,683,229)
Net assets	7,621,668	16,382,107
Revenue	41,583,044	17,121,622
Loss/Total comprehensive expense for the financial year	14,912,211	3,637,030
Cash flows used in operating activities	(25,684,102)	(3,789,153)
Cash flows used in investing activities	(229,277)	(139,976,505)
Cash flows generated from financing activities	6,508,629	200,584,027
Net changes in cash and cash equivalents	(19,404,750)	56,818,369

(e) The reconciliation of net assets of the associates to the carrying amount of the investment in associates are as follows:

	Group	
	2021 (RM)	**2020 (RM)**
The Group's share of loss/total comprehensive expense during the financial year	5,923,608	1,100,006
Net assets	7,621,668	16,382,107
The Group's share of net assets	2,007,611	4,477,230
Goodwill	4,651,204	4,952,135
	6,658,815	9,429,365

8. INTANGIBLE ASSETS

	Note	Goodwill on consolidation (RM)	Club membership (RM)	Computer software (RM)	Total (RM)
Group					
2021					
Cost					
At 1 January		53,972,661	1,712,833	59,208,233	114,893,727
Addition during the financial year					
- acquisition of a subsidiary company	6(c)	50,209	-	-	50,209
- acquisition of a software		-	-	861,150	861,150
- capitalised of staff costs	31	-	-	6,167,378	6,167,378
Exchange differences		1,646,252	52,789	69,601	1,768,642
At 31 December		55,669,122	1,765,622	66,306,362	123,741,106
Accumulated Amortisation					
At 1 January		-	-	36,034,664	36,034,664
Amortisation during the financial year		-	-	6,844,164	6,844,164
Exchange differences		-	-	17,517	17,517
At 31 December		-	-	42,896,345	42,896,345
Accumulated Impairment					
At 1 January		557,199	673,711	-	1,230,910
Exchange differences		-	20,763	-	20,763
At 31 December		557,199	694,474	-	1,251,673
Carrying amount					
31 December		55,111,923	1,071,148	23,410,017	79,593,088

8. INTANGIBLE ASSETS (CONTINUED)

	Note	Goodwill on consolidation (RM)	Club membership (RM)	Computer software (RM)	Total (RM)
Group					
2020					
Cost					
At 1 January		54,175,199	1,737,195	51,108,269	107,020,663
Addition during the financial year					
- acquisition		557,199	-	2,392,612	2,949,811
- capitalised of staff cost	31	-	-	5,711,705	5,711,705
Exchange differences		(759,737)	(24,362)	(4,353)	(788,452)
At 31 December		53,972,661	1,712,833	59,208,233	114,893,727
Accumulated Amortisation					
At 1 January		-	-	29,950,625	29,950,625
Amortisation during the financial year		-	-	6,093,779	6,093,779
Exchange differences		-	-	(9,740)	(9,740)
At 31 December		-	-	36,034,664	36,034,664
Accumulated Impairment					
At 1 January		-	683,293	-	683,293
Impairment loss during the financial year		557,199	-	-	557,199
Exchange differences		-	(9,582)	-	(9,582)
At 31 December		557,199	673,711	-	1,230,910
Carrying amount					
31 December		53,415,462	1,039,122	23,173,569	77,628,153

(a) The Group capitalise costs on development works relating to the enhancement of its existing software and development of new software packages which management expects will contribute to the generation of additional future economic benefits. During the financial year, the Group recognised an amortisation of RM6,844,164 (2020: RM6,093,779) which has been charged to cost of sales.

(b) Impairment test for goodwill on consolidation

The Group undertakes an annual impairment assessment on its cash-generating units ("CGU") identified based on its geographical segment in Hong Kong SAR, China, being the lowest level of assets for which the management monitors the goodwill of the Group.

8. INTANGIBLE ASSETS (CONTINUED)

(b) Impairment test for goodwill on consolidation (continued)

Key assumptions used to determine recoverable amount

The recoverable amount of the Group's CGU has been determined based on value-in-use calculation. These calculations use pre-tax cash flow projections based on financial budgets approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using the estimated growth rates.

The key assumptions used for the value-in-use calculations are as follows:

	Group	
	2021 (RM)	**2020 (RM)**
Revenue growth rate over 5 years (per annum)	4.0%	2.0%
Operating expenditure and capital expenditure growth rate (per annum)	4.0%	2.0%
Terminal growth rate	0%	0%
Pre-tax discount rate	10.0%	14.4%

Management determined the revenue growth rates, selling prices and direct costs during the budget period based on future expectations of changes in the market. Management estimates discount rate using pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the CGU.

The Group's review includes an impact assessment of changes in key assumptions. Based on the sensitivity analysis, the Board of Directors concluded that no reasonable change in the assumptions above would cause the carrying amount of the CGUs to exceed its recoverable amounts.

9. TRADE RECEIVABLES

	Group		Company	
	2021 (RM)	**2020 (RM)**	**2021 (RM)**	**2020 (RM)**
Trade receivables	20,267,262	24,109,924	223,297	279,638
Less: Impairment loss	(3,871,267)	(4,560,878)	(9,513)	-
	16,395,995	19,549,046	213,784	279,638
Contract assets in relation to application solutions:				
- Accrued income	1,904,763	2,755,624	-	-
	18,300,758	22,304,670	213,784	279,638

The Group's and the Company's normal trade credit terms range from 30 to 90 days (2019: 30 to 90 days).

The movement on the impairment loss during the financial year is disclosed in Note 35 to the financial statements.

10. OTHER RECEIVABLES

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Other receivables	3,367,457	3,363,959	15,617	28,317
Less: Impairment loss	(3,267,343)	(3,169,655)	-	-
	100,114	194,304	15,617	28,317
Deposits	1,716,843	1,722,347	151,217	179,510
Prepayments	2,751,974	2,254,610	147,070	312,598
	4,568,931	4,171,261	313,904	520,425

Included in the prepayments of the Group is an amount of RM Nil (2020: RM858,000) in relation to advance paid for an acquisition of a software license.

11. AMOUNT OWING BY/(TO) SUBSIDIARY COMPANIES

These amounts owing by/(to) the subsidiary companies are non-trade in nature, interestfree and are repayable on demand.

12. AMOUNT OWING BY/(TO) RELATED COMPANIES

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

13. MARKETABLE SECURITIES

	Group/Company	
	2021 (RM)	2020 (RM)
Quoted unit trusts in Malaysia	64,623,673	58,426,277

14. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	Group/Company	
	2021 (RM)	2020 (RM)
Quoted shares in Malaysia	168,013	127,313

Fair value gains of financial assets at fair value through profit or loss amounting to RM40,700 (2020: RM11,396) is presented within other income in profit or loss.

15. DEPOSIT WITH A LICENSED BANK

Interest rates on deposits placed with licensed banks is Nil (2020: 1.35% to 2.65%) per annum and have average maturity period of Nil (2020: 30 days).

Fixed deposits pledged to licensed banks are secured for bank facilities granted to the Group and Company

16. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2020: 15 to 90 days).

17. OTHER PAYABLES

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Other payables	5,639,157	5,020,677	301,829	155,572
Accruals	3,270,727	3,895,926	493,186	451,269
Deposits received	3,290,403	3,377,762	188,180	328,080
	12,200,287	12,294,365	983,195	934,921

18. BANK BORROWINGS

	Group/Company	
	2021 (RM)	2020 (RM)
Secured		
Term loan	2,313,889	11,158,333
Analysed as:		
Repayable within twelve months	2,313,889	8,926,667
Repayable after twelve months	-	2,231,666
	2,313,889	11,158,333

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Group's and Company's long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements;

(b) fresh charge over all cash deposits or to be deposits from time to time by the Company and profit thereon with a charge over deposit stamped nominally duly executed in favour of the bank for all monies owing or payable under the bank facility;

18. BANK BORROWINGS (CONTINUED)

(c) the Group shall maintain leverage ratio less than or equal to 2 times at all times until the maturity date;

(d) the Group shall maintain debt service coverage ratio equal to or not less than 1.3 times;

(e) The Company and its Malaysian subsidiary companies shall route at least 20% of its revenue collection by end of first year post drawdown of the bank facilities; and

(f) The Company shall maintain minimum cash balances with steps-downs throughout the financing period as follows:

- Year 1 USD5,000,000
- Year 2 USD4,000,000
- Year 3 USD3,000,000
- Year 4 USD2,000,000
- Year 5 USD1,000,000

Maturity of bank borrowings is as follows:

	Group/Company	
	2021 (RM)	**2020 (RM)**
Within one year	2,313,889	8,926,667
Between one and two years	-	2,231,666
	2,313,889	11,158,333

Range of effective interest rates during the financial year is as follows:

	Group/Company	
	2021 (RM)	**2020 (RM)**
Term loan	2.03 - 2.14	2.12 - 3.83

19. LEASE LIABILITIES

	Group	
	2021 (RM)	2020 (RM)
At 1 January	3,141,321	4,465,041
Additions	-	457,493
Repayment during the year	(1,341,908)	(1,354,288)
Lease modification and reassessment	-	(512,684)
Finance costs	68,526	94,817
Exchange differences	82,953	(9,058)
At 31 December	1,950,892	3,141,321
Analysed as		
Repayable within twelve months	1,291,276	1,248,757
Repayable after twelve months	659,616	1,892,564
	1,950,892	3,141,321

20. SHARE CAPITAL

	Group/Company			
	Number of Ordinary Shares		Amount	
	2021 (Units)	2020 (Units)	2021 (RM)	2020 (RM)
Issued and fully paid				
At 1 January/31 December	597,878,101	597,878,101	260,987,119	260,987,119

Warrants 2019/2024

On 9 January 2019, the Company issued 140,089,954 free Warrants pursuant to a bonus issue of one warrant for every four existing ordinary shares held in the Company. The Warrants are constituted by a deed poll dated 19 December 2018. The Warrants were listed on Bursa Malaysia on 15 January 2019. As at 31 December 2021, there was a total of 140,089,694 (2020: 140,089,694) unexercised Warrants.

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share in the Company at an exercise price of RM0.83 per ordinary share.

- The exercise price and the number of Warrants is subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.

- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date of preceding the fifth anniversary of the date of issue of the Warrants.

20. SHARE CAPITAL (CONTINUED)

- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.

- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

21. TREASURY SHARES

	Group/Company			
	Number of Ordinary Shares		Amount	
	2021 (Units)	2020 (Units)	2021 (RM)	2020 (RM)
At 1 January	39,673,900	39,594,900	37,237,309	37,197,959
Repurchased during the financial year	-	79,000	-	39,350
At 31 December	39,673,900	39,673,900	37,237,309	37,237,309

During the financial year, the Company had repurchased a total of Nil (2020: 79,000) ordinary shares of its issued share capital from the open market at a total cost of RM Nil (2020: RM39,350). The average price paid for the shares repurchased was Nil (2020: RM0.50) per share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 127 of the Companies Act, 2016. Treasury shares had no rights to voting, dividends and participation in other distribution.

22. EXCHANGE RESERVES

The exchange reserves represent exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

23. LONG TERM INCENTIVE PLAN RESERVE

On 12 December 2018, the shareholders of the Company approved the Long-Term Incentive Plan ("LTIP") comprise of Employee Share Grant Plan ("SGP") and Employee Share Option Plan ("SOP") to the Executive Directors, senior management and eligible employees of N2N Connect Berhad ("N2N") and its subsidiary companies (excluding subsidiary companies which are dormant) (collectively known as "Eligible Persons") and the LTIP was implemented on 27 April 2021. During the financial year, the Company has offered 50,000,000 share options at an exercise price of RM0.705 over a 5-year vesting period while no share grant have been offered.

23. LONG TERM INCENTIVE PLAN RESERVE (CONTINUED)

The SGP is intended to award the Company's shares to Executive Directors and senior management of the Group with no consideration whilst the SOP is intended to allow the Group to award share options to Eligible Persons with an option price based on the volume weighted average price of N2N's shares for the 5 market days immediately preceding the date of the SOP with a discount of not more than 10% or such other percentage of discount as may be permitted by Bursa Malaysia Securities Berhad ("Bursa Malaysia") or any other relevant authorities from time to time during the tenure of the LTIP.

The salient features and terms of the LTIP are as follows:

(a) Maximum number of new N2N Shares available under the LTIP

The maximum number of N2N Shares which may be made available under the LTIP shall not in aggregate exceed 15% of the total number of issued shares of the Company (excluding treasury shares) at any point of time during the tenure of the LTIP.

The allocation of N2N Shares to be made available for the LTIP shall be determined by the LTIP Committee annually, or such other period as determined by the LTIP Committee.

(b) Basis of allotment and maximum allowable allocation

Subject to the By-Laws, the maximum number of N2N Shares awarded to any one Eligible Person under the LTIP at any point of time shall be at the sole and absolute discretion of the LTIP Committee after taking into consideration, inter alia, the Eligible Person's designation, length of service, work performance and/or such other factors as the LTIP Committee deems fit, and subject to the following conditions:

i. The total number of N2N Shares made available under the LTIP shall notexceed 15% of the total number of issued shares of the Company (excluding reasury shares) at any point of time during the LTIP tenure;

ii. not more than 10% (or such other percentage as may be permitted by Bursa Securities or any other relevant authorities from time to time) of the total number of issued N2N Shares made available under the LTIP shall be allocated to any Eligible Person who, either singly of collectively through persons connected with the Eligible Person, holds 20% (or such other percentage as may permitted by Bursa Securities or any other relevant authorities from time to time) or more of the total number of issued shares of the Company (excluding treasury shares);

iii. up to 100% of the total number of N2N Shares which may be made available under the Proposed LTIP could be allocated, in aggregate, to the Executive Directors and senior management of the N2N Group who are Eligible Persons (where "senior management" shall be subject to any criteria as may be determined at the sole discretion of the LTIP Committee from time to time). This is intended to incentivise the Executive Directors of the Group for their contribution towards development, growth and success and strategic direction to drive long term shareholder value enhancement of N2N Group and to incentivise the senior management of the Group for their commitment, dedication and loyalty towards attainment of higher performance; and

23. LONG TERM INCENTIVE PLAN RESERVE (CONTINUED)

(b) Basis of allotment and maximum allowable allocation (continued)

iv. The the Executive Directors and senior management of the Group shall not participate in the deliberation or discussion of their respective allocations as well as to persons connected with them, if any.

(c) Eligibility

The eligibility under the LTIP however, does not confer on an Eligible Person any claim or right to participate in or any rights whatsoever under the LTIP and an Eligible Person does not acquire any or has any right over or in connection with the LTIP unless the LTIP have been made by the LTIP Committee to the Eligible Person and the Eligible Person has accepted the LTIP in accordance with the provisions of the By-Laws.

(d) Duration and termination

The LTIP shall in force for a period of 5 years from the effective date of implementation, being a date of full compliance with relevant requirements by Bursa Securities or any other relevant authorities. The Company may extend the LTIP for a period of 5 years immediately from the expiry of the first 5 years, and shall not in aggregate exceed 10 years from the effective date or such longer period as may be permitted by Bursa Securities or any other relevant authorities.

Upon expiry or termination of the Proposed LTIP, any LTIP Awards which have yet to be vested or exercised (as the case may be and whether fully or partially) shall be deemed cancelled and be null and void.

(e) Ranking of the LTIP shares

The new shares to be allotted and issued pursuant to the LTIP shall, upon allotment and issuance, rank equally in all respects with the existing issued shares. The LTIP participants shall not be entitled to any rights, dividends or other distributions attached to the Company's share prior to the date on which the Company's shares are credited into their respective Central Depository System accounts.

The fair value of the LTIP granted in which MFRS 2 applies, were determined using the Black-Scholes valuation model. The significant inputs in the model are as follows:

	Share option
Exercise price (RM)	0.705
Underlying share price at grant date (RM)	0.870
Expected dividend yield (%)	5.96
Risk free interest rate (%)	2.735
Option life	1 - 5 years
Vesting period[1]	1 - 5 years
Expected volatility (%)	44.403

[1] The N2N Shares to be issued under SOP shall vest to the eligible persons in stages over 5 years once the vesting conditions are fully and duly satisfied.

The assumptions above are based on historical data and is not necessarily be reflective of the actual outcome.

23. LONG TERM INCENTIVE PLAN RESERVE (CONTINUED)

The movement during the financial year in the number of LTIP options of the Company, in which the employees of the Group and the Company are entitled to, is as follows:

		Number of share options			
	Fair value at grant date (RM)	At 1 January	Granted	Lapsed	At 31 December
2021					
Group	0.2159 - 0.3113	-	50,000,000	(35,870,000)	14,130,000
Company	0.2159 - 0.3113	-	14,360,000	(11,250,000)	3,110,000

24. PROVISION FOR RETIREMENT BENEFITS

Provision for retirement benefits of the Group relate to long service payments ("LSP") provisions as prescribed under the Hong Kong Employment Ordinance. LSP is paid to employees of subsidiary companies upon termination of their employment, subject to completion of number of continuous service and meeting certain qualifying conditions. The benefit is based on final wages and service at leaving employment.

The movements during the financial year of the amount recognised in the statements of financial position in respect of the long service payments are as follows:

	Group	
	2021 (RM)	**2020 (RM)**
At 1 January	2,312,022	2,691,492
Recognised in profit or loss	341,306	391,578
Remeasurements		
- changes in experience	(341,884)	(531,173)
- changes in demographic assumptions	(139)	349
- changes in financial assumptions	(135,425)	(74,019)
	(477,448)	(604,843)
Benefits paid	-	(115,899)
Exchange differences	69,801	(50,306)
At 31 December	2,245,681	2,312,022

24. PROVISION FOR RETIREMENT BENEFITS (CONTINUED)

The total expenses recognised in profit or loss is as follows:

	Group	
	2021	**2020**
	(RM)	**(RM)**
Current service cost	313,035	350,616
Interest cost	28,271	40,962
	341,306	391,578

The principal assumptions used are as follows:

	Group	
	2021	**2020**
	%	**%**
Increase in maximum amount of relevant salary for contribution	2.0	2.0
Discount rate	1.6	1.2
Salary growth rate	3.5	3.5

There are no explicit assets held in respect of the long service payment obligations.

Remeasurements recognised in other comprehensive income during the financial year is as follows:

	Group	
	2021	**2020**
	(RM)	**(RM)**
Long service payments	(477,448)	(604,843)

Expected maturity analysis of undiscounted benefit payments is as follows:

	Group	
	2021	**2020**
	(RM)	**(RM)**
Long service payments		
Within one year	-	-
Between two and five years	33,429	78,350
More than five years	8,548,813	8,208,303
	8,582,242	8,286,653

24. PROVISION FOR RETIREMENT BENEFITS (CONTINUED)

The sensitivity analysis on a change in key assumptions while holding all other assumptions constant on the provision for retirement benefits increase/(decrease) as follows:

	Group Increase/(Decrease)	
Effect on provision for retirement benefits	**2021 (RM)**	**2020 (RM)**
Discount rate		
- 0.25% increase	(80,463)	(87,088)
- 0.25% decrease	84,330	91,397
Salary growth rate		
- 0.25% increase	1,829	1,672
- 0.25% decrease	(1,930)	(1,637)

The above sensitivity analysis is based on change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the provision for defined benefits obligation, the same method (present value of the defined obligation calculated with the projected unit credit method at the end of the reporting period) has been applied when calculating the provision for retirement benefits recognised within the statement of financial position.

There have been no changes in the methods and type of assumptions used in preparing the sensitivity analysis during the financial year.

25. DEFERRED TAX LIABILITIES

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
At 1 January	672,971	2,154,482	-	-
Recognised in profit or loss (Note 28):				
- property, plant and equipment	(118,410)	(1,807,079)	-	-
- provisions and others	-	139,363	-	-
	(118,410)	(1,667,716)	-	-
Recognised in other comprehensive income:				
- remeasurement of long service payments	74,524	184,959	-	-
- exchange differences	24,576	1,246	-	-
At 31 December	653,661	672,971	-	-

The components of deferred tax liabilities of the Group during the financial year are as follows:

	Group	
	2021 (RM)	2020 (RM)
Deferred tax liabilities:		
- property, plant and equipment	181,480	299,890
- provision for retirement benefits and others	472,181	373,081
	653,661	672,971

The deductible temporary difference, unutilised tax losses and unabsorbed capital allowance of the Group and of the Company for which no deferred tax assets were recognised in the statements of financial position are as follows:

	Group		Group	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Deductible temporary differences	-	797,389	-	-
Unutilised tax losses	3,326,053	3,596,146	794,260	-
Unabsorbed capital allowance	555,571	1,027,336	70,266	-
	3,881,624	5,420,871	864,526	-
Deferred tax assets not recognised at 24% (2020: 24%)	931,590	1,301,009	207,486	-

25. DEFERRED TAX LIABILITIES (CONTINUED)

The Group has not recognised the deferred tax liabilities for the following items:

	Group	
	2021 (RM)	2020 (RM)
Taxable temporary difference relating to property, plant and equipment	10,930,582	8,362,238
Deferred tax liabilities not recognised at 24% (2020: 24%)	2,623,340	2,006,937

The Directors are of the opinion that the above deferred tax assets and liabilities will not crystallise in the foreseeable future as the business operations of which the deferred tax assets and liabilities arose are operated by two subsidiary companies of which pioneer status has been extended for a five-year period from 12 May 2019 to 11 May 2024 and 4 April 2020 to 3 February 2025 respectively.

26. REVENUE

Breakdown of revenue recognised from contracts with customers is as follows:

	Group	
	2021 (RM)	2020 (RM)
Application solutions	2,636,783	1,564,410
- Implementation fees	86,046,911	85,943,938
- Managed services	88,683,694	87,508,348
Financial network services	364,079	340,104
- Implementation fees	25,340,631	22,592,956
- Managed network services	25,704,710	22,933,060
Equipment rental	1,367,018	1,937,895
	115,755,422	112,379,303
Geographical market		
Malaysia	54,751,567	50,220,760
Hong Kong SAR, China	49,625,296	53,574,036
Others	11,378,559	8,584,507
	115,755,422	112,379,303
Timing of Revenue recognition		
Over time	85,315,259	84,748,416
At a point in time	30,440,163	27,630,887
	115,755,422	112,379,303

27. PROFIT/(LOSS) BEFORE TAXATION

Profit/(Loss) before taxation is derived after charging/(crediting):

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Amortisation of intangible assets	6,844,164	6,093,779	-	-
Auditors' remuneration:				
- statutory audit	268,813	260,141	59,000	56,000
- others	17,000	5,000	5,000	-
Bad debts written off	161,064	8,930	316,713	218,823
Depreciation of property, plant and equipment	4,230,219	4,405,043	707,058	757,682
Depreciation of investment properties	234,316	234,316	234,316	234,316
Directors' remuneration:				
- fees	954,000	571,500	954,000	571,500
- salaries and other emoluments	7,611,401	4,579,310	576,820	346,374
- defined contribution plan	94,202	83,205	27,840	17,280
Rental of assets:				
- depreciation of right-of-use assets	1,208,040	1,549,467	-	-
- short term leases	467,539	285,332	55,200	55,200
Foreign exchange loss/(gain):				
- realised	(288,047)	127,188	148,680	58,650
- unrealised	34,855	307,423	121,227	80,073
Long term incentive plan expenses	1,529,974	-	336,746	-
Fair value change on financial assets at fair value through profit or loss	(40,700)	(11,396)	(40,700)	(11,396)
Gain on lease reassessment	-	(349,392)	-	-
Loss on disposal of property property plant and equipment	2,816	973	-	554
Interest expense	322,387	697,239	253,861	602,422
Impairment loss on:				
- trade receivables	9,513	2,753,586	9,513	-
- other receivables	-	3,320,977	-	-
- goodwill	-	557,199	-	-
- investment in subsidiaries	-	-	5,000,002	-
Provision for long service payments	341,306	391,578	-	-
Reversal of impairment loss on trade receivables and contract assets	(206,870)	(20,672)	-	-
Interest income	(208,934)	(268,834)	(55,373)	(125,915)
Dividend income	(1,187,059)	(1,933,643)	(22,235,907)	(1,933,643)
Rental income	(1,156,592)	(1,069,341)	(1,156,592)	(1,395,039)
Management fee:				
- related party	(60,000)	(60,000)	(60,000)	(60,000)
- subsidiary companies	-	-	(2,967,559)	(2,002,462)

28. TAXATION

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Current taxation:				
- Current year provision	1,903,962	1,876,280	-	101,972
- (Over)/Under provision in prior years	(1,103,915)	(1,225,186)	16,045	-
	800,047	651,094	16,045	101,972
Deferred taxation (Note 25):				
- Reversal and Origination of temporary differences	(118,410)	(1,667,716)	-	-
Taxation for the financial year	681,637	(1,016,622)	16,045	101,972

Income tax is calculated at the Malaysian statutory tax rate of 24% (2020: 24%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

A reconciliation of income tax expense applicable to profit/(loss) before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Profit/(Loss) before taxation	21,049,457	25,643,992	16,447,427	(1,761,978)
Taxation at statutory tax rate of 24% (2020: 24%)	5,051,870	6,154,558	3,947,382	(422,875)
Effect of different tax rates in other countries	(535,553)	(318,552)	-	-
Expenses not deductible for tax purposes	2,821,057	2,560,376	896,855	520,843
Tax incentive arising from pioneer status	(4,490,259)	(5,898,396)	-	-
Income not subject to tax	(75,741)	(823,029)	(5,051,723)	(404,511)
Deferred tax assets not recognised	-	548,941	207,486	408,515
Deferred tax liabilities not recognised due to renewal of Pioneer Status	(616,403)	(2,015,334)	-	-
Utilisation of previously unrecognised deferred tax assets	(369,419)	-	-	-
(Over)/Under provision of current taxation in prior years	(1,103,915)	(1,225,186)	16,045	-
Taxation for the financial year	681,637	(1,016,622)	16,045	101,972

29. EARNINGS PER SHARE

(a) Basic earnings per share

Basic earnings per share of the Group is calculated by dividing the consolidated profit attributable to owners of the Company by the weighted average number of ordinary shares of the Company in issue during the financial year.

	Group	
	2021	**2020**
Profit for the financial year attributable to the owners of the Company (RM)	21,949,558	27,095,768
Weighted average number of ordinary shares issued	558,204,201	558,204,201
Basic earnings per share (sen)	3.93	4.85

(b) Diluted earnings per share

For the purposes of calculating diluted earnings per share, consolidated profit attributable to owners of the Company is divided by weighted average number of ordinary shares in issue during the financial year, adjusted for the dilutive effects of all potential ordinary shares.

	Group	
	2021	**2020**
Profit for the financial year attributable to the owners of the Company (RM)	21,949,558	27,095,768
Weighted average number of ordinary shares issued	558,204,201	558,204,201
Adjusted for:		
Assumed exercise of Warrants at no consideration	-*	-*
Assumed exercise of SOP at no consideration	-*	-
	558,204,201	558,204,201
Diluted earnings per share (sen)	3.93	4.85

* No warrants and SOP are assumed to be exercised at no consideration as the average fair value of the Company's quoted share price during the financial year is below the exercise price of the warrants and SOP.

30. DIVIDENDS

	Group/Company	
	2021 (RM)	**2020 (RM)**
First interim single tier dividend of 1 sen (2020: 1 sen) per ordinary share paid in respect of the financial year ended 31 December 2021/2020	5,582,042	5,582,042
Second interim single tier dividend of 1 sen (2020: 1.5 sen) per ordinary share paid in respect of the financial year ended 31 December 2021/2020	5,582,042	8,373,063
Special single tier dividend of 2 sen (2020: 1 sen) per ordinary share paid in respect of the financial year ended in 31 December 2020/2019	11,164,084	5,582,042
	22,328,168	19,537,147

31. STAFF COSTS

		Group		Company	
	Note	**2021 (RM)**	**2020 (RM)**	**2021 (RM)**	**2020 (RM)**
Salaries, bonus and other emoluments		27,878,232	25,967,033	2,157,381	1,561,318
Contribution to defined contribution plan and social security		2,631,451	2,627,495	281,472	210,260
Long term incentive plan expenses		1,529,974	-	336,746	-
Provision for long service payments	24	341,306	391,578	-	-
Total staff costs		32,380,963	28,986,106	2,775,599	1,771,578
Staff costs (excluding Directors) analysed as:					
- Charged to profit or loss		26,213,585	23,274,401	2,775,599	1,771,578
- Capitalised as intangible assets	8	6,167,378	5,711,705	-	-
Total staff costs		32,380,963	28,986,106	2,775,599	1,771,578

32. RECONCILIATION OF LIABILITIES FROM FINANCING ACTIVITIES

Group/Company	Term loan (RM)
At 1 January 2020	20,465,000
Cash flows	(9,357,778)
Foreign exchange movements	51,111
At 31 December 2020	11,158,333
Cash flows	(9,167,777)
Foreign exchange movements	323,333
At 31 December 2021	2,313,889

33. SEGMENTAL INFORMATION

(a) Business segment

The reportable segments of the Group derive their revenue primarily from the provision of design, programming, consultancy services and related services which are substantially within a single business segment.

Management has determined the operating segments based on the reports reviewed by the Managing Director (Chief Operating Decision Maker). The Managing Director considers the business from a geographical perspective.

The Group's operations by key operating companies are segmented into these main geographic segments: Malaysia, Hong Kong SAR, China and others comprise of investment holding companies and other operating companies in other countries that contributed less than 10% of consolidated revenue.

33. SEGMENTAL INFORMATION (CONTINUED)

(a) Business segment (continued)

	Malaysia (RM)	Hong Kong SAR, China (RM)	Others (RM)	Total (RM)
2021				
Revenue				
Total revenue	54,751,567	49,625,296	12,120,249	116,497,112
Inter-segment elimination	-	-	(741,690)	(741,690)
External revenue	54,751,567	49,625,296	11,378,559	115,755,422
Results				
EBITDA *	27,451,664	7,103,839	2,441,895	36,997,398
Amortisation of intangible assets	(6,585,482)	(79,275)	(179,407)	(6,844,164)
Bad debt written off	(3,471)	(140,712)	(16,881)	(161,064)
Depreciation of property, plant and equipment	(2,446,238)	(1,294,605)	(489,376)	(4,230,219)
Depreciation of investment properties	(234,316)	-	-	(234,316)
Depreciation of right-of-use assets	-	(1,163,246)	(44,794)	(1,208,040)
Dividend income	1,187,059	-	-	1,187,059
Finance income	155,011	260	53,663	208,934
Finance costs	(253,861)	(68,436)	(90)	(322,387)
Long term incentive plan	(1,021,878)	(442,859)	(65,237)	(1,529,974)
(Impairment loss)/ Reversal of impairment loss on trade receivables	(9,513)	206,870	-	197,357
Share of associates' results	-	-	(2,672,850)	(2,672,850)
Unrealised foreign exchange loss	(130,095)	-	95,240	(34,855)
Other non-cash items	40,700	(341,306)	(2,816)	(303,422)
Taxation	(736,123)	(195,169)	249,655	(681,637)
Segment profit/(loss) for the financial year	17,413,457	3,585,361	(630,998)	20,367,820
Non-current assets	63,871,639	59,873,276	5,765,628	129,510,543

33. SEGMENTAL INFORMATION (CONTINUED)

(a) Business segment (continued)

	Malaysia (RM)	Hong Kong SAR, China (RM)	Others (RM)	Total (RM)
2020				
Revenue				
Total revenue	50,220,760	53,574,036	9,328,941	113,123,737
Inter-segment elimination	-	-	(744,434)	(744,434)
External revenue	50,220,760	53,574,036	8,584,507	112,379,303
Results				
EBITDA *	27,433,750	10,971,646	3,687,817	42,093,213
Amortisation of intangible assets	(5,985,181)	(108,598)	-	(6,093,779)
Depreciation of property, plant and equipment	(2,396,051)	(1,827,396)	(181,596)	(4,405,043)
Depreciation of investment properties	(234,316)	-	-	(234,316)
Depreciation of right-of-use assets	-	(1,078,728)	(470,739)	(1,549,467)
Dividend income	1,933,643	-	-	1,933,643
Gain on lease reassessment	-	-	349,392	349,392
Finance income	242,840	211	25,783	268,834
Finance costs	(602,422)	(83,182)	(11,635)	(697,239)
Impairment loss on:				
- trade receivables	(396,756)	-	(2,356,830)	(2,753,586)
- other receivables	-	(3,320,977)	-	(3,320,977)
- goodwill	-	-	(557,199)	(557,199)
Reversal of impairment loss on trade receivables	-	20,672	-	20,672
Share of associate's results	-	-	1,287,352	1,287,352
Unrealised foreign exchange loss	(177,019)	-	(130,404)	(307,423)
Other non-cash items	10,423	(400,508)	-	(390,085)
Taxation	2,063,503	(707,735)	(339,146)	1,016,622
Segment profit for the financial year	21,892,414	3,465,405	1,302,795	26,660,614
Non-current assets	65,951,963	59,852,712	3,618,022	129,422,697

* Earnings before interest, taxes, depreciation and amortisation (excluding other significant non-cash items).

33. SEGMENTAL INFORMATION (CONTINUED)

(b) Information about major customers

Revenue from 1 (2020: 1) major customer amount to RM18,150,506 (2020: RM15,594,261) arising from the Malaysia segment.

34. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is total equity plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and cash equivalents.

	Group		Company	
	2021 (RM)	**2020 (RM)**	**2021 (RM)**	**2020 (RM)**
Trade and other payables	16,127,570	16,569,412	1,122,551	1,146,076
Amount owing to a subsidiary company	-	-	377,099	4,977,795
Amount owing to related companies	327,612	130,956	424	424
Lease liabilities	1,950,892	3,141,321	-	-
Bank borrowings	2,313,889	11,158,333	2,313,889	11,158,333
Less: cash and cash equivalents	(63,879,421)	(75,219,199)	(11,358,226)	(15,274,130)
Net (liquidity)/debt	(43,159,458)	(44,219177)	(7,544,263)	2,008,498
Total equity	265,358,267	262,685,055	237,967,253	242,334,065
Capital and net debt	222,198,809	218,465,878	230,422,990	244,342,563
Gearing ratio	N/A	N/A	N/A	0.008

The Group is required to maintain leverage ratio of not more than 2 times and debt service coverage ratio of more than 1.3 times as disclosed in Note 19 to the financial statements.

(i) Leverage ratio

	Group	
	2021 (RM)	**2020 (RM)**
Term loan	2,313,889	11,158,333
EBITDA (Note 33)	36,997,398	42,093,213
Leverage ratio	0.06	0.27

34. CAPITAL MANAGEMENT (CONTINUED)

(ii) Debts service coverage ratio

	Group	
	2021 (RM)	**2020 (RM)**
EBITDA (Note 33)	36,997,398	42,093,213
Adjustments:		
Changes in working capital	3,612,493	1,095,430
Net tax paid	(1,876,830)	(8,457,233)
Capital expenditure:		
- Computer software development costs	(7,028,528)	(8,104,317)
- Purchase of property, plant and equipment	(6,418,145)	(2,179,665)
	(11,711,010)	(17,645,785)
Free cash flows	25,286,388	24,447,428
Debts service (Undiscounted principal and interest repayment of term loan for the next 12 months)	2,326,102	9,206,392
Debts service coverage ratio	10.87	2.66

35. FINANCIAL INSTRUMENTS

The following table analyses the financial assets and finance liabilities of the Group and of the Company by the classes and categories of financial instrument to which they are assigned, and therefore by the measurement basis:

	Financial assets at fair value through profit or loss (RM)	Financial assets and liabilities at amortised cost (RM)	Total (RM)
2021			
Group			
Financial assets			
Trade and other receivables	-	18,212,952	18,212,952
Amount owing by related companies	-	214,855	214,855
Marketable securities	-	64,623,673	64,623,673
Financial assets at fair value through profit or loss	168,013	-	168,013
Cash and cash equivalents	-	63,879,421	63,879,421
	168,013	146,930,901	147,098,914
Financial liabilities			
Trade and other payables	-	16,127,570	16,127,570
Amount owing to related companies	-	327,612	327,612
Bank borrowings	-	2,313,889	2,313,889
Lease liabilities	-	1,950,892	1,950,892
	-	20,719,963	20,719,963
Company			
Financial assets			
Trade and other receivables	-	380,618	380,618
Amount owing by subsidiary companies	-	25,868,291	25,868,291
Amount owing by related companies	-	203,437	203,437
Marketable securities	-	64,623,673	64,623,673
Financial assets at fair value through profit or loss	168,013	-	168,013
Cash and cash equivalents	-	11,358,226	11,358,226
	168,013	102,434,245	102,602,258
Financial liabilities			
Trade and other payables	-	1,122,551	1,122,551
Amount owing to a subsidiary company	-	377,099	377,099
Amount owing to related companies	-	424	424
Bank borrowings	-	2,313,889	2,313,889
	-	3,813,963	3,813,963

35. FINANCIAL INSTRUMENTS (CONTINUED)

	Financial assets at fair value through profit or loss (RM)	Financial assets and liabilities at amortised cost (RM)	Total (RM)
2020			
Group			
Financial assets			
Trade and other receivables	-	21,465,697	21,465,697
Amount owing by related companies	-	342,996	342,996
Marketable securities	-	58,426,277	58,426,277
Financial assets at fair value through profit or loss	127,313	-	127,313
Cash and cash equivalents	-	75,219,199	75,219,199
	127,313	155,454,169	155,581,482
Financial liabilities			
Trade and other payables	-	16,569,412	16,569,412
Amount owing to related companies	-	130,956	130,956
Bank borrowings	-	11,158,333	11,158,333
Lease liabilities	-	3,141,321	3,141,321
	-	31,000,022	31,000,022
Company			
Financial assets			
Trade and other receivables	-	487,465	487,465
Amount owing by subsidiary companies	-	39,602,524	39,602,524
Amount owing by related companies	-	331,720	331,720
Marketable securities	-	58,426,277	58,426,277
Financial assets at fair value through profit or loss	127,313	-	127,313
Cash and cash equivalents	-	15,274,130	15,274,130
	127,313	114,122,116	114,249,429
Financial liabilities			
Trade and other payables	-	1,146,076	1,146,076
Amount owing to a subsidiary company	-	4,977,795	4,977,795
Amount owing to related companies	-	424	424
Bank borrowings	-	11,158,333	11,158,333
	-	17,282,628	17,282,628

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing its financial risks, including credit risk, liquidity risk and market risk.

Credit risk

Credit risk is the risk of a financial loss to the Group if a counterparty of a financial asset fails to meet its contractual obligations. The Group's exposure to credit risk arises mainly from trade and other receivables and intercompany receivables.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis through the review of trade receivables and contract assets ageing. The Group monitors the results of the related parties regularly to safeguard credit risk on balance from intercompany receivables.

The maximum exposure to credit risk for the Group and the Company is the carrying amount of the financial assets shown in the statement of financial position.

The ageing analysis of the Group's and of the Company's trade receivables and contract assets is as follows:

	Group		Company	
	2021 (RM)	2020 (RM)	2021 (RM)	2020 (RM)
Neither past due nor individually impaired	5,608,856	9,483,032	40,279	80,385
Past due but not individually impaired:				
- Past due less than 1 year	11,735,429	12,077,798	59,005	128,117
- Past due more than 1 year	1,374,019	1,729,545	114,500	71,136
	13,109,448	13,807,343	173,505	199,253
Individually impaired	3,453,721	3,575,173	9,513	-
	22,172,025	26,865,548	223,297	279,638

The Group's trade receivables and contract assets of RM13,111,003 (2020: RM13,807,343) were past due but not individually impaired. These relate to a number of independent customers for whom there is no recent history of default.

The Group's trade receivables and contract assets of RM3,452,166 (2020: RM3,575,173) were individually impaired. The individually impaired receivables mainly relate to trade receivables, which are facing difficulties in cash flows. As at the end of the reporting date, the impairment loss for these receivables is RM3,452,166 (2020: RM3,575,173).

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Credit risk (continued)

Movements on the Group's and the Company's loss allowance for impairment of trade receivables and contract assets are as follows:

	Trade receivables (RM)	Other receivables (RM)	Contract assets (RM)	Total (RM)
Group				
2021				
At 1 January	4,560,878	3,169,655	-	7,730,533
Impairment loss during the financial year	9,513	-	-	9,513
Reversal during the financial year	(206,870)	-	-	(206,870)
Written off during the financial year	(551,173)	-	-	(551,173)
Exchange differences	58,919	97,688	-	156,607
At 31 December	3,871,267	3,267,343	-	7,138,610
Represented by:				
Individual impairment	3,453,721	3,267,343	-	6,721,064
Lifetime expected credit loss impairment	417,546	-	-	417,546
	3,871,267	3,267,343	-	7,138,610
2020				
At 1 January	2,019,316	-	15,108	2,034,424
Change during the financial year	2,753,586	3,320,977	-	6,074,563
Reversal during the financial year	(5,564)	-	(15,108)	(20,672)
Written off	(195,708)	-	-	(195,708)
Exchange differences	(10,752)	(151,322)	-	(162,074)
At 31 December	4,560,878	3,169,655	-	7,730,533
Represented by:				
Individual impairment	3,575,173	3,169,655	-	6,744,828
Lifetime expected credit loss impairment	985,705	-	-	985,705
	4,560,878	3,169,655	-	7,730,533
Company				
2021				
At 1 January	-	-	-	-
Charge during the financial year				
At 31 December	9,513	-	-	9,513
	9,513	-	-	9,513
Represented by:				
Individual impairment	9,513	-	-	9,513
2020				
At 1 January/31 December	-	-	-	-

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's exposure to liquidity risk arises principally from trade and other payables, borrowings and lease liabilities.

Cash flow forecasting is performed by monitoring the Group's liquidity requirements to ensure that it has sufficient liquidity to meet operational, financing repayments and other liabilities as they fall due

The table below summarises the maturity profile of the Group's and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted payments:

	Carrying amount (RM)	Contractual interest rate %	Contractual cash flow (RM)	On demand or within one year (RM)	Between one to five years (RM)
2021					
Group					
Trade and other payables	16,127,570	-	16,127,570	16,127,570	-
Amount owing to related companies	327,612	-	327,612	327,612	-
Bank borrowings	2,313,889	2.03-2.14	2,326,102	2,326,102	-
Lease liabilities	1,950,892	-	1,991,991	1,327,025	664,966
	20,719,963		20,773,275	20,108,309	664,966
Company					
Trade and other payables	1,122,551	-	1,122,551	1,122,551	-
Amount owing to a subsidiary company	377,099	-	377,099	377,099	-
Amount owing to related companies	424	-	424	424	-
Bank borrowings	2,313,889	2.03-2.14	2,326,102	2,326,102	-
	3,813,963	-	3,826,176	3,826,176	-

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Liquidity risk (continued)

	Carrying amount (RM)	Contractual interest rate %	Contractual cash flow (RM)	On demand or within one year (RM)	Between one to five years (RM)
2020					
Group					
Trade and other payables	16,569,412	-	16,569,412	16,569,412	-
Amount owing to related companies	130,956	-	130,956	130,956	-
Bank borrowings	11,158,333	2.12-3.83	11,457,924	9,206,392	2,251,532
Lease liabilities	3,141,321	-	3,232,575	1,300,141	1,932,434
	31,000,022		31,390,867	27,206,901	4,183,966
Company					
Trade and other payables	1,146,076	-	1,146,076	1,146,076	-
Amount owing to a subsidiary company	4,977,795	-	4,977,795	4,977,795	-
Amount owing to related companies	424	-	424	424	-
Bank borrowings	11,158,333	2.12-3.83	11,457,924	9,206,392	2,251,532
	17,282,628		17,582,219	15,330,687	2,251,532

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and cash flow and fair value interest rate risk that may affect the Group's financial position and cash flows.

(a) Foreign currency exchange risk

The Group and the Company are exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, United States Dollar, Indonesia Rupiah, Vietnamese Dong, Hong Kong Dollar, Macau Patacca and Australian Dollar. The Group and the Company monitor the foreign currency risks on an ongoing basis.

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency						
	Singapore Dollar (RM)	United States Dollar (RM)	Indonesia Rupiah (RM)	Vietnamese Dong (RM)	Hong Kong Dollar (RM)	Macau Patacca (RM)	Total (RM)
Group							
2021							
Trade receivables	-	322,603	-	-	-	-	322,603
Cash and bank balances	6,302	6,078,441	-	-	30,171	-	6,114,914
Trade payables	-	(245,639)	-	-	-	-	(245,639)
Bank borrowings	-	(2,313,889)	-	-	-	-	(2,313,889)
	6,302	3,841,516	-	-	30,171	-	3,877,989
2020							
Trade receivables	-	1,139,635	110,396	-	-	-	1,250,031
Cash and bank balances	7,364	5,252,809	-	4,269	37,087	280,521	5,582,050
Trade payables	-	(269,672)	-	-	-	-	(269,672)
Bank borrowings	-	(11,158,333)	-	-	-	-	(11,158,333)
	7,364	(5,035,561)	110,396	4,269	37,087	280,521	(4,595,924)

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

	Financial Assets/(Liabilities) Held in Non-Functional Currency			
	Singapore Dollar (RM)	United States Dollar (RM)	Hong Kong Dollar (RM)	Total (RM)
Company				
2021				
Amount owing by subsidiary companies	7,389,400	-	954,570	8,343,970
Cash and bank balances	6,302	2,728,118	30,171	2,764,591
Trade payables	-	(150,956)	-	(150,956)
Bank borrowings	-	(2,313,889)	-	(2,313,889)
	7,395,702	263,273	984,741	8,643,716
2020				
Amount owing by subsidiary companies	12,071,884	55,229	133,433	12,260,546
Cash and bank balances	7,364	2,634,618	37,087	2,679,069
Trade payables	-	(145,592)	-	(145,592)
Bank borrowings	-	(11,158,333)	-	(11,158,333)
	12,079,248	(8,614,078)	170,520	3,635,690

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group's and the Company's equity and loss net of tax to a reasonably possible change in the Singapore Dollar, United States Dollar, Indonesia Rupiah, Vietnamese Dong, Hong Kong Dollar, and Macau Patacca exchange rates against the functional currency of the Group, with all other variables remain constant.

		Group Profit net of tax		Company Profit net of tax	
		2021 (RM)	**2020 (RM)**	**2021 (RM)**	**2020 (RM)**
SGD/RM	-strengthened 5%	239	280	281,037	459,011
	-weakened 5%	(239)	(280)	(281,037)	(459,011)
USD/RM	-strengthened 5%	145,978	(191,351)	10,004	(327,335)
	-weakened 5%	(145,978)	191,351	(10,004)	327,335
IDR/RM	-strengthened 5%	-	4,195	-	-
	-weakened 5%	-	(4,195)	-	-
VND/RM	-strengthened 5%	-	162	-	-
	-weakened 5%	-	(162)	-	-
HKD/RM	-strengthened 5%	1,146	1,409	37,420	6,480
	-weakened 5%	(1,146)	(1,409)	(37,420)	(6,480)
MP/RM	-strengthened 5%	-	10,660	-	-
	-weakened 5%	-	(10,660)	-	-

(b) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits with licensed bank.

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Market risk (continued)

(b) Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group/Company	
	2021 (RM)	**2020 (RM)**
Fixed rate instruments		
Deposits with a licensed bank	-	357,736
Floating rate instruments		
Bank borrowings	(2,313,889)	(11,158,333)

Interest rate risk sensitivity analysis

Since the Group's and Company's fixed rate financial assets and liabilities are measured at amortised cost, possible changes in interest rates are not expected to have a significant impact on the Group's and the Company's profit or loss.

A change of 50 basis points ("bp") in floating interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2021 (RM)	**2020 (RM)**
Profit net of tax		
50 bp increase	(8,793)	(42,402)
50 bp decrease	8,793	42,402

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Fair value information

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The carrying amount of long term borrowings carried on the statements of financial position reasonably approximate fair value as it is a floating rate instrument that is re-priced to market interest rates on or near the reporting date.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted prices in active markets for identical assets or liabilities.
Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability,
either directly or indirectly.
Level 3: Inputs for the asset or liability that is not based on observable market data.

The following table analyses the fair value hierarchy for financial instruments carried at fair value in the statements of financial position:

	2021 Level 1 Fair Value (RM)	2020 Level 1 Fair Value (RM)
Group/Company		
Financial asset		
Financial assets at fair value through profit or loss	168,013	127,313

The following table analyses the fair value hierarchy for financial instruments not carried at fair value in the statements of financial position:

	2021		2020	
	Carrying amount (RM)	Level 2 Fair Value (RM)	Carrying amount (RM)	Level 2 Fair Value (RM)
Group				
Financial liability				
Lease liabilities	1,950,892	1,991,991	3,141,321	3,232,575

The fair value of long-term lease liabilities carried on the statement of financial position are estimated using valuation technique under the hierarchy level 2 mentioned above whereby the expected future cash flows are discounted at the market interest rate for similar type of borrowings.

35. FINANCIAL INSTRUMENTS (CONTINUED)

Financial risk management (continued)

Fair value information (continued)

The Group does not anticipate the carrying amounts of other financial instruments recorded at the reporting date to be significant different from the values that would eventually settled.

36. RELATED PARTY DISCLOSURES

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

(a) The significant related party transactions of the Group and the Company, other than key management personnel compensation, are as follows:

	Group/Company	
	2021 (RM)	**2020 (RM)**
Rental income received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(54,000)	(54,000)
Management fees received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(60,000)	(60,000)

	Company	
	2021 (RM)	**2020 (RM)**
Management fees received/receivable from subsidiary companies:		
- N2N Connect Pte. Ltd.	(636,514)	(412,348)
- N2N Global Solutions Sdn. Bhd.	(1,206,410)	(832,247)
- NGN Connection Sdn. Bhd.	(1,062,179)	(697,867)
- Hermes Bos Sdn. Bhd.	(60,000)	(60,000)
Rental income received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	(193,698)	(193,698)
- NGN Connection Sdn. Bhd.	(108,000)	(108,000)
- Hermes Bos Sdn. Bhd.	(24,000)	(24,000)

36. RELATED PARTY DISCLOSURES (CONTINUED)

(b) Information regarding outstanding balances arising from related party transactions as at the end of the reporting period are disclosed in Notes 11 and 12 to the financial statements

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all the Directors of the Company, and certain members of senior management of the Group.

Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2021 (RM)	**2020 (RM)**	**2021 (RM)**	**2020 (RM)**
Salaries, bonus and other emoluments	9,890,177	7,733,588	1,343,804	916,358
Contribution to defined contribution plan and social security	260,011	306,857	91,720	18,796
	10,150,188	8,040,445	1,435,524	935,154

37. MATERIAL LITIGATION

On 31 March 2021, N2N Connect Berhad and a few of its subsidiaries (collectively referred to as "Plaintiffs") filed a civil suit at the High Court of Malaya at Kuala Lumpur ("High Court") against Chua Tiong Hoong, Ahmad Ashraf bin Azman, Shyam Sundar Rayudu, Wong Voon Fui, Finevo Technology Sdn Bhd and AK Partner Hybrid Connect Sdn Bhd (collectively referred to as "Defendants") for breach of N2N's intellectual property rights, including but not limited to the copyright and trade secrets in the source codes and marketing materials; breach of fiduciary duties and breach of confidence.

On 2 April 2021, the Plaintiffs also obtained an Anton Piller Order ("Order" or "APO") from the High Court. The Order allows the Plaintiffs, subject to the terms and conditions of the Order, to enter the Defendants' premises to inspect, take possession of documents, records or other items, which may form evidence in an action against the Defendants.

On 22 October 2021, the Defendants filed their appeals in the Court of Appeal against the High Court's dismissal of their applications to set aside the APO. The hearing date for the Defendants' appeals is yet to be fixed, due in part to the Grounds of Judgment, which are not yet available. The next case management of the appeals is fixed on 29 March 2022 for the Defendants to provide an update on the status of the Grounds of Judgment.

In the meantime, the High Court has fixed dates for trial for the main suit from 11 to 22 September 2023.

In the Company's opinion, based on its examination of the developments to date and discussions with its legal counsel, the ultimate outcome of legal proceedings is not expected to have a material adverse effect on the Company's financial position.

37. COMPARATIVE FIGURES

The following comparative figures of the Group have been classified to conform with the current financial year's presentation:

	As previously stated (RM)	Reclassification (RM)	As restated (RM)
Statement of profit or loss and other comprehensive income for the financial year ended 31 December 2020			
Other income	8,743,249	(2,407,358)	6,335,891
Share of associate's results	(1,100,006)	2,407,358	1,287,352

38. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2021 were authorised for issue in accordance with a resolution of the Board of Directors dated 24 March 2022.

LIST OF PROPERTY OF N2N CONNECT BERHAD AS OF 31 DECEMBER 2021

Postal Address	Approximate Age of Building	Tenure / Date of Acquisition	Remaining Lease Period(expiry of Lease)	Current Use	Land Area (SQ Feet)	Carrying Amount as of 31 December 2021 (RM thousand)
Wisma N2N Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	12 years	Leasehold / 3 June 2011	86 years (16 August 2106)	Corporate Offices	54,059	31,123

ANALYSIS OF SHAREHOLDING AS OF 31 MARCH 2022 (BASED ON RECORD OF DEPOSITORS)

Type of Securities	:	Ordinary Shares
Total number of Shares issued	:	597,878,101 Ordinary Shares
Voting rights	:	One vote per Ordinary Share
No. of shareholders	:	4,665
Number of Treasury shares	:	39,673,900 Ordinary Shares

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
66	Less than 100	1,682	0.00
495	100 to 1,000	316,338	0.06
2,464	1,001 to 10,000	13,828,988	2.48
1,398	10,001 to 100,000	45,399,965	8.13
237	100,001 to less than 5% of issued shares	182,347,481	32.66
5	5% and above of issued shares	316,309,747	56.67
4,665		558,204,201	100.00

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNT HOLDERS

	Name	No. of Shares	Percentage (%)
1	Amsec Nominees (Asing) Sdn Bhd *Pledged Securities Account For Hundsun Holdings Limited*	132,055,852	23.66
2	N2N Connect Holdings Sdn Bhd	91,622,095	16.41
3	CGS-CIMB Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	32,649,800	5.85
4	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	29,991,000	5.37
5	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	29,991,000	5.37
6	Wong Kok Ping	19,015,266	3.41
7	Lai Su Ping	18,040,857	3.23
8	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	17,280,000	3.10
9	Tiang Boon Hwa	15,803,426	2.83
10	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	7,680,600	1.38
11	Chua Hock Ann	7,061,362	1.27
12	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Goh Ching Chee (MY0605)*	5,630,800	1.01
13	Tan Kuan Teck	4,568,900	0.82
14	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board*	4,469,500	0.80
15	Chan See Wai	3,893,456	0.70
16	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Gan Sem Yam*	3,031,000	0.54
17	Lai Sok Kun	2,913,100	0.52
18	Maybank Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Wong Wah Peng*	2,388,700	0.43
19	Lim Kok Tean	2,363,916	0.42
20	Chen Boon Chew	1,930,000	0.35
21	Vivian Lea Si-Xiu	1,594,466	0.29

22	Loh Lan Jin @ Loh Luan Eng	1,354,000	0.24
23	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Khoon Hoo (E-TMI)*	1,250,000	0.22
24	Liew Kim Loong	1,207,000	0.22
25	Tang Yim Heng	1,135,300	0.20
26	Tiang Boon Hwa	1,073,233	0.19
27	DB (Malaysia) Nominee (Asing) Sdn Bhd *The Bank of New York Mellon for Ensign Peak Advisors Inc.*	1,068,500	0.19
28	Aw Kheng Tong	1,010,000	0.18
29	Lai Wei Suen	1,008,466	0.18
30	Goh Ching Chee	1,000,000	0.18
		444,081,595	79.56

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1	Hundsun Holdings Limited	132,055,852	23.66	-	-
2	Hundsun Technologies Inc.	-	-	132,055,852[1]	23.66
3	N2N Connect Holdings Sdn Bhd	91,622,095	16.41	-	-
4	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	29,991,000	5.37	29,991,000[2]	5.37
5	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	29,991,000	5.37	-	-
6	Tiang Boon Hwa	17,421,033	3.12	109,662,952[3]	19.65
7	Lai Su Ping	18,040,857	3.23	109,043,128[4]	19.53

4. DIRECTORS' INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1	Tiang Boon Hwa	17,421,033	3.12	109,662,952[3]	19.65
2	Lai Su Ping	18,040,857	3.23	109,043,128[4]	19.53
3	Goh Ching Chee	6,630,800	1.19	-	-
4	Fathi Ridzuan Bin Ahmad Fauzi	4,000	0.00	-	-
5	Elaine Foong Sooi Jade	-	-	-	-
6	Chua Hock Seng	-	-	50,000[5]	0.01
7	Jiang, Jianfeng	-	-	-	-
8	Dato' Sim Kia Ju	-	-	-	-

The above Directors by virtue of their shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

NOTE:

(1) *Deemed interested by virtue of its interest in Hundsun Holdings Limited.*

(2) *Deemed interested by virtue of its interest in Quick Corp.*

(3) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(4) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(5) *Deemed interested by virtue of his spouse, Ling Yun Hwee's interest, pursuant to Section 59 of the Companies Act 2016.*

ANALYSIS OF WARRANTHOLDING AS OF 31 MARCH 2022 (BASED ON RECORD OF DEPOSITORS)

Type of Securities	:	Warrant B
Total Warrant Issued and Not Exercised	:	140,089,694
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holders of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants
No. of warrantholders	:	1,832
Exercise price	:	RM0.83
Expiry date	:	8 January 2024

1. DISTRIBUTION SCHEDULE OF WARRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
298	Less than 100	10,903	0.01
379	100 to 1,000	203,895	0.14
572	1,001 to 10,000	2,798,516	2.00
461	10,001 to 100,000	21,429,828	15.30
118	100,001 to less than 5% of issued warrants	53,854,799	38.44
4	5% and above of issued warrants	61,791,753	44.11
1,832		140,089,694	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	22,905,523	16.35
2	Amsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Hundsun Holdings Limited*	16,319,080	11.65
3	CGS-CIMB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	7,497,750	5.35
4	Lai Sok Kun	7,490,025	5.35
5	Lai Su Ping	4,510,214	3.22
6	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	4,320,000	3.08
7	Tiang Boon Hwa	3,950,856	2.82
8	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	3,400,000	2.43
9	Lim Kien Hua	3,335,800	2.38
10	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Goh Ching Chee (MY0605)*	3,065,200	2.19
11	Wong Kok Ping	2,715,091	1.94
12	Pang Kee Loong	2,163,000	1.54
13	Maybank Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Wong Wah Peng*	2,024,100	1.44
14	CGS-CIMB Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Leong Chee Jian (T Taming JY-CL)*	1,732,300	1.24
15	Tan Kuan Teck	1,331,000	0.95
16	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	1,250,000	0.89
17	Chang Gok Lau	1,121,600	0.80
18	Yeap Teck Hooi	1,102,800	0.79
19	Chan See Wai	975,564	0.70

20	Soh Guan Chai	955,000	0.68
21	Inter-Pacific Equity Nominees (Tempatan) Sdn Bhd *Inter-Pacific Asset Management Sdn Bhd for Lee Peng Leong*	906,100	0.65
22	Chua Hock Ann	800,040	0.57
23	CGS-CIMB Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	779,825	0.56
24	CIMB Islamic Nominees (Tempatan) Sdn Bhd *CIMB Islamic Trustee Berhad – Kenanga Syariah Growth Fund*	777,200	0.55
25	Tan Poh Tai	613,750	0.44
26	Ming Khing Yih	612,725	0.44
27	Lim Kok Tean	590,979	0.42
28	Soh Guan Chai	550,000	0.39
29	Yong Siew Ngee	538,400	0.38
30	Er Soon Puay	500,000	0.36
		98,833,922	70.55

3. DIRECTORS' INTEREST IN WARRANTS IN THE COMPANY

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1	Tiang Boon Hwa	4,355,257	3.11	27,415,737[1]	19.57
2	Lai Su Ping	4,510,214	3.22	27,260,780[2]	19.46
3	Goh Ching Chee	3,315,200	2.37	-	-
4	Fathi Ridzuan Bin Ahmad Fauzi	1,000	0.00	-	-
5	Elaine Foong Sooi Jade	-	-	-	-
6	Chua Hock Seng	-	-	20,000[3]	0.01
7	Jiang, Jianfeng	-	-	-	-
8	Dato' Sim Kia Ju	-	-	-	-

NOTE:

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(3) *Deemed interested by virtue of his spouse, Ling Yun Hwee's interest, pursuant to Section 59 of the Companies Act 2016.*

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Twenty First Annual General Meeting ("AGM") of the Company will be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8 Jalan Kerinchi, 59200 Kuala Lumpur on Thursday 26 May 2022 at 10:00 a.m. to transact the following business:

Agenda

Ordinary Business

1. To lay before the Meeting the Audited Financial Statements for the financial year ended 31 December 2021 and the Reports of the Directors and Auditors thereon.
   [Please refer to Notes (i)]

2. To approve the payment of Directors' Fees of RM921,991 for the financial year ending 31 December 2022. *(Ordinary Resolution 1)*
   [Please refer to Notes (ii)]

3. To approve the payment of Directors' benefits (excluding Directors' Fees) up to an amount of RM23,500 payable from 1 January 2022 until the next Annual General Meeting of the Company to be held in 2023. *(Ordinary Resolution 2)*
   [Please refer to Notes (iii)]

4. To re-elect the following Director retiring in accordance with Clause 103(1) of the Company's Constitution: *(Ordinary Resolution 3)*

   4.1 Ms Elaine Foong Sooi Jade

   En Fathi Ridzuan Bin Ahmad Fauzi, who is subject to retirement by rotation in accordance with Clause 103(1) of the Company's Constitution, has expressed his intention not to seek re-election as a Director of the Company. Hence, he will retain office until the close of the Twenty First Annual General Meeting.

5. To re-elect the following Directors retiring in accordance with Clause 110 of the Company's Constitution:

   5.1 Mr Jiang, Jianfeng *(Ordinary Resolution 4)*

   5.2 Dato' Sim Kia Ju *(Ordinary Resolution 5)*

6. To appoint HLB Ler Lum Chew PLT as Auditors of the Company, in place of the retiring Auditors, HLB AAC PLT, and to authorise the Board of Directors to determine their remuneration. *(Ordinary Resolution 6)*

Special Business

7. To consider and if thought fit, to pass the following as an ordinary resolution:

AUTHORITY TO ALLOT AND ISSUE SHARES PURSUANT TO SECTIONS 75 AND 76 OF THE COMPANIES ACT 2016

"THAT, subject to the Companies Act, 2016, the Constitution of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Directors be and are hereby authorised and empowered pursuant to Sections 75 and 76 of the Companies Act, 2016, to allot and issue ordinary shares in the Company at any time until the conclusion of the next Annual General Meeting ("AGM") and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of ordinary shares to be issued does not exceed 10% of the total number of issued shares (excluding treasury shares) of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued. *(Ordinary Resolution 7)*

And that such authority shall continue to be in force until the conclusion of the next AGM of the Company."

8. To consider and if thought fit, to pass the following as an ordinary resolution:

PROPOSED RENEWAL OF THE AUTHORITY FOR THE COMPANY TO PURCHASE UP TO TEN PERCENT (10%) OF ITS TOTAL NUMBER OF ISSUED SHARES ("PROPOSED SHARE BUY-BACK")

"THAT, subject to the Companies Act, 2016, the Constitution of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Company be and is hereby authorised to purchase its own ordinary shares ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:- *(Ordinary Resolution 8)*

a. The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the total number of issued shares of the Company and in compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

b. The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the aggregate of the retained profit of the Company based on the latest Audited Financial Statements and/or the latest management accounts of the Company (where applicable) available at the time of purchase(s);

c. The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

   i. the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or
   ii. the expiration of the period within which the next AGM after that date is required by law to be held; or
   iii. revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

   whichever occurs first; and

d. Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

   i. cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or
   ii. retain all or part of the Purchased Shares as treasury shares; and/or
   iii. distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or
   iv. resell all or part of the treasury shares on Bursa Securities; and/or
   v. transfer all or part of the treasury shares for the purposes of or under an employees' share scheme; and/or
   vi. transfer all or part of the treasury shares as purchase consideration; and/or
   vii. sell, transfer or otherwise use the treasury shares for such other purposes as the Minister may by order prescribe.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company."

9. To transact any other business of which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Twenty First Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. ("Bursa Depository") in accordance with Clause 71 of the Company's Constitution and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 19 May 2022. Only a depositor whose name appears on the Record of Depositors as at 19 May 2022 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his/her behalf.

By order of the Board

HO MUN YEE (SSM PC NO. : 201908003292) (MAICSA 0877877)
CHO MEI THO (SSM PC NO. : 201908003284) (MAICSA 7036543)
Company Secretaries

Kuala Lumpur
25 April 2022

NOTES:

1. *Due to the constant evolving COVID-19 situation in Malaysia, we may be required to change the arrangements of our 21st AGM at short notice. Kindly check the Company's website or announcements for the latest updates on the status of the 21st AGM. The Company will continue to observe the guidelines issued by the Ministry of Health and will take all relevant precautionary measures as advised.*
2. *A proxy may but need not be a member of the Company.*
3. *A member shall be entitled to appoint not more than two (2) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his/her holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
4. *4. The instrument appointing a proxy must be deposited at the Company's Share Registrar's Office at Boardroom Share Registrars Sdn. Bhd., G Floor or 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof. Individual shareholders can also have the option to submit the proxy appointment electronically via the Share Registrar's website, Boardroom Smart Investor Portal at https://investor.boardroomlimited.com before the proxy form submission cut-off time as mentioned in the above. For further information on the electronic submission of proxy form, kindly refer to the Administrative Guide.*

Notes:

i. *The Audited Financial Statements are for discussion only as they do not require shareholders' approval pursuant to Section 340(1) of the Companies Act 2016. Hence this matter will not be put for voting.*
ii. *The proposed Directors' Fees based on the current number of Directors are as follows:*

Category	RM (per Director, per annum)
Chairperson of the Board and the Committees	RM128,500
Executive Director	RM128,500
Non-Executive Director	RM110,000

iii. *The benefits payable to the Directors (excluding Directors' Fees) comprises meeting allowances. The estimated meeting allowances payable to the Directors from 1 January 2022 until the next Annual General Meeting are calculated based on the number of scheduled meetings for Board of Directors, Board Committees and general meetings of the Company.*

EXPLANATORY NOTES ON SPECIAL BUSINESS

A. Authority to allot and issue shares pursuant to Sections 75 and 76 of the Companies Act 2016

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue ordinary shares in the Company up to and not exceeding 10% of the total number

of issued shares (excluding treasury shares) of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new ordinary shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 27 May 2021, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

B. Proposed Renewal of Authority to Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the total number of issued shares of the Company. Further explanatory notes on Ordinary Resolution 8 is set out in the Share Buy-Back Statement to Shareholders dated 25 April 2022.

STATEMENT ACCOMPANYING THE NOTICE OF ANNUAL GENERAL MEETING

A. Further Details of the Directors who are standing for re-election as Directors

The details of the Directors who are standing for re-election at the Twenty First Annual General Meeting are set out in the Directors' Profile of the Company's 2021 Annual Report. No individual other than the retiring Directors are seeking election as Directors at the Twenty First Annual General Meeting.

The retiring Directors have been assessed by the Nomination and Remuneration Committee and the Board of Directors and are recommended for re-election at the Twenty First Annual General Meeting.

B. Mandate for Issuance of Shares

Further details of the authority to Directors to issue ordinary shares in the Company pursuant to Sections 75 and 76 of the Companies Act, 2016 are as stated above in the Explanatory Notes on Special Business.

N2N CONNECT BERHAD
200001020530 (523137-K)
(Incorporated in Malaysia)

PROXY FORM

CDS Account No. :	No. of Shares held :	Tel No. :

I/We, _____
(Full name in Block Letters and NRIC/Passport/Company No.)

of _____
(Address)

being a member(s) of N2N CONNECT BERHAD, hereby appoint

Full Name (in Block Letters) and address	**NRIC/Passport No.**	**% of Shareholding**

or failing him/her

Full Name (in Block Letters) and address	**NRIC/Passport No.**	**% of Shareholding**

or failing him/her, the CHAIRMAN OF THE MEETING, as my/our proxy, to vote for me/us and on my/our behalf at the Twenty First Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8 Jalan Kerinchi, 59200 Kuala Lumpur on Thursday, 26 May 2022 at 10:00 a.m. or at any adjournment thereof.

		FOR	AGAINST
Ordinary Resolution 1	Directors' fees for the year ending 31 December 2022		
Ordinary Resolution 2	Directors' benefits		
Ordinary Resolution 3	Re-election of Ms Elaine Foong Sooi Jade		
Ordinary Resolution 4	Re-election of Mr Jiang, Jianfeng		
Ordinary Resolution 5	Re-election of Dato' Sim Kia Ju		
Ordinary Resolution 6	Appointment of Auditors		
Ordinary Resolution 7	Authority to allot and issue shares pursuant to Sections 75 and 76		
Ordinary Resolution 8	Proposed Share Buy-Back		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

_____
Signature(s)/Common Seal of Shareholder

Dated this _____ day of _____ 2022

NOTES

1. *Due to the constant evolving COVID-19 situation in Malaysia, we may be required to change the arrangements of our 21st AGM at short notice. Kindly check the Company's website or announcements for the latest updates on the status of the 21st AGM. The Company will continue to observe the guidelines issued by the Ministry of Health and will take all relevant precautionary measures as advised.*
2. *A proxy may but need not be a member of the Company.*
3. *A member shall be entitled to appoint not more than two (2) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his/her holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
4. *The instrument appointing a proxy must be deposited at the Company's Share Registrar's Office at Boardroom Share Registrars Sdn. Bhd., G Floor or 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof. Individual shareholders can also have the option to submit the proxy appointment electronically via the Share Registrar's website, Boardroom Smart Investor Portal at https://investor.boardroomlimited.com/ before the proxy form submission cut-off time as mentioned in the above. For further information on the electronic submission of proxy form, kindly refer to the Administrative Guide.*

fold this flap for sealing

then fold here

AFFIX
STAMP

The Share Registrar
N2N CONNECT BERHAD
200001020530 (523137-K)
Boardroom Share Registrars Sdn. Bhd.,
G Floor or 11th Floor, Menara Symphony,
No. 5, Jalan Prof. Khoo Kay Kim,
Seksyen 13,
46200 Petaling Jaya,
Selangor Darul Ehsan

first fold here

Corporate Information

Company Secretaries

Ho Mun Yee
MAICSA: 0877877
SSM PC NO: 201908003292

Cho Mei Tho
MAICSA: 7036543
SSM PC NO: 201908003284

Registered Office

3rd Floor, No. 17 Jalan Ipoh Kecil
50350 Kuala Lumpur
T: 603. 4044 3235
F: 603. 4041 3959
email: esprit@espritms.com.my

Head Office

Wisma N2N
Level 9, Tower 2,
Avenue 3,
Bangsar South
No. 8, Jalan Kerinchi
59200 Kuala Lumpur
T: 603. 2241 1818
F: 603. 2241 1616
website: www.n2nconnect.com

Auditors

HLB AAC PLT
(LLP 0022843-LCA & AF 001977)
Chartered Accountants
18, Jalan 1/64
Off Jalan Kolam Air / Jalan Ipoh
51200 Kuala Lumpur
T: 603. 4048 2888
F: 603. 4048 2999

Registrar

Boardroom Share Registrars
Sdn. Bhd. (Co. No. 378993-D)
No. 5, Jalan Prof. Khoo Kay Kim,
Seksyen 13, 46200, Petaling Jaya,
Selangor, Malaysia
T: 603. 7890 4800
F: 603. 7890 4650

Principal Bankers

Standard Chartered Saadiq Berhad
OCBC Bank (Malaysia) Berhad

Stock Exchange Listing

ACE Market of Bursa Malaysia
Securities Berhad
Stock Name: N2N
Stock Code: 0108.KL

21st Annual General Meeting

N2N's 21st AGM will be held at Wisma N2N, Level 9 on Thursday, 26 May 2022 at 10 am.

Details of the meeting have been sent to shareholders separately.

MSC MALAYSIA
Status Company

Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

T: 603 2241 1818
F: 603 2241 1616
www.n2nconnect.com